

We are mindful of the impact of our products and the image they transmit. That is why we want our campaigns, and the image of the models who appear on them to convey a diverse, multicultural and positive reality that celebrates the product by presenting it in a detailed way that is faithful to its properties and qualities.

/ Ethics Line

The Ethics Line, as the main grievance mechanism available to our stakeholders, is one of the communication channels for our customers to convey their concerns and raise questions about the Code of Conduct and other Group internal regulations, as well as to report to us, including anonymously, any breaches or actions contrary to the regulations or to any applicable law.

① More information on the Ethics Line in section *G1-1. Corporate culture and business conduct* of this Report.

S4-2_03

Our ongoing relationship with our customers takes place before, during and after the purchase process, through the various channels mentioned above. This interaction is initiated both at the customer's behest, when they need to raise a query or file a complaint, and by the Company, as it provides regular information on its product range and services.

Through these actions, we seek to understand their perspectives and concerns, which we take into account as we design our strategy. This applies not only in terms of our products, but also when it comes to preventing and mitigating impacts, and evaluating the effectiveness of the measures and their subsequent renewal or updating.

S4-2_06

Throughout the entire process, it should be noted that special consideration is given to the views and impacts of consumers who may be particularly vulnerable. For instance, continuous dialogue with different partner organisations allows us to exchange views and integrate their perspective into the Company's day-to-day operations.

① More information on some of the organisations we work with in the *Diversity and Inclusion report*, published on Inditex corporate website.

S4-2_05

Moreover, at Inditex we measure the effectiveness of our customer services by following up on our interactions in detail. This allows us to gauge whether the communication is efficient, and determine whether our customer services are aligned with their needs.

In this effectiveness analysis, we highlight the work of our teams, who implement their own contact monitoring plans for each of the brands. These plans allow us to examine a range of valuable metrics to assess the efficacy of the service, such as first call resolution or the number of repeat contacts.

S4-2_04

The Customer Experience manager of each of our retail concepts is ultimately responsible for overseeing these services.

① More information on how our customer service resources work in section *S4-3. Processes to remediate negative impacts and channels for consumers to raise concerns* of this Report.

S4-3. Processes to remediate negative impacts and channels for consumers to raise concerns

S4-3_01;
S4-3_02

We identify our potential and actual impacts in order to prevent, mitigate and remediate their effects. This understanding applies to all our stakeholders, including our customers.

Depending on the nature of the impact, we have three preferred channels to manage issues or concerns raised by our customers: customer service teams and channels, official grievance mechanisms and the Ethics Line.

S4-3_04;
S4-3_05;
S4-3_06;
S4-3_13

Through these three preferred contact avenues, detailed in section S4-2 of this Report, we receive communications from our customers and identify and implement remediation and mitigation plans that minimise negative effects arising from impacts. At the same time, we work to prevent them and to avoid their recurrence in the future. Thus, we guarantee the protection of our customers' rights.

Response to our customers

With regard to the communications received through the **customer service channels**, at the operating level, our aim is to ensure the quality and efficacy of the service offered. Consequently, our customer service agents have access to a specific training platform that contains all the procedures and manuals. To guarantee the effectiveness of the channel and with the aim of effecting continuous improvement of the service, we conduct monthly controls of customer interactions with our brands, to monitor the quality of the customer care provided.

In 2024 the customer service areas of the Group's brands fielded a total of 45,913,444 customer contacts (calls, e-mails, *WhatsApp* conversations and messages via social media profiles), concerning questions on products, the purchasing process, shipments, incidents or current issues affecting the brands, among other matters (46,446,384 contacts in 2023).

In this regard, the progression of online sales has shifted the weight of customer contacts according to the purchase channel, so that enquiries about order status, delivery times or the *online* operation itself make up a very significant part of the total.

Regarding the service level, understood as the percentage of contacts resolved over the total, in 2024 it was 97% (98% in 2023).

In 2024, the quality of customer services at five Inditex brands —Pull&Bear, Massimo Dutti, Bershka, Oysho and Zara Home — renewed its certification under the ISO 18295:2 international standard. This certification underpins the customer service strategy throughout their shopping experience and interaction with each brand, the operations and protocols for looking after customers through the various contact channels, as well as the standards of service quality and satisfaction of our customers.

Types of cases handled

In the relationship with the customer, our teams field a range of queries related to our products and the purchase process. Each brand independently sorts the reasons for customer contacts, according to their specific needs, although these reasons can be grouped into four broad areas:

/ **Pre-purchase:** issues prior to the purchase.

/ **Post-purchase:** related to an order or purchase at a store.

/ **Customer service:** relating to the contact channels, website and app.

/ **Complaints and claims.**

In 2024, our brands handled 44.5 million cases through Customer Services in all the markets where we have a commercial presence (45.4 million in 2023). Of these, the categorised cases are classified as follows:

Type of cases handled	2024	2023
Pre-purchase (product availability, special collections, customisation, purchasing process, checkout and sustainability, among others)	26%	20%
Post-purchase (order status, shipments, delivery times, changes and returns, gift cards, among others)	70%	76%
Customer Service (customer account, web/app, channels, social media, among others)	5%	4%
Complaints (includes any customer feedback, as well as formal complaints)	0.02%	0.02%

The complaints figure includes complaint forms and claim procedures in Spain processed through official consumer complaint and response mechanisms, which in 2024 totalled 6,924 (5,840 cases processed in Spain in 2023). The main reason for these complaint forms is related to product returns and exchanges, and store and online sales.

With regard to cases received from customers through the Ethics Line, the procedure for handling them and ensuring the channel's efficacy is the same as for those received from other stakeholders, and is outlined in the relevant chapter of this Report.

Our customer service channels can be accessed via all our online store websites and apps. Likewise, the physical store teams pass on information about customer service and other formal complaints mechanisms as and when necessary.

S4-3_03;
S4-3_09;
S4-3_10

Likewise, everyone, including consumers, can access the Ethics Line continuously via our corporate website. In addition, external reporting channels designated by the competent authorities may also be used, including the institutions, bodies or agencies of the European Union.

① More information in section [S4-2. Processes for engaging with consumers about impacts](#) of this Report.

S4-3_11;
S4-3_12

In handling customer complaints and concerns, we maintain the utmost respect for **confidentiality, privacy and data protection**. In the specific case of our customer service channels, customers only need to provide contact information when their query is related to an order or when it requires subsequent follow-up or action by our customer service team. Other communications may be made anonymously.

To facilitate the implementation of our privacy programme, we carry out various transversal projects, such as removing or blocking any sensitive information provided by customers as a security measure, and other measures aimed at improving their shopping experience.

Furthermore, concerns about compliance received via the Ethics Line may be made anonymously.

① More information on the workings of the Ethics Line, including follow-up, control and ensuring its efficacy in section [G1-1. Corporate culture and business conduct](#) of this Report.

S4.MDR-A_01-12;
S4-4_01;
S4-4_02;
S4-4_04;
S4-4_07;
S4-4_08;
S4-4_10;
S4-4_12

S4-4. Actions related to consumers

The actions we carry out were designed to manage our impacts, risks and opportunities, whether actual or potential. For this purpose we continuously carry out initiatives to ensure the protection and care of our consumers and aim to prevent the occurrence of negative impacts, and, should these arise, remediate their effects. We therefore do everything we can, and allocate the necessary resources, to properly manage these impacts. We also carry out the necessary follow up through related metrics.

Against this backdrop, we take a dual approach of **prevention and mitigation**, responding to the negative impact and at the same time minimising the chances of its occurring in the future. We underscore our efforts to ensure the protection of our consumers' data, the accessibility and inclusion of all our customers, regardless of their specific characteristics, and our special health and safety protection measures, both in our stores and relating to our products.

Accordingly, we have standards, training plans and prevention and control programmes focused on preventing, mitigating and remedying any impact on our customers' health and safety. Likewise, our product health and safety teams are coordinated with all areas of the Company to ensure an adapted response to any notification of an incident from customers, community organisations or supervisory bodies, carrying out technical assessments and following up. If we find indications that a product might not be safe, it is withdrawn and our internal procedure is activated to communicate the situation and recall any units sold.

Our communication channels are the main source of key information to guide our strategies and actions relating to customers. In particular, we highlight the work of our store and customer service teams who, through their direct and constant relationship with consumers, pinpoint their priority needs. This ensures that our strategy is adapted to our broader reality.

S4-4_11

Furthermore, the Ethics Line allows us to track possible human rights infringements or irregularities, so that we can process the pertinent cases and promote the action required. Among the cases reported through the Ethics Line in 2024, no inherently severe incidents linked to customers' human rights have been revealed.

① More information in section [G1-1. Corporate culture and business conduct](#) of this Report.

In addition to responding to negative impacts, at Inditex we endeavour to have a **positive impact** on our customers. Our Customer Experience initiative takes a customer-centric approach, aiming for a constant improvement of their experience with Inditex.

S4-4_03;
S4-4_16

In this vein, we offer our consumers quality and safe products, which they can access in an inclusive way, with a personal and careful service experience, and having privacy guaranteed.

S4-4_17

Hence, when designing our customer actions, we consider the path outlined by the UN Sustainable Development Goals (SDGs), with a focus on contributing to achieving the goals defined. In 2024 our initiatives have contributed mainly to SDG 12, focusing on sustainable consumption and production patterns.

S4-4_13

At Inditex, we are mindful that the challenges posed by having global operations are shared, so we **collaborate** to leverage our effect and achieve a real and lasting impact. That is why we share our goals with suppliers, manufacturers, companies and brands, and other stakeholders such as NGOs, trade unions and local and international organisations. And we also work with global industry bodies and initiatives with the aim of achieving widespread adoption of sustainable practices across the sector.

S4-4_09

The possibility of attracting new customers by implementing responsible practices that are aligned with their interests and concerns is one of the **opportunities** we have identified. However, our actions that contribute to this opportunity are not designed to attract new customers, but are aligned with our understanding of sustainability as a responsibility and driver of our Company's strategy. These actions are detailed throughout the other chapters of this Report, mainly in standards E1, E2, E3, E4, E5, S2 and G1.

Health and safety actions

Related IROs: [S4.I2; S4.I4; S4.R1; S4.O1]

/ Health and safety initiative

MDR-A_01;
MDR-A_02;
MDR-A_03

The health and safety of our products is paramount to Inditex. Accordingly, we have standards, training plans and prevention and control programmes devised to ensure that our products comply with the strictest requirements and guidelines in all the markets where we operate.

We have product-specific generally applicable and mandatory standards for all the articles we sell⁴⁰, covering processes from design to manufacturing. We currently have eight product standards, each with a different scope:

Product standards

	Scope
Safe to Wear	Garments, children's footwear, accessories, including trimmings and fabrics used in their manufacture
Clear to Wear	Garments, fabrics, footwear, accessories and home textiles
Physical Testing Requirements	Garments, footwear, accessories and home textiles
Active to Wear	Garments and fabrics
i+Cosmetics	Cosmetics
i+Food Contact Materials	Products in contact with food
i+Home Fragrance and Candles	Home fragrances, candles and their accessories.
i+Child Care Furniture	Childcare furniture

⁴⁰ Articles that are outside the scope of Inditex's health and safety standards are subject to minimum requirement reports specifically compiled in accordance with the legal requirements that apply to the type of product and the markets where they are sold.

As indicated in the chapter on pollution, we work with technology companies, research centres and laboratories of international reference, as well as implementing our own programmes, to ensure that our products meet the Company's own standards.

① More information in sections [E2-1. Policies related to pollution](#) and [E2-2. Actions related to pollution](#) of this Report.

In particular, to strengthen compliance with our **Safe to Wear** safety standard, we provide our suppliers with manufacturing guidelines that include measurement tables with specific safety requirements, such as the position of appliqués and cords or maximum lengths of free ends.

Additionally, in line with our commitment to offer safe products, our product health and safety teams are fully coordinated with customer service teams on stores and any other area of the Company where information about incidents and/or complaints may be received.

At the same time, any notification from our customers, from community organisations or supervisory bodies is forwarded to our technical experts for evaluation and follow-up. If there are signs that a product may be unsafe for consumers, it is withdrawn from the market, customers are notified through the relevant channels and all units sold are recalled, according to our internal procedure.

To verify compliance with our health and safety standards, we use our **Picking** inspections programme. This programme allows us to verify that our products comply, among others, with our Safe to Wear (StW) and Physical Testing Requirements (PTR). Specifically, the programme's results in 2024 show an initial degree of compliance by our textile articles of 99.7% for StW and 99.3% for PTR (99.6% and 99.3%, respectively, in 2023).

① More information on the Picking programme can be found in section [E2-2. Actions related to pollution](#) of this Report.

Data protection and privacy actions

Related IROs: [S4.I1; S4.R1]

In 2024, we have worked in advocating the value of respect for privacy and ensuring an appropriate level of compliance with data protection and privacy regulations. Our compliance model in connection with data protection and privacy is based on:

- / Accompanying the business areas and providing risk-based advice.
- / Continuous improvement of the privacy programme and implementation of tools that strengthen the accountability system, accrediting compliance with the model.
- / Monitoring by the Group's global Data Protection Officer (DPO) through our privacy control system.
- / Annual report to the Board of Directors through the Audit and Compliance Committee and to the Company's Management through the participation in the Information Security Committee, when necessary.

Throughout this year, the Personal Data Protection and Privacy department has continued **advising the business and technology areas** in the projects they launched over the course of the year to ensure they are compliant with privacy requirements from the outset (privacy by design). Specifically, 65 projects involving the processing of customers' data were analysed.

In addition, in 2024 we carried out a work to **monitor regulations and adaptation projects in subsidiaries**, keeping track of new data protection regulations and modifications thereto so as to ensure an adequate level of compliance. We conducted an exercise to adapt to data protection and privacy regulations in markets such as Canada, Japan and Türkiye with the aim, not only of guaranteeing compliance, but adapting our corporate compliance model to local specificities.

With regard to training in connection with data protection and privacy, we continue to work on the promotion of the privacy culture at the Company through the **'privacy' course**, which is mandatory for all office teams who process personal data of different stakeholders. Since its launch in February 2024, 97% of the staff required to take this course have completed it.

MDR-A_04;
MDR-A_05

MDR-A_01;
MDR-A_02;
MDR-A_03

Likewise, based on their greater exposure to privacy risks, we have carried out the following actions focused on other priority groups:

/ We have collaborated with the Compliance department in specific training for the People department on the privacy aspects of the Code of Conduct.

/ We have continued to train our **Privacy Delegates**, our liaisons who help coordinate and manage data protection and privacy issues in each of the subsidiaries. In this regard, in 2024 we trained Privacy Delegates for 18 markets.

① More information can be found in the section *G1-3. Prevention and detection of corruption and bribery* of this Report

In order to guarantee the data protection of the groups whose personal data we process (customers, employees, candidates, etc.), we conduct an analysis of all the trends with an impact on privacy across our sector, as well as the obligations entailed by the new regulations and the interpretations of the supervisory authorities, judges and courts. This guarantees seamless compliance with the principles deriving from the data protection and privacy regulations.

In turn, we have worked on cases that could potentially affect customers' personal data in order to determine whether a security breach had occurred and, if so, whether it was necessary to notify the data protection authorities and/or the affected persons. Over the course of the year, four cases affecting personal data security occurred where the Company deemed it necessary to notify the data protection authorities, and one case in which the affected persons were also informed of their situation. All these were minor incidents and, to date, no additional information has been requested by the authorities. In any event, the necessary action plans have been put in place internally to avoid a recurrence in the future.

The actions carried out in relation to our costumers are carried out primarily by our people. The financial resources earmarked for these actions are associated with staff costs and other external operating expenses, which separately do not represent a material amount. Both are included in Operating Expenses in the Consolidated Income Statement (see *Note 6* of the Consolidated Annual Accounts).

Other initiatives

In addition to these actions, we carry out other initiatives linked to accessibility measures for customers with disabilities. Hence, stores meet architectural accessibility standards to enable people with disabilities to access and move around the stores and to ensure they have a satisfactory shopping experience.

With regard to digital accessibility, and thus our brands' websites and apps, as well as our recruitment and professional development platforms, Inditex Careers and InTalent, include specific functionalities to improve access for users with disabilities. Our websites are compliant with the General Accessible Design Principles established by the Web Accessibility Initiative (WAI), a part of the World Wide Web Consortium (W3C). In addition, thanks to the project in conjunction with EqualWeb, their home pages feature digital accessibility menus with voice, browsing, colour and content settings to ensure a more inclusive user experience.

Agreements and collaborations

Through collaborations and agreements with specialised organisations such as Open to All, ENAR and RED!, we work to raise awareness concerning the needs of vulnerable groups and take the necessary measures to ensure that our stores are spaces where everyone feels welcome. In the United States, in 2022 we also signed the Mitigate Racial Bias in Retail Charter, which advocates for actions to eliminate racial bias in shopping experiences. Furthermore, in the European Union, 13 of our subsidiaries have signed the Diversity Charter, a public commitment to create inclusive spaces that are free of discrimination, and to promote diversity and equal opportunities for their staff and customers.

This type of collaboration and partnerships are aimed at improving the customer experience by adopting inclusive policies that generate more respectful and inclusive environments for everyone entering our stores, regardless of their personal characteristics.

MDR-A_04;
MDR-A_05

MDR-A_06;
MDR-A_07

C. Metrics and targets

S4-5. Targets related to consumers

S4.MDR-T_14-19;
MDR-T_20;
MDR-T_21

At this stage we do not have specific targets linked to our customers. However, we are working on the global ambition of improving our consumers' experience, minimising negative impacts and maximising the positive ones. We do this through the commitments enshrined in our policies, as well as the initiatives we carry out during the year. An example of this is our target of including new circularity services in our markets, in keeping with our Sustainability Policy highlighting the development of our **Zara Pre-Owned** platform.

① More information in section [E5-3. Targets related to resource use and circular economy](#) of this Report.

7. Governance information

[ESRS G]

G1. Business conduct

Additional information. Cybersecurity

Additional information. Responsible risk management

Additional information. Tax responsibility and transparency

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G1. Business conduct

IRO-1. Material impacts, risks and opportunities

As a result of our analysis, we identified material impacts, risks and opportunities related to business conduct.

Material Impacts, Risks and Opportunities related to business conduct

		TYPE (I/R/O)	PHASE OF THE VALUE CHAIN ⁽¹⁾	RELATED POLICIES
G1.I1	Possibility of ineffectiveness of the grievance mechanisms	I	/ Own operations / Extended value chain	Transversal Policies: / Code of Conduct / Code of Conduct for Manufacturers and Suppliers / Human Rights Policy / Sustainability Policy / Sustainability Stakeholder Relations Policy Specific Policies: / Compliance Policy / Due Diligence Policy / Policy on Public Policy / Policy on Donations and Sponsorships / Gifts & Invitations Policy / Policy on Dealings with Public Servants / Anti-Money Laundering and Terrorist Financing Policy / Conflicts of Interest Policy / Criminal Risk Prevention Policy / Global Policy on Internal Reporting Channels / Ethics Line Procedure
G1.I2	Promotion of regulatory development and industry improvement	I	/ Own operations / Value chain	
G1.I3	Possibility of corruption, fraud, bribery and other unlawful acts	I	/ Own operations	
G1.I4	Supplier relations management and responsible purchasing practices	I	/ Value chain	
G1.R1	Risks arising from the relationship with key suppliers	R	/ Value chain	
G1.R2	Cybersecurity risks	R	/ Own operations	

⁽¹⁾ The extended value chain comprises the environment and the communities in which we are present even if they are not directly linked to our activity.

① More information in sections *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

A. Corporate ethical culture and solid compliance architecture

GOV-1. The role of the governing bodies

G1.GOV-1_01

Strategy and governance

The Board of Directors defines and approves the ethical commitments reflected in the Codes of Conduct and ensures compliance with them.

The Audit and Compliance Committee is tasked with a series of competencies in connection with risk management and business conduct, which includes the supervision of the Compliance function. On a quarterly basis throughout the year, and whenever requested, the Compliance function provides the Audit and Compliance Committee with:

- / the annual and half-yearly reports by the Ethics Committee on its activity, the functioning of the **Ethics Line** and the overseeing of the **Model of Criminal Risk Prevention**;
- / the periodic reports from the Chief Compliance Officer on the functioning of the **Global Compliance Model**, compliance **risk management**, the status of the cases processed by the Ethics Committee and the main **compliance projects and initiatives** (including training and awareness-raising), the **Annual work plan**, the annual budget and the means and resources available to the Compliance function; and
- / the **internal rules** that are submitted to the Board of Directors for approval or amendment, subject to a report from the Board Committee with competence in this area.

In view of these reports, the Audit and Compliance Committee may raise questions, draw conclusions and make proposals for measures aimed at improving the functioning of the Global Compliance Model. The Committee in turn reports to the Board of Directors on these matters.

The Compliance function is corporate and coordinates all areas with compliance responsibilities within the Inditex Group. It is made up of:

- / The **Ethics Committee** is the internal body responsible for overseeing compliance with the Codes of Conduct and the Model of Criminal Risk Prevention. It is responsible for the Internal Reporting System and for managing the Ethics Line. It is made up of six members appointed by the Board of Directors on 15 March 2022 and 3 May 2023, following a report from the Audit and Compliance Committee. Its Regulations, approved by the Board of Directors, regulate its functioning and powers. This Committee submits regular reports to the Audit and Compliance Committee on matters within its competence.
- / The **General Counsel's Office - Compliance** (hereinafter, the **Compliance department**): it is tasked with the operating management of the Global Compliance Model and, in particular, the Model of Criminal Risk Prevention and other models for the prevention of corruption and other offences. The Chief Compliance Officer, who is also a member of the aforementioned Ethics Committee, reports periodically to the Audit and Compliance Committee on the activity of the Compliance function, the functioning of the Global Compliance Model, compliance risk management, annual work plans and the means necessary to carry them out. The Compliance department is made up of 12 professionals, has the support of more than 70 Compliance Delegates and an annual budget, at headquarters and subsidiaries.

The independence of the Compliance function is guaranteed by the appointment of the members of the Ethics Committee and the approval of its Regulations by the Board of Directors and by the direct liaising of the Chief Compliance Officer with the Audit and Compliance Committee, ensuring that the ultimate control of the Model's efficiency depends exclusively on the Board of Directors.

The governing, management and supervisory bodies of the Global Compliance Model are detailed below:

Governance, management and supervisory structure of the Global Compliance Model

Board of Directors

Audit and Compliance Committee

- / Assessment of the effectiveness of internal financial and non-financial risk management and control systems
- / Identification of the most significant financial and non-financial risks
- / Monitoring compliance and effectiveness of compliance policies and procedures

Ethics Committee Decision-making body

Its composition, operation and competencies are provided for in its Regulations, as approved by the Board of Directors

Responsibilities:

- / Overseeing compliance with the Codes of Conduct
- / Overseeing the Model of Criminal Risk Prevention / Ethics Line management
- / Responsible for the Internal Reporting System

Comprised of:

- / General Counsel and Secretary of the Board of Directors
- / Chief Compliance Officer
- / Chief People Officer
- / Chief Audit Officer
- / Chief Sustainability Officer
- / Ethics Line Manager

General Counsel's Office - Compliance Operational management

Responsibilities:

- / Organisation and coordination of internal regulation
- / Liaising with different departments entrusted with Compliance duties
- / Periodic reporting by departments with Compliance functions
- / Periodic reporting to the Ethics Committee and the Audit and Compliance Committee (on activity, work plans, budget and resources)

Comprised of:

- / General Counsel and Secretary of the Board of Directors
- / Chief Compliance Officer
- / Ethics Line Manager
- / Rest of the Compliance department

G1.GOV-1_02

To ensure that the Board of Directors and its respective Committees, which have competencies relating to business conduct, have a suitable composition that allows them to properly discharge their duties, the **Company has a Diversity of Board of Directors Membership and Director Selection Policy**, approved by the Board of Directors.

Likewise, the Audit and Compliance Committee Regulations establish that the members of the Committee must be appointed on the basis of their knowledge and experience in, among other areas, financial and non-financial risk management, as well as their relevant technical expertise in relation to the Company's sector of activity.

The Nomination Committee understands that, generally speaking, to properly carry out its oversight duties, members of the Board of Directors must, as a whole, be of recognised solvency, competence, experience and merit: (i) in the Company, Group and retail sector; (ii) in economics and finance, as well as in accounting, auditing and risk management; (iii) in regulatory compliance and corporate governance; (iv) in the digital and new technologies sector; (v) in sustainability; (vi) in different geographical markets; and (vii) in business management, leadership and strategy.

① More information in section [GOV-1. The role of the governing bodies](#) of this Report.

Currently, 40% Board members have prior experience in compliance and corporate governance matters and 60% have experience relating to enterprise risk management.

① More information on the Board Skills Matrix in the 'Investors' section of 'Corporate Governance - Board of Directors' of our corporate website.

G1-1. Corporate culture and business conduct

G1-1_01

The ethical culture of the Inditex Group is based on the premise that **'the how matters'**. We believe that value comes from how we do things and that the journey is more important than the destination. We do not understand success without the ethical commitments and action principles that drive us.

Our ethical commitments and the action principles that should guide our day-to-day activities are set out in our Codes of Conduct and developed upon further in other internal rules. To promote knowledge of and compliance with these rules, they are published internally and/or externally and awareness-raising or training initiatives are carried out and adapted to the profile of the people who should know them and apply them in their work.

Global Compliance Model

Our corporate ethical culture is integrated and implemented in all our operations through the Global Compliance Model. Its purpose is to ensure compliance with the law and the ethical commitments undertaken by the Inditex Group, and to protect the Company and the interests of our stakeholders, preventing or limiting any type of legal liability.

The Model is made up of fundamental corporate and high-level elements, that are developed upon in various internal rules, among which our Codes of Conduct, described in the section [MDR-P. Policies](#), stand out.

The key elements of the **Global Compliance Model**:

- / Governance, management and supervisory structure of the Global Compliance Model
- / Codes of Conduct
- / Ethics Line
- / Disciplinary system
- / Compliance training plan
- / Due diligence
- / Compliance Policy
- / Policy for Representatives and Attorneys of Companies within the Inditex Group
- / Internal Audit function

① More information in section [MDR-P. Policies](#) of this Report, and in the 'Ethical Commitment' section of our corporate website.

In 2024, we also continued with the adaptation of the Ethics Line to the various transpositions of the Whistleblowing Directive, drew up a corporate taxonomy of compliance risks, reviewed the methodology for assessing these risks and continued with the integration of the Model of Criminal Risk Prevention and the existing local models into the Global Compliance Model.

① More information on the policies and their update in section [MDR-P. Policies](#) of this Report.

Model of Criminal Risk Prevention

As part of the Global Compliance Model, Inditex relies on a Model of Criminal Risk Prevention to prevent the commission of offences under Spain's Criminal Code, among them corruption, fraud and bribery. The Model was approved by the Board of Directors in 2012 and revised in depth on 19 July 2016. It is continuously updated, evaluated and improved to ensure it is in line with the Group's operations, legal requirements and recommendations and best practices in this area, as well as to ensure its implementation and effectiveness.

Composition of the **Model of Criminal Risk Prevention**

/ **Policy:** it describes the Model and details criminal risks to which the Group is potentially exposed due to its operations, in accordance with Spanish law and the Internal Regulations containing guidelines for conduct to prevent these risks.

/ **Procedure:** it establishes the organisational measures; the roles and responsibilities in the field of control, verification and reporting of the Model, and the Ethics Committee's functions in this field.

/ **Risk and Control Matrix** (hereinafter, the Matrix): this is a catalogue of criminal risks to which the Group is inherently exposed, including corruption risks, and an inventory of controls defined for mitigating such risks, allocating the frequency and the department responsible for their execution. It is continuously reviewed and updated in accordance with applicable law and Group operations. The risks are assessed annually based on their impact and likelihood of occurrence. Controls are monitored on a regular basis, with the support of external auditors. With the information obtained in the process of assessing and of overseeing the controls, priority criminal risks are identified.

The Criminal Risk Prevention Policy and the Matrix were reviewed in 2024. A risk assessment and monitoring of the controls of the Matrix has been carried out, taking into account the prioritisation of the risks they mitigate, in accordance with the previous year's assessment.

Our overseeing of the Model of Criminal Risk Prevention carried out in 2024 had the support of external consultants in reviewing the evidence of the execution of the Matrix controls, which was provided by the responsible departments during the monitoring process. We also received external expert advice when reviewing the taxonomy of compliance risks and the methodology for assessing criminal risks. In both cases, professional services firms independent of the Company's auditors were hired.

Since its review in 2016, this Model has been audited by an independent third party on several occasions, with a reasonable assurance review scope, in order to confirm the effectiveness and proper functioning of the controls contained in the Risk and Control Matrix, as well as the Model's adequacy in terms of the requirements set out in sections 2 and 5 of article 31 bis of the Criminal Code, the UNE-ISO 19600 Compliance Management Systems standard, and in keeping with the guidelines of COSO in its report 'Internal Control – Integrated Framework' (2013). The audit report was unqualified in all cases. The last of these audits was carried out in the financial year 2021, the report of which was presented to the Audit and Compliance Committee at its meeting on 15 March 2022.

The main anti-corruption risks to which the Group is inherently exposed due to its activity, in accordance with the applicable legislation, are identified in the Matrix, and are as follows: prevention of corruption in business, prevention of corruption in international transactions, prevention of bribery and prevention of influence peddling.

In addition to the fundamental elements of the Global Compliance Model mentioned above, there are specific controls to mitigate corruption, fraud, money laundering and terrorist financing. These include the Integrity Policies (Donations and Sponsorships, Gifts & Invitations, and Dealings with Public Servants), the Conflicts of Interest Policy, the Policy on Public Policy, and the Anti-Money Laundering and Terrorist Financing Policy.

Due diligence processes in connection with compliance

Inditex is committed to controlling and preventing compliance risks of third parties with which it has dealings. For this purpose, there is a third-party control system, described in the **Due Diligence Policy** and the implementing internal regulations thereof, which includes the principles and action criteria that aim to align Inditex's relations with its business partners, suppliers and large customers with international standards and best practices in the field of anti-corruption and anti-bribery, the applicable anti-corruption regulations, and the prevention of money laundering and terrorist financing. It also aims to guarantee compliance with the sanctions and commercial restrictions approved by, at least, the European Union, the United States, the United Kingdom and the United Nations, as well as compliance with the regulations on the prevention of forced labour and on due diligence concerning the value and supply chains currently in place in the various jurisdictions where the Group operates.

This process consists of the **identification and analysis of all the suppliers, business partners and third parties** with which the Inditex Group does business, as well as, in certain cases, their main shareholders, directors and beneficial owners. This allows us to identify potential risks related to corruption, fraud, tax evasion, money laundering, international sanctions, forced labour, reputational risks, or similar risks that may be associated with these third parties. The process, for which the Compliance department is responsible, is separate from but aligned with any other analysis of a social, environmental, operational, financial, commercial or any other nature which the Inditex Group may be engaged in with suppliers or other third parties. This due diligence system is consistent with the human rights system, supervised by the Sustainability department.

① More information in sections [GOV-4. Statement on due diligence](#) and [G1-2. Management of relations with suppliers](#) of this Report.

Principles of the **due diligence process**:

- / **Mandatory** for all business partners, large customers, suppliers and third parties with whom we engage in business relations.
- / **Necessary prerequisite** in order to initiate business relations with third parties, which are also monitored.
- / **Prohibition of any business dealings** with third parties regarding which **compliance risks** have been detected, when no action plan to mitigate or remedy such risks is under way.
- / **Reasonableness and proportionality**. Different levels of analysis are applied based on objective criteria (business turnover, industry or market risk, etc.).

The process is carried out **from the outset of the commercial relationship**. All suppliers and other third parties that enter into commercial and/or professional relations with the Group are subject to the scheduled due diligence process, which is increasingly demanding in accordance with certain factors, including: (i) the third party's total estimated business with Inditex; (ii) the market in which the third party is based and carries out its main business; (iii) the sector to which it belongs; and (iv) its degree of interrelation with the authorities and public servants. All existing suppliers are also periodically assessed **during the commercial relationship**, submitting them to the flow that may be applicable to them, in accordance with the Group's internal regulations.

Risks identified as relevant will lead to the implementation of an action plan coordinated by the Compliance department, which may range from a remedial measure to the termination of the business relationship with the third party. The internal regulations describe the roles and responsibilities of the areas involved in the various procedural review flows, as well as in the design, execution and monitoring, where appropriate, of any action plans established.

Additionally, Inditex's internal regulations include restrictions on hiring third parties, only allowing those based in markets authorised by the Group to be hired (i.e., those who meet legal and business operation criteria), and on making and receiving payments to and from third parties which, having met the foregoing requirement, are made from a bank account opened in such markets.

The Group has minimum standards that must be accepted by all its product suppliers: the Inditex Minimum Requirements (IMRs). Among the IMRs are the Codes of Conduct, the Sustainability Policy, the Human Rights Policy, the Traceability Requirements and the Green to Wear standard. By implementing the IMRs, Inditex guarantees that all the product suppliers with whom it works agree to comply with certain social, environmental and product health and safety standards, among others. Furthermore, since 2022, non-product suppliers in Spain have to accept a Declaration of Compliance with Minimum Conditions prior to being registered as Group suppliers. The aforementioned requirements are applied continuously and are a prerequisite for contracting new suppliers and third parties.

G1.MDR-P_01-06

Key Internal Regulations

Our ethical commitments and the action principles that should guide our day-to-day activities and our dealings with all our teams and the supply chain are set out in our Codes of Conduct and developed upon further in other internal rules. To promote knowledge of and compliance with these rules, they are published internally and/or externally and training or awareness-raising initiatives are carried out and adapted to the profile of the people who should know them and apply them in their work.

Core regulations

- / Code of Conduct (approved in 2012 and amended in 2024) ① [ESRS 2](#)
- / Code of Conduct for Manufacturers and Suppliers (approved in 2001 and amended in 2012) ① [ESRS 2](#)
- / Compliance Policy (2016) ① [G1-1](#)
- / Internal Regulations Policy (approved in 2016, as 'Zero Standard', and amended in 2024)

Integrity and transparency

- / Due Diligence Policy (2019) ① [G1-1](#)
- / Integrity Policies:
 - Gifts & Invitations Policy (approved in 2017, as 'Policy on Gifts and Business Courtesies', and amended in 2024) ① [G1-1](#)
 - Policy on Dealings with Public Servants (2017) ① [G1-1](#)
 - Policy on Donations and Sponsorships (2017) ① [G1-1](#)
- / Anti-Money Laundering and Terrorist Financing Policy (2018) ① [G1-1](#)
- / Conflicts of Interest Policy (approved in 2019 and amended in 2024) ① [G1-1](#)
- / Criminal Risk Prevention Policy (approved in 2016 and amended in 2024) ① [G1-1](#)
- / Policy on Public Policy (approved in 2024) ① [G1-5](#)

Ethics Line

- / Global Policy on Internal Reporting Channels (2023) ① [G1-1](#)
- / Ethics Line Procedure (approved in 2012 and amended in 2023) ① [G1-1](#)
- / Regulations of the Ethics Committee (approved in 2012 and amended in 2023)

MDR-P_01;
MDR-P_02;
MDR-P_03;
MDR-P_04;
MDR-P_05

Below is a summary of the main internal rules related to our corporate ethical culture and business conduct, which are available on the intranet (INET), and on the corporate website (www.inditex.com).

Compliance Policy

Approved by the Board of Directors on 13 December 2016

Key contents	/ Compliance with applicable legislation, internal regulations and the ethical commitments undertaken voluntarily by Inditex
Scope	/ The entire Group (companies and individuals) / Other natural or legal persons linked to Inditex, when possible due to the nature of the relationship and when conducive to compliance
Accountable for the implementation	/ The Compliance department and its chief officer
Third-party standards	/ Spain's Criminal Code / France's Sapin II Law (Loi Sapin II) / UK Bribery Act / US Foreign Corrupt Practices Act (FCPA)

Due Diligence Policy

Approved by the Board of Directors on 10 September 2019

Key contents	/ Describing the process for the identification and analysis of business partners, suppliers and large customers, with whom the Group has dealings, in connection with corruption, fraud, international trade sanctions and similar risks / List of the means available to implement due diligence (Supplier's Master of the Group, Customer's Master of the Group, or the External Compliance Databases, etc.)
Scope	/ The entire Group (companies and individuals) / Other natural or legal persons linked to Inditex, when possible due to the nature of the relationship and when conducive to compliance
Accountable for the implementation	/ The Compliance department and its chief officer
Third-party standards	/ Spain's Criminal Code / France's Sapin II Law (Loi Sapin II) / UK Bribery Act / US Foreign Corrupt Practices Act (FCPA)

Gifts & Invitations Policy

Approved by the Board of Directors on 19 September 2017 and updated on 6 February 2024

Key contents	/ Forms part of the Group's Integrity Policies / Complements and develops the Codes of Conduct / Commitment to zero tolerance of corruption and bribery, and to actively combat and condemn any corrupt practices / Measures to prevent and detect practices relating to gifts and invitations that could compromise the integrity of the Group / Guidelines to prevent corruption and bribery / List of permitted gifts and invitations and guidelines to be followed in this regard
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors)
Accountable for the implementation	/ The Compliance department and its chief officer
Third-party standards	/ Spain's Criminal Code / France's Sapin II Law (Loi Sapin II) / UK Bribery Act / US Foreign Corrupt Practices Act (FCPA)

Policy on Dealings with Public Servants

Approved by the Board of Directors on 19 September 2017

Key contents	/ Forms part of the Group's Integrity Policies / Development of the Code of Conduct / The main aim is to actively combat and strongly condemn any corrupt practices and any form of bribery of public servants, including facilitation payments / Guidelines to prevent corruption and bribery
Scope	/ The entire Group (companies and individuals) / Other natural or legal persons related to Inditex, if applicable
Accountable for the implementation	/ The Compliance department and its chief officer
Third-party standards	/ Spain's Criminal Code / France's Sapin II Law (Loi Sapin II) / UK Bribery Act / US Foreign Corrupt Practices Act (FCPA)

Policy on Donations and Sponsorships

Approved by the Board of Directors on 19 September 2017

Key contents	/ Forms part of the Group's Integrity Policies / Commitment to zero tolerance of corruption and bribery, and to actively combat and condemn any corrupt practices / <i>Compliance</i> with the main anti-corruption and anti-bribery regulations applicable in the markets in which the Group operates
Scope	/ The entire Group (companies and individuals) / Other natural or legal persons related to Inditex, if applicable
Accountable for the implementation	/ The Compliance department and its chief officer
Third-party standards	/ Spain's Criminal Code / France's Sapin II Law (Loi Sapin II) / UK Bribery Act / US Foreign Corrupt Practices Act (FCPA)

Anti-Money Laundering and Terrorist Financing Policy

Approved by the Board of Directors on 13 March 2018

Key contents	/ Determination of the criteria that will tend to prevent Inditex or Group companies from being used to carry out any kind of money laundering and/or terrorist financing operations / Definition of the due diligence processes implemented within the Company taking into account the different types of business activities we perform
Scope	/ The entire Group (companies and individuals) / Other natural or legal persons linked to Inditex, when possible due to the nature of the relationship and when conducive to compliance
Accountable for the implementation	/ The Compliance department and its chief officer
Consideration given to stakeholders	/ The interests, expectations and needs of stakeholders were taken into account when drawing up the Policy / The Policy also provides for the possibility of establishing collaboration with the most relevant stakeholders to implement it

Conflicts of Interest Policy

Approved by the Board of Directors on 16 July 2019 and last amended on 6 February 2024

Key contents	/ Development of the Group's action principles and guidelines for conduct in connection with conflicts of interest, as well as the implementation of aspects related to the Codes of Conduct / Measures to prevent and avoid and, where applicable, report and manage conflicts of interest arising in connection with any individual as they carry out their professional duties, as well as others raised with customers, suppliers or other stakeholders
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group
Accountable for the implementation	/ The Compliance department and its chief officer
Third party standards	/ Spain's Criminal Code / France's Sapin II Law (Loi Sapin II) / UK Bribery Act / US Foreign Corrupt Practices Act (FCPA)

Criminal Risk Prevention Policy

Approved by the Board of Directors on 19 July 2016 and updated on 12 March 2024

Key contents	/ Development of the Codes of Conduct / General principles governing Inditex's commitment to the prevention, detection and, in the event, management of criminal risks to which we are potentially exposed due to our activity, in accordance with applicable legislation in Spain / Guidance on the conduct persons in the Inditex Group should observe while carrying out their duties, including members of the Board of Directors, executives and representatives of the Group / Regulation of the Model of Criminal Risk Prevention, included within the Global Compliance Model
Scope	/ All Group companies and people in teams in Spain (including actions and operations carried out outside Spanish territory) / People who provide services or collaborate with the Group (including the Board of Directors)
Accountable for the implementation	/ The Compliance department and its chief officer
Third-party standards	/ Spain's Criminal Code
Consideration given to stakeholders	/ Analysis of stakeholder engagement to identify the criminal risks to which the Company is potentially exposed due to its activity, in accordance with applicable legislation in Spain

G1-1_02;
G1-1_13

Ethics Line

Grievance mechanism: the Ethics Line

The **Ethics Line** (including both the Global Ethics Line and the various Local Ethics Lines) is the preferred, strictly confidential, internal communication channel available to any employee, director and shareholder of any company of the Group, as well as anyone working under the supervision and management of manufacturers, suppliers, contractors and subcontractors of the Inditex Group may raise, including anonymously:

/ **Questions and/or doubts** about the interpretation or application of the Codes of Conduct or any other internal rules of conduct within the competence of the Ethics Committee.

/ **Infringements and other breaches** of the applicable legislation, the Codes of Conduct or of any other internal rule of conduct within the competence of the Ethics Committee, affecting Inditex and committed by employees, manufacturers, suppliers or third parties with whom the Group has a direct employment, commercial or professional relationship. Any breaches or irregularities related to corruption, fraud and bribery can also be reported via this channel.

The Ethics Line is therefore available to all our stakeholders, including in particular our teams, workers in the value chain, members of the community, and customers themselves.

How the Ethics Line works

1. Concerns: The person concerned reports an incident through the channels provided for this purpose on the intranet (INET) and on the corporate website (www.inditex.com).

2. Management: The Ethics Committee acknowledges receipt of the report and evaluates whether it falls within the scope of application of the Ethics Line.

3. Investigation: The Ethics Committee carries out the investigation process in collaboration, where applicable, with other areas.

4. Measures: Upon completion of the investigation and after granting the affected party the right to be heard, the Ethics Committee will issue its decision on:

- / The closing of proceedings, where no breach exists; or
- / The existence of a breach, its severity and whether it is appropriate to take disciplinary measures and/or complementary actions.

In the **event of a breach**, the measures to be taken will be determined in collaboration with the corresponding department depending on the breach's severity and other circumstances, and **may consist of:**

- / The immediate correction of the breach and the adoption of measures to remedy and prevent future breaches.
- / Disciplinary measures (ranging from warning or admonishment to dismissal).

The **Ethics Committee** is the internal, collegiate, and independent body responsible for the Group's Internal Reporting System and for managing the Ethics Line and must promote the necessary investigations to adequately resolve cases handled, in accordance with the **Policy on Internal Reporting Channels** and the **Ethics Line Procedure** (approved and reviewed, respectively, by the Board of Directors on 3 May 2023). Its composition, operation and competencies are regulated in the **Regulations of the Ethics Committee**, as amended by the Board of Directors on 3 May 2023. The decisions of the Ethics Committee are **binding upon** the Group and upon the person to whom they are addressed.

In addition to the Global Ethics Line, Inditex has **Local Ethics Lines** in 15 markets in order to comply with the requirements and/or best practices applicable in those markets⁴¹.

⁴¹ Belgium, Bulgaria, Canada, Croatia, Czech Republic, Finland, Greece, Hungary, Luxembourg, Netherlands, Slovakia, Slovenia, Sweden, Poland, United States and Puerto Rico.

G1-1_05;
G1-1_12

The Ethics Line is governed by the principles and guarantees established in the **Global Policy on Internal Reporting Channels** and by the **Ethics Line Procedure**. These internal regulations incorporate international best practices in connection with human rights and adapt the Ethics Line to the requirements of the markets in which the Group operates (in particular, to the requirements derived from the transposition into Member States' law of Directive (EU) 2019/1937 on the Whistleblower Protection Directive, which include, among others, personal data protection and the rights of persons using whistleblowing mechanisms).

These internal rules offer the following guarantees and protection measures to the parties involved in the process:

- / **Utmost confidentiality.**
- / **Presumption of innocence** and preservation of **the right to honour** of the persons affected by the report.
- / **Non-retaliation against any reporter** or any person helping the informant during the investigation.
- / **Appropriate use of personal data** processed.
- / **The parties' right** to be heard.

① All the information regarding the Ethics Committee and the Ethics Line is available on our **intranet** and on our **corporate website** (www.inditex.com), under the 'Ethics Line' tab.

When a concern is submitted via the Ethics Line, the Ethics Committee analyses its content and determines the appropriate measures, including opening an investigation where appropriate.

In keeping with best practices, the Group has a tool provided by an external supplier to receive and handle concerns from the Ethics Line. This tool is accessible **24 hours a day, 7 days a week** and is available in 22 languages.

Proof that stakeholders know and trust the Ethics Line is the fact that communications are received from the various groups, and that these communications have increased during the year, for example in the case of our teams and workers in the value chain. Furthermore, the monitoring and supervision of the cases via the Ethics Line allows us to work to ensure their effectiveness.

① More information in section *G1-4. Communications received through the Ethics Line* of this Report.

G1-1_08

As stated in the Global Policy on Internal Reporting Channels, the Ethics Committee, as the body responsible for the Group's Internal Reporting System, must lead any investigations that may be necessary and propose, where needed, the appropriate remediation, prevention and awareness measures. It must carry out its duties independently, impartially and autonomously and respond for the system's management and diligent processing of concerns received via the Ethics Line and other Internal Reporting Channels within that System. In accordance with the Regulations of the Ethics Committee, members of the Ethics Committee must refrain from taking part in the examination, deliberation and/or voting stages on matters in which they incur a conflict of interest.

The Procedure regulates the deadlines for the processing and investigation of concerns received, to ensure that they are properly handled. Those deadlines are consistent with applicable regulations.

G1-1_14

Pursuant to our Code of Conduct and the Ethics Line Procedure, the Company strictly prohibits any form of retaliation or threat of retaliation against persons who report any matter in good faith, as well as against persons who cooperate in the investigation.

MDR-P_01;
MDR-P_02;
MDR-P_03;
MDR-P_04;
MDR-P_05

The main contents of our Global Policy on Internal Reporting Channels and the Ethics Line Procedure are set out below.

Global Policy on Internal Reporting Channels

Approved by the Board of Directors on 3 May 2023

Key contents	/ General principles applicable to the implementation of the Inditex Group's Internal Reporting System and to the different Internal Reporting Channels that comprise it / Protection guarantees for informants making use of the System as provided in the Policy
Scope	/ The entire Group (companies and individuals)
Accountable for the implementation	/ Ethics Committee
Third-party standards	/ Directive (EU) 2019/1937 of the European Parliament and of the Council of 23 October 2019 on the protection of persons who report breaches of Union Law (the 'Whistleblower Protection Directive')
Consideration given to stakeholders	/ It was the subject of a report to the European Works Council (EWC), a body for assurance and effectiveness of information and consultation of employees on transnational issues

Ethics Line Procedure

Approved by the Board of Directors on 17 July 2012 and last updated on 3 May 2023

Key contents	/ Principles and guarantees applicable to the handling and processing of informants' concerns and enquiries through the Ethics Line / Means made available for the use of the Ethics Line and for submitting concerns / Regulation of the processes for the handling and investigation of concerns and enquiries, including the measures that may be taken
Scope	/ Communications processed through the Ethics Line / In a supplementary capacity, also for communications from all Internal Reporting Channels that do not have their own procedure, or for matters that are not covered therein
Accountable for the implementation	/ Ethics Committee
Third-party standards	/ Directive (EU) 2019/1937 of the European Parliament and of the Council of 23 October 2019 on the protection of persons who report breaches of Union law (the 'Whistleblower Protection Directive') / Similar regulations in those countries where they exist
Consideration given to stakeholders	/ It was the subject of a report to the European Works Council (EWC), a body for assurance and effectiveness of information and consultation of employees on transnational issues

G1-1_10;
G1-1_11

① More information on compliance training in section [G1-3. Prevention and detection of corruption and bribery](#) of this Report.

G1-3. Prevention and detection of corruption and bribery

G1-3_01

Corruption and bribery are totally at odds with the way we operate. At Inditex we have zero tolerance for corruption of any kind and are committed to complying with anti-corruption laws in all markets where we operate. We have Codes of Conduct and a number of policies that set out principles and guidelines to prevent corruption and bribery: Due Diligence Policy and Integrity Policies (Donations and Sponsorships, Gifts & Invitations, and Dealings with Public Servants), Conflicts of Interest Policy, and the Policy on Public Policy.

Furthermore, the Global Compliance Model and, in particular, the Model of Criminal Risk Prevention in Spain and other models for the prevention of corruption and other crimes in other markets, aim to prevent and manage risks related to the potential commission of crimes, including corruption, bribery and fraud.

G1-3_02

The Company's Ethics Line is a way to report, among other issues, any unlawful conduct relating to corruption or bribery.

① More information on the Ethics Line in section [G1-1. Corporate culture and business conduct](#) of this Report.

G1-3_03

The Audit and Compliance Committee is responsible for risk management and business conduct, including supervision of the Compliance function. At its meetings in February, March, June, September and December 2024, the Committee received from the Compliance function and the Chief Compliance Officer the reports indicated in section [GOV-2. Information provided to governing bodies and sustainability matters addressed](#).

G1-3_05

Communication and awareness-raising

We provide everyone in the Inditex Group with knowledge of and access to the internal rules that apply to them. The General Counsel's Office is responsible for carrying out a series of communication and awareness-raising actions:

- / It informs and updates the members of Inditex's Board of Directors on a quarterly basis throughout the year, regarding the compliance matters listed in section [GOV-2. Information provided to governing bodies and sustainability matters addressed](#). Prior to meetings of the Board of Directors, it makes the policies or other internal rules available to the directors, for their subsequent approval or amendment.
- / It makes the internal policies and rules applicable to employees available on INET, under the 'Internal Regulations' tab, and communicates them to employees with corporate email.
- / It makes the most significant policies available to all our stakeholders on the corporate website (www.inditex.com), under the tab 'Ethical Commitment'.

The following is a list of policy communications related to the prevention of corruption and bribery that were released in 2024, broken down by type of communication and job classification of the people who received them:

	Communication type	Professional category			Total
		Management	Supervisor	Specialist	
Code of Conduct	Newsletter - Update	4,085	3,729	5,900	13,714
Gifts and Invitations Policy	Newsletter - Update	6,377	6,644	12,237	25,258
	Newsletter - Annual Reminder	6,262	7,153	14,478	27,893
Conflict of Interest Policy	Newsletter - Update	6,377	6,663	12,262	25,302
Human Rights Policy	Newsletter - Update	6,371	6,687	12,135	25,193
Criminal Risk Prevention Policy	Newsletter - Update	1,799	2,763	9,077	13,639
Policy for Representatives and Attorneys of Companies within the Inditex Group	Newsletter - Update	6,225	7,126	14,472	27,823
Policy on Public Policy	Newsletter - New publication	5,842	6,914	14,175	26,931
Enterprise Risk Management Policy	Newsletter - Update	6,286	7,218	14,487	27,991

Moreover, the Group's product suppliers have access to the supplier extranet to consult the IMRs applicable to them. Notable among all these internal regulations are the Codes of Conduct, which set out the guidelines for preventing corruption.

Compliance training plan

G1-3_06;
G1.MDR-A_01-12

Training our people and suppliers is key to strengthening our corporate ethical culture and implementing our Global Compliance Model across all our operations.

Our Code of Conduct sets out the action principles that must guide all our actions (respect, integrity and honesty, transparency and accountability) and reminds all people in the Group that they are required to complete the mandatory training when called.

Likewise, our Code of Conduct emphasizes management's commitment 'Tone at the top' and includes the fundamental role of team leaders in the application of the Code and in the promotion of the corporate ethical culture. Therefore, they are asked to act by example; to promote knowledge of and compliance with the Code; to foster a culture of dialogue and respect in the management of their teams; and to encourage the communication of doubts or breaches, without fear of retaliation.

The promotion of the corporate ethical culture is supported by the communication and awareness-raising actions described above, and by a Compliance Training Plan (hereinafter, **Training Plan**), with training and awareness-raising measures adapted to the risk profile of the Group's employees.

G1-4_03;
MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05

Global campaign on the Code of Conduct

In 2024, the Training Plan included **a global campaign on the Code of Conduct** (updated in February 2024) in order to familiarise everyone in the Group with the culture of ethics and compliance. Corporate tools have been used to ensure regular monitoring and adequate traceability of communication, awareness-raising and training actions:

/ Communication and awareness-raising:

- The Code is available in 34 languages on INET to everyone in the Group.
- A global news article was launched on INET, which received the most likes during the year.
- An information page on the Code was published in the 'Ethical and responsible culture' section of INET, which received 61,043 visits, and the information space on INET dedicated to Compliance was updated, with 65,466 visits.
- A launch video on the Code was shown and informative posters on the Code and the Ethics Line were published in all stores and work centres.
- In the 'Ethical Commitment' section of our corporate website (www.inditex.com), the Code of Conduct was published for all our stakeholders and received 31,011 visits.

/ Acceptance:

- To obtain acceptance of the Code of Conduct by everyone in the Group, a pop-up message was activated on INET with access to the Code of Conduct, so that it could be read and accepted. Thanks to this campaign, the Code has been accepted by 97% of employees.

/ Training for all our people:

- A mandatory e-learning course on the Code of Conduct was published in TraIn, with an accessible version for people with disabilities. This training covers the Ethics Line and its main protections, the prevention of corruption and bribery, and other topics, and has already been completed by 91% of employees.

/ Specific training for supervisors and teams in the People department:

- In addition, training was given to supervisors, the People department and Compliance delegates from headquarters, retail concepts and key subsidiaries, due to their fundamental role in promoting the corporate ethical culture and their greater exposure to certain compliance risks. The training was designed and adapted to the particularities of these groups, emphasising the sections of the Code of Conduct on our integrity, covering topics such as bribery and corruption prevention, managing gifts and invitations, handling conflicts of interest and the Ethics Line. Other departments were also invited to these training sessions to reinforce the messages on harassment prevention, privacy and our programme Respectful. A total of 2,690 people received this specific training (in-person and/or hybrid).

G1-3_08

As regards the governing bodies, during the process of drafting the Code of Conduct, a specific meeting of the Board of Directors was held to receive feedback and contributions from the directors to assist in drafting Code of Conduct.

In February 2024, the Board of Directors approved the final version of the Code of Conduct and received a presentation on its contents. The members of the Board of Directors received and accepted the Code of Conduct and undertook to comply with it.

/ Compliance Training Framework Plan

This Compliance Training Framework Plan (hereinafter, **Framework Plan**), is coordinated by the Compliance department and organises the training provided by the main corporate areas exposed to compliance risks, providing support in the creation or adaptation of mandatory training content and in the review of the target groups for such training.

The goal is to ensure a homogeneous and robust oversight of the training provided to mitigate priority compliance risks and contribute to building a corporate ethical culture by targeting the courses at those employees most exposed to compliance risks.

To manage this Plan, we have an exclusive space for mandatory training in TraIn. Each person has different courses, as this training has been specifically tailored to their risk profile, position and responsibility. Furthermore, throughout the year, the training courses completed were monitored, which consists of periodic reminders being sent to employees with mandatory training courses pending about the need to complete them before the end of the year. To this end, and to facilitate course completion, a specific monitoring tool was made available to the People department teams.

Lastly, and always with a risk-based approach, the Compliance department has created two new mandatory courses 'New Products' and 'Control Claims', aimed at a priority group of commercial, sustainability and other corporate areas affected by these procedures. The contents of 'New Products' deal with the viability of this type of articles (those that have not been marketed previously by the concept or those already marketed previously that have some differentiating element that implies the need to reassess whether they are viable for marketing) and to indicate the steps to follow to analyse the marketing requirements of a new product in the different markets in which it is to be launched. The 'Claims' course reviews the basic concepts of the Control Claims validation flow, indicating the steps to follow to analyse the viability of a claim (marketing claim) before using it.

In 2024, the following mandatory training courses were published for employees in corporate areas with higher exposure to compliance risks:

Labour Law	Global Anti-Harassment Policy in the workplace
Industrial Property	Responsible Creativity
Information Security	- Cybersecurity: Basic principles of Cybersecurity - Cybersecurity: Learn about the PCI-DSS standard - Cybersecurity: Secure Code V2 - Cybersecurity: phishing
Compliance	- Code of Conduct - Control Claims - New Products - Model 231

Indicators on compliance training for the priority group

With regard to the Training Plan, it should be noted that, in the 2024 financial year, 86% of the priority group of our people has received training (in-person or online) on the subject of Compliance. This training has been aimed at employees who, either on account of their position and responsibilities or because of the type of activity they carry out, are exposed to a greater risk of compliance breaches and, in particular, the commission of offences relating to corruption between individuals. The compliance training metrics linked to the priority group of employees are presented below:

Priority group (employees) ⁽¹⁾

Job classification	2024		2023	
	No. of unique people trained ⁽²⁾	% of the priority group	No. of unique people trained ⁽²⁾	% of the priority group
Management ⁽³⁾	4,765	84%	5,147	79%
Supervisors	3,101	92%	3,265	78%
Specialist	7,861	85%	14,742	80%
Total	15,727	86%	23,154	79%
Region				
Americas	1,111	95%	1,194	98%
Asia and rest of the world	1,401	90%	1,415	90%
Spain	9,001	85%	8,785	84%
Europe (ex-Spain)	4,214	85%	11,760	73%
Total	15,727	86%	23,154	79%

⁽¹⁾ Employees who, due to their position, responsibility or duties, are exposed to compliance risks.

⁽²⁾ When a person has attended various training sessions in the year, they are counted only once.

⁽³⁾ This category also includes members of the Management Committee and Senior Management.

With regard to the Board of Directors, 100% of its members have received compliance and/or corruption or bribery training.

① More information on the Board of Directors skills in section *GOV-1. The role of the governing bodies* of this Report.

In addition, 813 product suppliers and factories of the Group present in 30 markets received training in compliance matters through a specific e-learning course that has allowed them to learn the principles and patterns of behaviour that we expect from them within the framework of our commercial or professional relationship.

G1-4. Communications received through the Ethics Line

Communications to the Ethics Line (including both the Global Ethics Line and the various Local Ethics Lines) are recorded in a tool through which they can be tracked. Periodically, the Compliance department reports to the Audit and Compliance Committee on the activity of the Ethics Line and the development of the cases submitted through it. Thus, the concerns received through the Ethics Line are monitored and controlled and their effectiveness is guaranteed.

During 2024, the Ethics Line recorded a total of 791 concerns (515 concerns in 2023).

Breakdown of concerns by topic

	2024	2023
HR, diversity and workplace respect:	619	321
related to discrimination, workplace/sexual harassment or other potential breaches of fundamental rights; and	200	152
related to disputes over working conditions, grounds for dismissal or the implementation of personnel selection processes	419	169
Business integrity ⁽¹⁾	44	63
Environment, health and safety	14	10
Inappropriate use of Company assets	1	1
Financial, accounting or audit and/or control fraud	0	0
Queries	67	42
Others	46	78
Total number of concerns	791	515

⁽¹⁾ Including cases related to potential behaviours of taking advantage of the position in Inditex to obtain personal business opportunities or other benefits, fraud or non-compliance with procedures.

Breakdown of concerns and cases

	2024	2023
Received concerns	791	515
Closed cases	556	294
Concerns classified as beyond the authority of the Ethics Line	313	221
Confirmed cases of corruption	4	5
(i) Disciplinary measures or termination of employment due to confirmed cases of corruption	3	5
(ii) Total number of confirmed cases where contracts with business partners have been terminated or not renewed due to corruption-related offences	1	2
Confirmed cases of discrimination	4	3
Disciplinary measures or termination of employment due to confirmed cases of discrimination	4	3
Confirmed cases of harassment	9	3
Disciplinary measures or termination of employment due to confirmed cases of harassment	8	3

G1-4_04;
G1-4_06

Of the total of 791 concerns received by the Ethics Committee 2024, 556 are closed. Of these, 313 were classified as being beyond the authority of the Ethics Committee and 63 as not requiring any further action or monitoring by the Ethics Committee. Of the remaining closed cases: (i) 64 were queries, (ii) 75 were cases which, after investigation, were found not to be non-compliances, and (iii) the remaining 41 were cases of non-compliance requiring appropriate action.

Of the latter, four cases were related to the prevention of corruption and bribery, 34 were linked to diversity and respect in the workplace and the remaining three were related to other violations of the Inditex Group's Codes of Conduct. In three cases, the non-compliances detected affected employees of suppliers of goods and services, and the necessary measures to remedy the situation were taken. In all cases where a breach is confirmed, appropriate remedial measures will be adopted depending on the nature of the breach detected and its severity. These measures consisted, depending on the case, of disciplinary measures (either termination of employment or warning), training and review of internal procedures.

With regard to the confirmed reports of corruption, no relevant aspects affecting the Company have been observed in any of them. Disciplinary measures or termination of employment due to confirmed reports of corruption are detailed in the table above.

At the same time, during 2024 and 2023, the Group has not been aware, either through its Ethics Committee or through other means, of the processing of legal proceedings concerning corruption or bribery that affect the Company.

Consequently, in 2024, the Inditex Group neither received through the channels available for this purpose any significant fines or non-monetary penalties for non-compliance with the legislation or regulations applicable to it in matters of corruption or bribery.

G1-5. Political influence

In 2024 we developed and approved our Policy on Public Policy:

Policy on Public Policy	
Approved by the Board of Directors on 10 December 2024	
Key contents	/ Commitment to a transparent and responsible development of the preparation of public policies that affect our business activities, our stakeholders and society at large / Development of the principles of action set out in the Group's Codes of Conduct and the Integrity Policies / General principles: responsibility, integrity and honesty, transparency and respect
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors)
Accountable for the implementation	/ Public Policy department and its chief officer
Third-party standards	/ OECD Guidelines for Multinational Enterprises on Responsible Business Conduct / United Nations Sustainable Development Goals (SDGs) / OECD Principles on Public Policy and Responsible Corporate Political Engagement (currently under development)

Like our Policy on Public Policy, Inditex's Policy on Donations and Sponsorships expressly prohibits making donations to political parties, either directly or indirectly. This prohibition is included in the Company's Code of Conduct, which adds that, as a general rule, no person from Inditex can offer, grant, solicit or accept, either directly or indirectly, gifts or invitations, of any kind and from any authorities or public officials.

In accordance with these policies, no contributions were made (in cash and/or in kind) to political parties during the year.

G1-5_11

With respect to our governing bodies, no members of the Board of Directors have held a comparable position in government administrations in the two years prior to their appointment. Furthermore, our Conflicts of Interest Policy states that if the recruitment of any person by the Group, especially persons coming from public authorities, may give rise to a conflict of interest, the Ethics Committee may propose that suitable measures be agreed to safeguard the Group's interests, in accordance with our Codes of Conduct and internal regulations.

G1-5_09

Public policy activities

Our public policy activities focus primarily on four main topics: **Sustainability, Trade, Digital and Finance.**

G1-5_10

To implement these activities, the Inditex Group is a member of the European Union Transparency Register, and its registration number is 518095443081-20.

B. Suppliers relations

G1-2. Management of relationships with suppliers

G1-2_02

Our business model is based on an agile and flexible supply chain. This enables us to meet demand and adapt to new social and environmental standards quickly and efficiently.

Proximity is one of the key criteria of our supply chain, allowing us to respond nimbly to the market. A very significant portion of the cutting, sewing, dyeing, washing, printing or finishing factories that manufactured our garments in 2024 are located in Spain or neighbouring countries like Portugal, Morocco and Türkiye.

Overall, as of 2024 we had 6,615 factories which include all tiers of our supply chain in 50 markets and employed more than three million people (6,710 factories, 49 markets and more than three million people in 2023).

The supply chain at Inditex in 2024

Distribution by geography

European Union: 1,012 factories
Europe outside the EU: 1,302 factories
Americas: 23 factories
Asia: 3,837 factories
Africa: 441 factories

Distribution by process

2,517 Spinning, weaving, and other raw material processes
81 Cutting
3,270 Sewing
105 Dyeing and washing
199 Printing
183 Finishing
260 Non-textile products

A fundamental tool for managing our supply chain are our supplier clusters, spaces to foster dialogue and cooperation with industry actors. In 2024 we worked with ten clusters in our main production markets: Spain, Portugal, Morocco, Türkiye, India, Bangladesh, Pakistan, Vietnam, China y Cambodia.

Main policies, standards and principles on which our supply chain management is based

Our Code of Conduct for Manufacturers and Suppliers (CCMS) is the foundation on which we build our relationships with suppliers and manufacturers in our supply chain. It includes all the standards they are obliged to meet with regard to labour rights, product health and safety and environmental issues.

① More information in section *MDR-P. Policies* of this Report.

① More information in the *Code of Conduct for Manufacturers and Suppliers* available on Inditex's corporate website.

In addition to our CCMS, at Inditex we implement **our own Green to Wear standard**, aimed at reducing the environmental impact of our supply chain, as well as improving the health and safety of our articles and fostering best practices.

① More information in section *Own standards and certifications* of this Report.

① More information in the document *Green to Wear* available on Inditex's corporate website.

Another important tool for supply chain management are our **Traceability Requirements for Manufacturers and Suppliers**, which increase the level of detail of the minimum requirements for our suppliers reflected in the CCMS.

In conclusion, any manufacturer or supplier wishing to form part of our supply chain must comply with the Code of Conduct for Manufacturers and Suppliers, with the Green to Wear standard, if applicable, and with our Traceability Requirements. To verify this compliance, we conduct regular and periodic controls to ensure that our standards are upheld. The breach of any of them may entail the termination of the business relationship.

In addition, internally we promote **responsible purchasing practices**, guiding the decisions of our buyers and product teams with the aim of improving working conditions in the supply chain and fostering sustainable development in the textile sector. In this connection, our involvement in the ACT initiative (Action, Collaboration, Transformation) is pivotal.

① More information in section *S2. Workers in the value chain* of this Report.

① More information in the report *Supply chain: management to transform the sector*, is available on Inditex's corporate website.

Traceability of the supply chain

We see traceability as **our ability to identify and trace the history, application, location and distribution of products, parts and materials**. This definition is consistent with Recommendation No. 46 of the **United Nations Economic Commission for Europe**, which advocates enhancing traceability and transparency of sustainable value chains in the garment and footwear sector.

Based on our Traceability Requirements, over the course of 2024 we have added new developments to monitoring, such as:

- Supporting the implementation of the fibres plan, with emphasis on the traceability of raw materials.
- Improvement of our tools to make it easier for suppliers to provide us with the necessary information.

Thus, our suppliers must know their supply chain and work only with manufacturers and intermediaries that comply with our sustainability standards and that have been previously assessed and approved by Inditex. They must therefore report which facilities and intermediaries are involved in each production process, from fibre or yarn to the final garment for each order. They must also prove the use of lower-impact raw materials⁴², such as organic or recycled cotton, viscose from preferred sources or European linen.

To ensure that these requirements are met, our traceability ecosystem allows us to evaluate the traceability of our products. We also provide training to help our suppliers solve specific challenges regarding the use and understanding of traceability procedures.

⁴² More information on the criteria that fibres or materials must meet to be classified as lower-impact in the *Methodological Annex* of this Report.

Traceability assessment

We use various control mechanisms operating in parallel to verify compliance with our traceability requirements:

/ **Designation control check:** to verify that our suppliers have provided information on their supply chain by the established deadline.

/ **Review of certificates:** we check the raw materials' certificates to approve them.

/ **Traceability audits:** we verify the information provided by our suppliers on site, through unannounced visits to the production facilities. This allows us to check the production processes, the productions in progress and the ones completed. The findings are then compared with the information entered by the supplier. In 2024, 10,387 traceability audits were carried out (12,100 audits in 2023).

Monitoring, assessment and continuous improvement

Our aim is to build strong, long-standing relationships with our suppliers. Consequently, in 2024, 10,923 supply chain manufacturer audits were carried out by our own teams and external auditors, specialised by sphere of audit and trained in accordance with the Inditex methodology. They conducted pre-assessments, environmental preliminary assessments, and social and environmental audits.

/ Pre-assessment

These audits are carried out before the factory can receive any order from Inditex. These audits check that they comply with our Code of Conduct for Manufacturers and Suppliers (CCMS) and the IMR (Inditex Minimum Requirements) applicable to them. Without this first step, no facility can join our supply chain.

The IMR are requirements set out in several key documents, such as the Human Rights Policy and the Traceability Requirements for Suppliers and Manufacturers, which establish the social, environmental or product health and safety standards our manufacturers must meet to become eligible to receive orders.

In 2024, 2,175 pre-assessment audits were carried out (2,111 in 2023).

/ Environmental pre-assessment

Once the new factory passes the pre-assessment audit, a preliminary environmental assessment is conducted remotely by external auditors. This ensures that facilities subject to our Green to Wear standard comply with our most demanding environmental requirements. Facilities classified as not approved at this stage cannot receive orders from Inditex.

In 2024, 251 environmental pre-assessments were executed (301 in 2023).

/ Social audits

After the *pre-assessment* audit, **we conduct social audits on a regular basis** to all factories in our supply chain. These audits serve to verify compliance with our CCMS and consist of a site visit (including a document review, verification of facilities and interviews with workers and company management) to verify wages, working hours, health and safety conditions, among other requirements of our Code of Conduct for Manufacturers and Suppliers.

Social audits may be carried out by internal or external auditors in accordance with the Inditex methodology. To ensure their quality, we carry out control audits to verify that our methodology is being properly implemented. In 2024, 6,468 social audits were carried out at the factories in our supply chain (6,892 in 2023)⁴³.

In addition, social audits using our own methodology have also been carried out in more than 60 external logistics centres this year.

As a result of the social audits, the manufacturers are classified in a social ranking based on their degree of compliance with the Code of Conduct for Manufacturers and Suppliers (CCMS). In 2024, the social ranking of the active manufacturers in our supply chain was as follows:

⁴³ Includes social audits carried out using the Inditex methodology and those carried out using the Social & Labor Convergence Program (SLCP) methodology integrated in our systems.

Classification of factories in our supply chain by their social ranking

Classification	2024		2023	
	Number of manufacturers	%	Number of manufacturers	%
A	3,757	57%	3,594	54%
B	2,453	37%	2,669	40%
Subject to CAP - C	103	2%	163	2%
Subject to CAP - D	248	4%	251	4%
PR	54	1%	33	0%
Total	6,615	100%	6,710	100%

Social ranking	Audit results
A	Complies with the CCMS
B	Does not comply with some non-relevant aspect of the CCMS
Subject to CAP - C	It fails to comply with some sensitive but inconclusive aspect of the CCMS that triggers the immediate implementation of a Corrective Action Plan
Subject to CAP - D	Breaches of the CCMS triggering the immediate implementation of a Corrective Action Plan
PR	Undergoing an auditing process

In terms of compliance with the Code of Conduct for Manufacturers and Suppliers, the performance in active factories of our supply chain is shown in the following table:

Compliance with the Code of Conduct for Manufacturers and Suppliers in 2024

Percentages according to geographical zones and social compliance areas

	Africa	Americas	Asia	Europe outside the EU	European Union
No forced labour					
No work by youths or child labour ⁽¹⁾					
No discrimination					
Respect for freedom of association and collective bargaining					
No harsh or inhumane treatment					
Hygiene at work					
Wage compliance					
Working hours					
Environmental awareness					
Regular work					
Implementation of the Code ⁽²⁾					

⁽¹⁾ Includes the lack of suitable systems for verifying the age of workers.

⁽²⁾ Includes the lack of suitable systems for registering and communicating with workers.



/ Environmental audits

Compliance with our Green to Wear standard, targeting facilities that mainly carry out wet processes, is regularly verified through environmental audits. In 2024, 2,029 environmental audits were carried out (1,868 in 2023).

These audits are conducted by external auditors in announced visits during which documentation is reviewed and, where applicable, waste water samples are analysed unannounced. The results are shared with the rest of the sector within the framework of our collaboration with Zero Discharge of Hazardous Chemicals (ZDHC).

As a result of these audits, 85% of the manufacturers required to comply with the Green to Wear standard (80% in 2023) are rated as A or B, the highest environmental performance ratings in our methodology.

/ Continuous improvement

We know that continuous improvement is key to sustainable supply chain management. Accordingly, we use **Corrective Action Plans (CAPs)**, which are roadmaps to support manufacturers in their improvement processes and help them to correct and prevent non-compliances. These plans may be carried out in collaboration with other organisations, such as NGOs and trade unions. In the most sensitive non-compliance cases —classified as being ‘subject to CAP’ according to social or environmental standards— the plan lasts approximately six months.

In 2024, the following CAPs were carried out:

- **Social CAP:** we carried out 306 CAPs, of which 223 at factories with a ‘Subject to CAP - D’ rating and 83 at production centres with other ratings (490 CAPs in 2023: 285 in factories with a ‘Subject to CAP - D’ rating, and 205 in sites with other ratings).
- **Environmental CAPs:** we launched 353 CAPs. 91 of these plans were carried out in factories with a ‘Subject to CAP - D’ rating, and 262 in sites with other ratings (327 CAPs in 2023: 99 in factories with a ‘Subject to CAP - D’ rating, and 228 in sites with other ratings).

Despite the importance for Inditex of accompanying the manufacturers of our supply chain in improving their social and environmental performance, our commitment to compliance with our standards entails a zero tolerance policy with those who do not show a willingness to improve. Consequently, if the verification audit still reveals critical non-compliance once the plan has been completed, the factory will not be able to continue working for with our Company.

/ Other continuous improvement tools

In addition to the CAPs, our Company implements various improvement and support projects for manufacturers, such as those developed as part of the Workers at the Centre strategy. In 2024 we also continued with our improvement plans, as part of our Supply Chain Environmental Transformation Plan, with a particular emphasis on water, discharges, management of chemical products and energy.

① More information in sections *S2. Workers in the value chain*, and *E1-3. Actions related to climate change* of this Report.

① More information in the report *Supply chain: management to transform the sector*, available on Inditex’s corporate website.

G1-2_01

Mutual respect and trust are the basis for Inditex’s relationships with its suppliers. The Group has devised payment procedures that indicate the importance of complying with legal payment deadlines for the proper functioning of the value chain, based on long-term relationships and responsible financial management.

These procedures are mandatory for all the Group’s companies in connection with managing payments with all kinds of suppliers, including suppliers classified as SMEs. They define the payment periods, as well as the payment means.

① More information in section *G1-6. Payment practices* of this Report.

G1-6. Payment practices

G1-6_01;
G1-6_02;
G1-6_03

With regard to payment practices, the most common method of payment to our suppliers is by bank transfer, and among the measures that the Group offers its suppliers are various financing programmes.

In addition, specifically focusing on the suppliers across our supply chain, we belong to ACT (Action, Collaboration, Transformation), through which we undertake five specific commitments in connection with responsible purchasing practices, that include agreeing and respecting fair payment conditions and, therefore, respecting the established payment periods.

The responsible management of our suppliers is paramount for the Group. We have therefore developed a third-party payment procedure to underpin our commitment to meet legal and agreed payment deadlines, in order to ensure that our value chain activities function optimally.

① More information in section [G1-2. Management of relationships with suppliers](#) of this Report

The following table shows the Group's average payment period, along with the standard payment period and the percentage of payments within the standard payment period, arranged by type of supplier:

Type of supplier	Supplier's origin	Average payment period (days)	Standard payment term ⁽¹⁾ (days)	% of payments within the standard period
Trade creditor's invoices ⁽²⁾	EU	36	60	94%
	Other	32	60	95%
Procurements: Finished product ⁽³⁾	EU	99	90	82%
	Other	98	90	95%
Procurements: Raw Material ⁽³⁾	EU	60	60	98%
	Other	122	120	94%

⁽¹⁾ The Group concentrates its main payments twice a month.

⁽²⁾ The Group pays its suppliers within 60 days in accordance with current EU regulations. However, 75% of the volume of payments made to these creditors has been paid within 30 days.

⁽³⁾ Payments outside the standard period correspond to merchandise with validation retained in the warehouse or supplier blocks.

G1-6_05

① More information in the [Methodological Annex](#) of this Report.

G1-6_04

At present, no legal proceedings have been brought against the Group for delays in payment to its suppliers, manufacturers and/or third parties.

Additional information. Cybersecurity

During 2024, cyber threats have increased in number and complexity, due to technological advances and the exponential growth of data and connected devices, leading organisations to take more sophisticated and proactive measures to protect their assets.

Emerging technologies such as artificial intelligence and machine learning, along with cloud computing, have transformed both the landscape of cyberattacks and the defence strategies. On the one hand this allows malicious actors to find new ways to achieve their goals, and on the other it enables companies to more accurately anticipate risks and implement controls.

In this new context, cybersecurity is no longer seen as a simple protective measure, but as a central pillar for the resilience of a business and customer trust, and has become a key factor in the competitiveness of organisations.

Governance and strategy

In recognition of the risks inherent to our activity and the need to protect our stakeholders (customers, shareholders, employees, investors, suppliers, partners, etc.), we are committed to continuous improvement in security management within a framework designed to guarantee information confidentiality and integrity, as well as the availability of all the processes that underpin Inditex's retail and distribution channels.

Senior Management's firm backing in cybersecurity matters allows us to continue making the necessary investments to minimise the risks associated with cyberthreats. In 2024 we ramped up our investment in cybersecurity by 7% with respect to the previous year, implying a cumulative increase of 27% over the last three years. This investment has helped consolidate and strengthen our plan for the continuous improvement of our cybersecurity capabilities and promote new key initiatives to achieve our strategic goals.

In response to the current context and external threats, and for the purpose of continuing to drive continuous improvement with respect to unpredictable risks, we have developed our **Next-Gen** strategic cybersecurity plan, first devised in 2020. This plan is aimed at ensuring a comprehensive and proactive approach to protection in our Company for the next two years to enable us to anticipate potential threats, optimise the use of resources and guarantee business continuity in the event of an incident. At the same time, we have launched a project to review and update our cybersecurity risk management methodology, with a view to improving the identification, assessment and mitigation of risks that could affect Inditex, thereby strengthening our strategic decision making.

The **Information Security Policy**, available on Inditex corporate website, is a key document that, along with the accompanying regulations and procedures, establishes the core principles to ensure that our people act in keeping with the information security goals and standards. The Information Security department is the area in charge of achieving this and the Information Security Committee, comprising members of Senior Management, is the supervisory body that ensures that best practices in security management, applicable regulations and ethical values are applied throughout the Company, as provided in the Regulations of the Information Security Committee.

① More information on the Information Security Policy in section [S4-1. Policies related to consumers](#) of this Report.

Since 2022, our Chief Information Security Officer Charter has defined the framework of action and competencies of this function, regulating its place in the Company, levels of organisational autonomy and independence (reporting to the CEO), responsibilities and reporting lines:

/ The Chief Information Security Officer reports at least twice yearly to the Inditex Board of Directors' Audit and Compliance Committee, and, where necessary, the relevant governing bodies of Inditex. The Chief Information Security Officer also reports at least every quarter to the Information Security Committee regarding the main risks and aspects linked to cybersecurity at Inditex.

/ The Cybersecurity Advisory Committee, a consultative and advisory body made up of independent experts, advised us on a number of topics at the two meetings held in 2024. At these meetings, we analysed:

- the risks arising from the current geopolitical landscape, which pose a constant challenge to information security, requiring proactive vigilance and that may impact on the Company's information security,
- threats and opportunities related to the use of artificial intelligence, highlighting the importance of adopting this technology responsibly and being aware of the potential challenges it may present,
- the importance of not overlooking the basics of cybersecurity in favour of more common threats,
- the legal responsibility of the Chief Information Security Officer,
- emerging cybersecurity threats, including new intrusion techniques or vulnerabilities that require defences to be constantly evolved,
- effective training and awareness strategies to build a solid cybersecurity culture,
- cybersecurity reporting methods that strengthen incident management and improve decision making in cybersecurity,
- information classification and protection strategies, examining different models and the impact of each in terms of user experience,
- matching cybersecurity to the particular characteristics of each business sector, highlighting the unique challenges and specific solutions,
- the various standards and regulations in place and in the pipeline, and the importance of anticipating legal requirements so as to guarantee their compliance-

Members of the Board of Directors are informed about the discussions of meetings of the Cybersecurity Advisory Committee by the Audit and Compliance Committee, in accordance with the established procedures. The meeting held on 12 November 2024 was attended by two members of the Board of Directors. These meetings are vital to strengthening the decision-making process in connection with cybersecurity and to furthering the Company's strategy on this front.

Compliance

Our commitment to cybersecurity includes a robust strategy, Senior Management's backing and strict compliance with international best practices and regulations. We continue to closely track cybersecurity regulations, and in 2024 we conducted an impact analysis of the transposition of the new Directive (EU) 2022/2555 Network and Information Security (NIS2) by the EU member states that have already implemented it. This directive aims to improve the security of networks and information systems in European territory. We have also assessed the implications of DORA Regulations (the Digital Operational Resilience Act) for Inditex, which aims to strengthen operating resilience and cybersecurity in the financial sector.

In 2024, we proactively assessed our position with respect to the Good Governance Code on Cybersecurity, drawn up by the National Cybersecurity Forum in collaboration with the Spanish National Securities Market Commission (CNMV). During this process, we identified complete or partial alignment with the recommendations set out in the Code and devised an improvement plan to increase our adherence to its guidelines, evidencing our commitment to implementing best practices in the area of cybersecurity.

As in previous years, we conducted various external assessments, both mandatory and voluntary, to analyse our alignment with local and international cybersecurity best practices and standards. As a result, we have successfully renewed all major information security certifications.

/ Payment Card Industry-Data Security Standard 4.0 (PCI-DSS) on the protection of our customers' payment card data.

/ ISO/IEC 27001:2022, which evaluates our Information Security Management System.

/ Korean Information Security Management System (K-ISMS), which evidences our adherence to legal cybersecurity requirements in South Korea.

/ Multi-Layer Protection Scheme (MLPS), which regulates cybersecurity issues in China.

We also continue to work with the Data Protection and Privacy department to comply with the legal obligations pursuant to the General Data Protection Regulation (GDPR).

In 2024, we also carried out numerous internal reviews, both by third parties and by the Oversight area, to ensure compliance and proper application of the policies and procedures. We periodically evaluate our level of cybersecurity maturity, comparing our results with those of companies in other sectors subject to exacting standards, such as firms in the banking or tech industries.

Furthermore, in 2024 we developed the initiative aimed at obtaining greater visibility, including prior to contracting, concerning the security standards of our relevant partners, to reduce the risks that might affect them. In addition, we continue to pay attention to security in our supply chain, having a team dedicated to carrying out reviews and implementing controls to verify the level of security and guarantees in the service provided by third parties.

Detection and response

The detection and response teams have focused their efforts on designing and implementing new initiatives, and evolving existing ones, with particular attention to vulnerability management and high-risk assets. In 2024 we improved our process of classifying vulnerabilities based on their risk level. As a result, we have managed to more efficiently prioritise their resolution, ensuring a more agile and effective response with respect to the most critical vulnerabilities.

Over the course of 2024, we have strengthened our defence capabilities through specific initiatives focused on optimising detection and response to the most prevalent threats in the external cyber environment such as Distributed Denial of Service (DDoS) attacks, Credential Stuffing and vulnerabilities in third-party products.

We have a **specialised cyberintelligence team** whose main function is the early detection of the risks and threats we face by means of continuous monitoring. In 2024 we carried out an analysis of the actors that might pose a threat to the Company and the techniques, tactics and procedures (TTPs) they might use in malicious activities. This analysis enabled us to identify the methods used by these actors, assess our degree of readiness in respect of these TTPs and propose improvements to optimise our detection and response capabilities.

Additionally, we are a member of CSIRT.es (Platform of Spanish Cybersecurity and Incident Management Teams) and TF-CSIRT (Working Group of Security Incident Response Teams). The purpose of these groups is to share information on major cybersecurity incidents and improve cooperation and coordination to respond swiftly to any situation that may affect large companies in Europe and neighbouring regions. Membership of these organisations also allows us to strengthen relationships with global entities and partners in other regions, addressing cybersecurity challenges on a broader scale.

We own a Security Operations Centre (SOC) available 24 hours a day, 7 days a week in charge of the detection, analysis, notification and resolution of potential security incidents that may affect the Company. In 2024, a total of 60 events of interest (123 in 2023) were recorded, the most relevant of which we reported to the Information Security Committee. None of these events had a material impact on our operations or financial statements.

We remain committed to the automation of security operations, improving the speed, scalability, accuracy and efficiency of detection and response to cyberthreats. Furthermore, recognising the increasing importance of artificial intelligence, we have worked with other areas of the Company in an AI governance initiative aimed at developing a framework to ensure that it is used responsibly and transparently, in line with ethical principles and regulations.

Intrusion prevention

The deployment of prevention measures is one of the most important tasks of our activity, and for this purpose we have **more than 700 external researchers participating** in our private vulnerability detection programme, the aim of which is to find weaknesses in our perimeter. Furthermore, we have a new public rewards programme for the online retail environment, in collaboration with a community of more than one million active researchers. We also continue to conduct crowdsourced pentesting which gives us a greater diversity of skills and a broader and more varied perspective regarding potential weaknesses in our systems.

Also in this field, we have had independent external staff carry out new *Red Team* activities, focusing on simulating attacks targeting the Company. We thus aim to try to identify our weaknesses and to improve the Company's security status.

In 2024 our main priorities are the prevention of leaks and theft of sensitive information, the availability of critical services (sales and distribution) and the control of information integrity, with an emphasis on financial information. This is complemented by the improvement of the capabilities of our cyber risk insurance programme, which provides various coverages and services, including own damage (including loss of profit), liabilities and regulatory procedures, as well as crisis management services.

In the area of corporate identity and access management, we continue working to improve oversight and internal processes with respect to management and granting of permissions, as well as privileged identity governance.

With regard to the availability of critical services, we have carried out various exercises to assess and ensure the recovery of critical systems so as to gauge and reduce the risks associated with the continuity of our systems. The infrastructure supporting these services is Tier IV certified, a standard distinguishing data centres that offer the highest level of performance and reliability, guaranteeing a high degree of availability of our infrastructure.

Training and awareness

We continue to roll out a range of projects aimed at evaluating and enhancing the level of security awareness and knowledge in the Company. We design specific actions in keeping with the level of risk associated with the various user groups, according to their profile and function. For example, we have provided cybersecurity training to the Company's international managers and the Communication department with regard to handling the communication of cybersecurity incidents. We have training programmes designed especially for the Board of Directors and we also provide specialised training for software development professionals in compliance with credit card data security requirements.

Furthermore, to address the ever-changing attack techniques, we have expanded our in-house training catalogue by introducing new training pills that tackle emerging deepfake and artificial intelligence threats. These courses explore how attackers are using AI to make their tactics more sophisticated, and therefore more convincing and harder to detect. In addition, special attention has been paid to educating particularly sensitive groups within the Company, furnishing them with the tools they need to identify and mitigate these new risks.

As in previous years, we have conducted targeted social engineering exercises, with a particular focus on *phishing* tactics, aimed at verifying and reinforcing our staff awareness of this type of attacks, which are becoming more and more frequent. In 2024 we implemented individual training programmes to more effectively boost the knowledge of our employees who have repeatedly lapsed into this kind of exercises. These programmes are designed to help individual employees enhance their ability to identify threats and improve their responses to future situations.

These initiatives have been crucial in addressing the specific training and awareness needs of the most at-risk groups. Thanks to these efforts, in 2024 we provided specialised training to nearly 5,000 users, who had the opportunity to hone their skills and knowledge in key areas, thus contributing to their personal and professional development.

We also promote security by partnering with public and private organisations:

- / We work with the NGO CyberPeace Institute, which helps vulnerable communities protect themselves and recover from cyberattacks.
- / We belong to specialised cybersecurity forums such as the Centre for Industrial Cybersecurity (CCI), the Spanish Association for the Advancement of Information Security (ISMS Forum) and the Executive Action Forum, promoted by the RSA Conference.
- / We take part in events hosted by the Retail & Hospitality Information Sharing and Analysis Center (RH-ISAC) for cybersecurity information sharing.
- / We attend renowned international cybersecurity events, such as the Security50 summits.
- / We harness professional research, guidance and advisory services from expert analysts who provide real-time support on long-term strategic needs and our short-term tactical requisites.

These collaborations enable us to keep up with the latest innovations and trends in cybersecurity, giving us an advanced perspective on developments in this area.

In summary, at Inditex we continue to devote resources to strengthening cybersecurity, as it is vital to protecting the Company's critical assets, complying with regulations, maintaining business continuity, not to mention preserving the reputation and maintaining the trust of our customers. All this fuels our ambition to stay competitive in an increasingly digital business environment. Nevertheless, we continue to strive tirelessly to improve our capabilities in this area, as we know there much remains to be done to tackle the upcoming challenges.

Additional information. Responsible risk management

Risk management and control framework

Integrated Risk Management System

Inditex's Integrated Risk Management System (IRMS) establishes the Group's risk management and control framework. The IRMS encompasses the entire Group, at both corporate level and in the various business units and subsidiaries, regardless of their geographic location. It is incorporated in our strategic planning process, in the definition of strategic goals, as well as in the Group's day-to-day operations. The IRMS entails both financial and non-financial risks (including tax, operational, technological, cybersecurity, legal/regulatory, social, environmental, climate change, political, reputational, corruption-related and other risks). We consider risk to be any potential event, regardless of its nature, that could adversely affect the achievement of business objectives.

The IRMS is based on the Enterprise Risk Management Policy and is developed and supplemented by internal regulations of different levels that govern the management of different risks and apply to different units or areas of the Group. This system coexists with other functions tasked with monitoring specific risk areas. Our IRMS is based on the COSO ERM, Enterprise Risk Management⁴⁴ methodological framework and the relevant ISO standards, adapted to our own needs and specific characteristics. The IRMS is based on scenario methodologies to assess and quantify the Group's critical risks.

Enterprise Risk Management Policy

Its purpose is to provide reasonable assurance in regard to the achievement of the strategic goals set by the Group in response to the various challenges it faces, providing all stakeholders with an adequate level of assurance to ensure the protection of the value generated. It was last modified on 10 December 2024.

① More information on our policies in section [MDR-P. Policies](#) of this Report or on Inditex's corporate website.

Bodies responsible for preparing and implementing the Risk Management System

In parallel, the IRMS ensures the proper segregation of duties between the various elements that comprise it. The responsibilities of the areas and bodies involved in the IRMS are based on the three-lines-of-defence model outlined below:

⁴⁴ COSO ERM Framework, Enterprise Risk Management – Integrating with Strategy and Performance, published in September 2017 by the Committee of Sponsoring Organizations of the Treadway Commission (COSO)..

Risk management

Board of Directors

Approval of the Enterprise Risk Management Policy, which establishes the basic principles, risk classes and the general framework of action for their management.

Audit and Compliance Committee

Supervision

of the risk control and management function, verifying their proper operation based on the policy approved by the Board.

Assessment

of the effectiveness of financial and non-financial risk internal control and management systems, as well as the measures planned to mitigate the impact of the risks identified.

Identification and re-assessment

at least annually, of the main financial and non-financial risks and their tolerance levels.

Risk Map

identifying the main risks by category and an assessment thereof in terms of their potential financial impact and their probability of occurrence, once the corresponding response measures have been applied.

Management

Awareness and dissemination

of the importance of the Integrated Risk Management System and its value for all the Company's stakeholders.

Definition and validation

of roles, attributions and responsibilities within the framework of the Integrated Risk Management System.

Validation of action plans

and work plans derived from the risk management process itself, and activity monitoring

Monitoring of activities

relating to risk management and the Integrated Risk Management System.

Three lines of defence

1. Business units *(continuous reporting)*

Responsibility for managing and reporting the risks to which the Group is exposed in its various areas, including those related to climate.

2. Risk management / Compliance function *(quarterly reporting)*

Tasked with: coordinating and updating the Integrated Risk Management System to maintain maximum quality standards; coordinating compliance risk management (detailed in section [G1-1. Corporate culture and business conduct](#)).

3. Internal Audit *(quarterly reporting)*

Independently and objectively supervising the Integrated Risk Management System.

Risk map

The risk map represents the inventory of critical risks for the Group, distributed by risk class and evaluated through a scenario methodology. There are also maps relating to specific risk categories with a higher level of granularity.

Critical risk map

	# Risks	Strong	High	Moderate	Minor
Social	4	25 %	50 %	25 %	0 %
Financial	8	50 %	0 %	50 %	0 %
Geopolitical	3	33 %	33 %	33 %	0 %
Governance	9	44 %	11 %	11 %	33 %
Environmental	4	50 %	0 %	25 %	25 %
Technology	5	20 %	60 %	20 %	0 %
Total	33	39 %	28 %	28 %	7 %

The main risk factors are described below, as well as their main mitigation measures and the trend with respect to the previous year.

SOCIAL RISKS

Risks arising from socio-economic trends, including evolving societal preferences, social norms and demographics, as well as the prevalence of diseases and the development of public healthcare systems.

Description and impact	Main mitigations	
Human capital		Risk trend →
Risks connected to talent and people management pertain to the necessity to adapt our organisational culture to the needs of employees in a new and complex environment, where the sustainability of human capital becomes more relevant and which seeks to ensure the quality of employment, the health and well-being of our teams, work-life balance, and diversity, among other factors. Today's labour market is becoming increasingly demanding in terms of corporate social responsibility, which determines a company's appeal as a preferred employment destination. Accordingly, the content and impact of human capital risks are evaluated every year. Furthermore, we are more exposed to the potential risk resulting from the shutdown of critical operational processes (logistics activity, transport, administrative services, among others) as a consequence of labour disputes, strike action, riots or protests that curb or disrupt corporate productivity.	/ Knowledge transfer and the involvement of all our people in our culture and way of operating. / Employees development, growth opportunities for the most talented people and retention of our key employees through career development, training and compensation policies. / Recruitment of new employees to ensure a continuous inflow of talent. / Measures to develop the Diversity and Inclusion Policy. / Development of equality plans, establishing measures to promote the commitment to and effective application of equality between men and women, preventing discrimination in the workplace, guaranteeing a healthy working environment and helping to maintain a work-life balance. / Implementation of community programmes and projects. / Fostering social dialogue at all levels. ① More information in section S1. Own workforce of this Report.	
Infectious and contagious diseases		Risk trend ↓
This category includes the risks posed by infectious and contagious diseases. It corresponds to the potential disruption caused by a local, regional or global pandemic as a result of infectious diseases against which there is little or no pre-existing immunity in the human population. As Covid-19 has taught us, the impacts of a pandemic can be multiple, unpredictable and of varying intensity, both in time and scope. Due to their ramifications, pandemics can become a systemic risk.	/ Establishment of an information system to ensure better knowledge of the guidelines issued by public authorities and bodies. / Mechanisms aimed at guaranteeing the continuity of our operations. / Flexibility of the business model and strengthening of the online channel. / Maintenance and updating of measures established by the health authorities: creating emergency management committees, compiling data on the epidemiological situation, regular information to our teams, installing protective screens in workplaces, adapting capacity, etc. ① More information in section S1-4. Actions related to own workforce of this Report.	
Brand perception		Risk trend →
Risks which have a direct influence on the perception of stakeholders (customers, employees, shareholders, and suppliers) and society in general regarding our Group.	/ Monitoring of the Group's image in all areas, carried out by various departments, including Communications and Institutional Relations. / Establishment of the necessary procedures and protocols by the Communications and Institutional Relations. / Management of the relationship with regulatory bodies by the General Counsel's Office – Compliance. Investor and Analyst Relations Management by the Shareholders Relations Department. / Code of Conduct. / Code of Conduct for Manufacturers and Suppliers. / Policy on Official Internet and Social Networks Accounts and Profiles. ① More information in sections SBM-2. Interests and views of stakeholders and A. Corporate ethical culture and solid compliance architecture of this Report.	

FINANCIAL RISKS

Threats originating in the macroeconomy, in global value chains and in industry- or company-specific events that may prevent the proposed objectives from being achieved.

Description and impact	Main mitigations
Competition	Risk trend →
The competitive environment may result in risks from difficulties in adapting to market conditions in which we operate, either in the procurement processes or in the distribution and sale of our products. These risks are inherent to the fashion retailing business and consist of our Group's potential inability to follow and respond to changes in the target market or to adapt to new situations in its sourcing or distribution countries. These risks derive from the possible difficulties involved in recognising and taking on board the ongoing changes in fashion trends, and in manufacturing, supplying and selling new articles that meet customer expectations.	/ Business model through management that seeks to improve the efficiency and effectiveness of markets, business lines and stores, rationalising and diversifying the commercial network. / Internationalisation and diversification strategy. / The Group's multi-brand format based on omni-channelling, through the full integration of channels and new technologies as alternatives for communication and sales. / Feasibility analysis of each new market, business line or store, plus subsequent follow-up. ① More information in sections 3. <i>Inditex at a glance</i> and SBM-1. <i>Strategy, business model and value chain</i> of this Report.
Competition may also emerge in the infringement of industrial and intellectual property.	/ Existence of an Industrial Property (IP) department to supervise the use of industrial and intellectual property rights and to protect the Group's IP assets, as well as of dedicated teams integrated in the commercial areas. / Industrial and intellectual property training. / Industrial and Intellectual Property Product Control Policy. / Code of Conduct.
Counterparty	Risk trend ↑
The Group is exposed to counterparty risk from our suppliers of goods and services, especially those that are more strategic for the continuity of our operations, as well as from our customers and business partners, which could impact the normal performance of some of our operations. The Group is also exposed to the risk that financial counterparties fail to comply with their obligations in relation to investing our liquidity, credit policies or other funding and guarantee vehicles, as well as the derivative instruments arranged to hedge financial risks.	/ Analysis and monitoring of the financial solvency of the most important third parties for the Group, including legal, technological, operational, reputational and regulatory compliance aspects, among others. Design, implementation and monitoring of the proper remediation measures arising from collaboration between the Third-party Risk Management Area and the responsible business units. / The Group Financial Investment Policy, whose aim is to ensure the safety, integrity and liquidity of the Company's financial assets. / Financial Risk Management Policy, which determines the caps on counterparty exposure. / Flexibility and diversification of the value chain ensure the resilience and continuity of our operations in the event of potential disruptions owing to the behaviour of third parties. / Creation of the Third-Party Risk Management area. ① More information in section G1-2. <i>Management of relationships with suppliers</i> of this Report.

Market crisis	Risk trend →
The euro is the Group's functional currency. Our international transactions require the use of numerous currencies, giving rise to foreign currency exchange risk. Currency exposure manifests itself in terms of net investment, translation and transaction risks. We have investments overseas whose assets are exposed to the foreign currency exchange risk. Consolidating the annual accounts of our companies in euros, we are exposed to foreign exchange translation risk resulting from all our entities located outside the Eurozone. We are also exposed to the risk arising from the volatility in currencies other than the euro of payment and collection flows in relation to the acquisition and provision of goods and services in both Group and non-Group transactions.	/ Financial Risk Management Policy. ① More information in <i>Note 26. Financial instruments and risk management policy</i> to the Consolidated Annual Accounts.
Supply and distribution shipping is critical to our business. There is a risk of paralysis or delay in the movement and customs clearance of goods as a result of changes in the political/social situation and stability in markets where goods are produced and sold, regulatory changes, trade frictions—whether tariff or non-tariff related, and saturation of logistics infrastructures, among others.	/ In-house teams specialised in market customs regulations, which are in permanent contact with customs agencies. / Diversification of shipping points and establishment of alternative routes. / Continuous tracking of the product until it arrives at the store. / Monitoring of relevant regulations and regulatory changes.
Economic outlook	Risk trend ↑
Our activity is subject to the risk of a potential downturn in sales as a result of economic contraction or other macroeconomic headwinds generated by external factors.	/ Flexible business model based on multi-brand omni-channelling. / Territorial diversification through an internationalisation strategy. ① More information in sections 3. <i>Inditex at a glance</i> and <i>SBM-1. Strategy, business model and value chain</i> of this Report.
Economic variables	Risk trend →
The Group is exposed to the risk of inflation affecting costs linked to the acquisition of the goods and services necessary to conduct our business. Notable is the impact of the increase in the price of the multiple raw materials, (textile and non-textile) consumed directly and indirectly in the Group's operations, and in the procurement of goods, primarily of our products and services, in particular in connection with the transportation of supplies and distribution. ① More information in <i>Note 26. Financial instruments and risk management policy</i> and in section <i>E5-4. Resource inflows</i> of this Report.	/ Flexibility of the manufacturing and procurement model, allowing production to be adapted to market demand and to possible changes in the supply market environment. / Permanent contact with stores and online teams by our team of designers, through the Product Management department, helping them to learn about customer preferences. / Selective price adjustments to safeguard our margins. / Vertical integration of operations that enables to shorten production and delivery lead times and to reduce inventory volumes, while keeping sufficient manoeuvring room to introduce new products over the course of the season. / Monitoring of raw material markets and strategic promotion of circularity and recycling of raw materials. ① More information in section <i>SBM-1. Strategy, business model and value chain</i> of this Report.

GEOPOLITICAL RISKS

Geopolitical risks arise from a deterioration in the political situation, a society's crime levels, changes in the ideology, leadership and regulation of its authorities, politically motivated conflicts at home or between nation states that threaten operations or expected prospects.

Description and impact	Main mitigations
Business environment and political instability Potential instability in the territories where our supply chain is located, as well as where products are marketed, poses a significant risk. Socio-political instability arising from social uprisings or other causes of political violence, as well as their potential spread to other countries, may affect our ability to operate in affected territories, with the ensuing impact on value chains, sales and expansion, or damage to our facilities. These circumstances may result in frictions that hinder the normal movement of goods due to political instability, infrastructure saturation, or constraints, especially on key routes, which generate bottlenecks due to supply-demand imbalances that limit access to transport and/or erode our margins.	Risk trend  / Value chain with multiple geographic origins providing the flexibility and adaptation to demand, ensuring alternatives to the eventual need to switch between different manufacturing markets in case of severe and/or continuous disruptions. / Points of sale diversification. / Country risk monitoring and proximity to the local market. / Continuous analysis of the evolution of the conflict and its complex implications, implementing plans to mitigate its impact, especially in relation to its workforce in the affected markets. ① More information in sections 3. <i>Inditex at a glance</i>, SBM-1. <i>Strategy, business model and value chain</i> and G1-2. <i>Management of relationships with suppliers</i> of this Report.
Government and business policies and regulatory framework As a result of our extensive direct and indirect geographic presence, we are exposed to multiple and heterogeneous legislation in the countries where we operate. Regulatory changes, which are increasingly frequent and more intense, especially in our sector, as well as the possibility that local authorities might adopt different or even divergent interpretations in various jurisdictions, expose the Group to potential negative effects of a financial, compliance and/or reputational nature. This includes risks relating to labour, commercial and consumer law, industrial and intellectual property law, and personal data protection and privacy regulations, with a particular emphasis on tax and customs regulations, as well as risks pertaining to other legislation. Expectations of significant regulatory or policy changes that may create uncertainty for the normal conduct of the business model and require an effort in financial and operational planning to ensure proper adaptation.	Risk trend  / Systematic tracking of the impacts and risks of the emerging regulations that affect the business model and the proposal of operable solutions. / Business model based on a firm commitment to good governance, transparency and respect, aimed at promoting social and environmental sustainability, and conveying a corporate ethical culture in the performance of all our activities. / Continuous Compliance training. / Existence of an independent body that supervises compliance with the internal standards of conduct (Ethics Committee) and a mechanism to report irregularities and non-compliances (Ethics Line). / Implementation of the model for the organisation, prevention, detection, control and management of legal and reputational risks, deriving from potential breaches. / Policy on Donations and Sponsorships, Policy on Gifts and Invitations, and Policy on Dealings with Public Servants. / Tax Policy. / Anti-Money Laundering and Terrorist Financing Policy. / Continuous assessment of the corporate governance system in order to verify its degree of compliance with and adaptation to new legislation, recommendations, standards and best practices in this respect, and to systematically reinforce good corporate governance practices. ① More information in sections <i>Additional information. Tax responsibility and transparency</i> and A. <i>Corporate ethical culture and solid compliance architecture</i> of this Report.

GOVERNANCE RISK

Governance risk includes non-compliance by the Company and, in particular, by its Board of Directors and Senior Management, with the law in a formal and/or material sense, with good governance recommendations, with best practices, and with the commitments that we voluntarily undertake. It also includes risks arising from the tactical and strategic decisions of the Group's management that may result in the non-achievement of business, functional area or Group objectives, as well as risks of corruption or damage to the Company's reputation.

Description and impact	Main mitigations	Risk trend
Business model implementation		↑
Risks related to potential failures in the commercial offer by not anticipating trends, not being able to react and respond to changes in market trends, not providing sufficient supply to stores or not being able to continue to stand out from competitors.	/ Agility and flexibility of the business model. / Qualified teams focused on identifying the product demanded by the market and ensuring adequate supply management. / Availability of reliable data, with the necessary frequency and level of detail, providing information on how well supply matches demand in the market. / Linking up with customers through social media and having different touch points to capture customers' tastes and expectations (stores, online sales). / Sourcing in proximity allowing a quick response to customer demand.	
	① More information in section <i>SBM-1. Strategy, business model and value chain</i> of this Report.	
Risk of concentration of activity of logistics operations (procurement, storage and distribution) in a limited number of distribution centres, whether our own or operated by third parties, located across Spain.	/ Logistics Hub in the Netherlands. / Use of smaller logistics centres located in other countries and with third party logistics operators which carry out variable scale distribution operations. / Implementation of our WMS (Warehouse Management System) in all external logistics operators to ensure full operability and compatibility with our systems. / Our RFID and SINT (integrated stock management system) programmes have been implemented in all retail formats. / 2024-2025 Logistics Expansion Plan to meet demand.	↑
	① More information in section <i>SBM-1. Strategy, business model and value chain</i> of this Report.	
Non-Compliance		→
The Group is exposed to the risk of non-compliance with its Human Rights Policy and other regulations we have established in this matter. In particular, non-compliance of our Code of Conduct for Manufacturers and Suppliers, defined as the minimum standards of ethical and responsible behaviour to be observed by the manufacturers and suppliers of the products we market. Furthermore, the demand for ESG (environmental, social and governance) behaviour in the fashion industry is increasing and is based on traceability and transparency.	/ Mandatory compliance with the Code of Conduct for Manufacturers and Suppliers by all those who wish to become part of the Group's supply chain. / Programme for compliance with the Code of Conduct for Manufacturers and Suppliers through different types of audits of the facilities required for production. / Ethics Line and Ethics Committee (also responsible for the application and interpretation of the Code of Conduct for Manufacturers and Suppliers). / Traceability strategy based on a management system whereby each supplier is required to know and share its supply chain data and report the facilities involved in the productions, and an audit process that confirms that production does in fact take place in declared and authorised factories. / The Group's commitment to transparency. We share information with our stakeholders concerning our sustainability strategy, the programmes on which is it structured, our targets and the progress achieved, among other matters. Among our main transparency drivers is our annual accountability through this Report, as well as the information we regularly publish on our corporate website.	
	① More information in sections <i>GOV-4. Statement on due diligence, A. Corporate ethical culture and solid compliance architecture</i> and <i>G1-2. Management of relationships with suppliers</i> of this Report and in the section <i>F.1.2.</i> of the Annual Corporate Governance Report.	

Our Group faces the risk of non-compliance with the law in a formal or material sense, or with good governance recommendations, best practices or voluntary commitments.

In this regard, there is a risk of non-compliance with voluntary commitments that have been publicly undertaken, especially in the area of sustainability, which go beyond regulatory requirements.

This includes risks relating to tax, customs, anti-corruption and bribery, labour law, commerce and consumption-related regulations, industrial and intellectual property regulations and risks relating to other types of legislation, in particular criminal regulatory risks, as well as other regulatory compliance risks.

/ Global Compliance Model.

/ Criminal Risk Prevention Model, comprising the Criminal Risk Prevention Policy, the Criminal Risk Prevention Procedure and the Criminal Risk and Control Matrix.

/ The main policies approved within the framework of the Criminal Risk Prevention Model are as follows: Policy on Donations and Sponsorships, Gifts and Invitations Policy, Policy on Dealings with Public Servants, Conflicts of Interest Policy, Anti-Money Laundering and Terrorist Financing Policy, Due Diligence Policy and the Procedure for Limiting Trade Relations with Suppliers in Restricted or Unauthorised Markets.

/ Ethics Line and Ethics Committee.

① More information in section *A. Corporate ethical culture and solid compliance architecture* of this Report.

/ Data protection and privacy compliance model, the basic rule of which is the Compliance Policy regarding Personal Data Protection and Privacy.

① More information in sections *S4-1. Policies related to consumers* and *S4-4. Actions related to consumers* of this Report.

/ Annual assessment of the Corporate Governance System in order to verify its degree of compliance with and adaptation to new legislation, recommendations, standards and best practices in this respect, and to systematically reinforce good corporate governance practices.

/ Periodic supervision by the Audit and Compliance Committee of the existence of possible conflicts of interest or transactions with/among related parties, contrary to the interests of the Company and/or its stakeholders.

/ Quarterly monitoring by the Sustainability Committee of the performance of commitments undertaken.

Products and services

Risk trend →

We are exposed to risks related to the quality, composition and other health and safety aspects of our products.

/ Performing controls and verifications of product health and safety standards Clear to Wear: Product Health and Safe to Wear: Product Safety.

① More information in sections *E2-1. Policies related to pollution* and *S4-4. Actions related to consumers* of this Report.

ENVIRONMENTAL RISKS

Risks associated with natural disasters, climate change and the interactions resulting from human exploitation of the environment.

Description and impact	Main mitigations
Climate change Risk trend → Our performance is exposed to the potential impacts of climate change in its various manifestations of physical risk, whether chronic or strong, as well as to the risks resulting from the transition to a low-carbon economy. With regard to physical risks, eight climate phenomena are taken into consideration: heatwave, freeze, flash flooding, river flooding, coastal flooding, 'extratropical' and tropical storms and water stress in river basins where our own or third-party facilities are located.	/ Decarbonisation is one of the main axes of our Sustainability roadmap, in line with the goals of the Paris Agreement. We have set very ambitious decarbonisation targets for our business and for our industry as a whole. / Section <i>IRO-1/ SBM-3 Description of the processes to identify and assess material climate-related impacts, risks and opportunities</i> addresses this risk under the Task Force on Climate-related Financial Disclosures (TCFD) framework, which the Group joined in June 2020. ① More information in sections <i>E1-6. GHG emissions</i> and <i>IRO-1/SBM-3. Material climate-related impacts, risks and opportunities</i> of this Report.
Environmental degradation and Scarcity of natural resources Risk trend → There is a risk of producing adverse effects on the environment through the release of undesirable or hazardous substances (whether biological or chemical) throughout our value chain. There is also a risk that our activities may result in negative externalities such as the loss of biodiversity, deforestation, soil degradation, or scarcity of raw materials, especially those that meet our sustainability requirements, among others. There is a need to ensure sufficient and reliable supply of lower-impact raw materials, known as preferred raw materials, to meet our sustainability commitments.	/ The Sustainability Policy sets out, among others, the environmental commitments, which are applied transversally across all its business areas and throughout the supply chain. / Environmental policies: Ecosystems and Biodiversity Policy, Water Policy and Energy Policy. / Commitment to clean energy, lower-impact raw materials and the implementation of circularity services such as Zara Pre-Owned in key markets. / Implementation of waste management systems with strict operating requirements to allow the repurposing of waste generated at our facilities through its reuse or recycling. / Forwarding for reuse and/or recycling of the packaging materials arriving at our facilities. / Research and development of new materials and production processes with a lower impact through the corporate platform Sustainability Innovation Hub. / Collaboration projects with third parties in the field of circularity and innovation (MIT Spain, Ellen MacArthur Foundation, Global Fashion Agenda, Euratex, etcetera). / Application of the Green to Wear standard in the supply chain. ① More information in section <i>5. Environmental information</i> of this Report.
Extreme weather events Risk trend → As a result of natural disasters such as floods, fires, earthquakes, etc., key business operations and shipping processes could be halted. These events could potentially affect our critical infrastructure	/ Management of these risks, including mitigation measures and resilience plans, is discussed in the section on industrial accident risks. (Technological risks). / Section <i>IRO-1 / SBM-3. Material climate-related impacts, risks and opportunities</i> contains a sub-section concerning the physical climate impact on the Group's value chain.

TECHNOLOGY RISKS

This includes targeted cyberattacks, collapse of critical infrastructure, industrial accidents with direct or indirect impacts, as well as the inability to adapt to technological advances.

Description and impact	Main mitigations
Critical infrastructure We are more exposed to the risk arising from various contingencies (incidents, sabotage or accidents) that lead to a halt or operational inefficiency of IT services or processes needed to perform the business activity.	Risk trend → / Ensuring the availability of the systems by deploying technical contingency plans which, together with associated technical recovery procedures and their relevant recovery testing, would reduce the consequences of an incident, breakdown or stoppage. / Tier IV certified main data centre, that guarantees maximum reliability and high availability. / Availability of certified data centres guaranteeing high availability as well as synchronous data storage in redundant locations or duplication of equipment and lines. / Information Security Procedure: Incident Response Plan, which includes the management of incidents involving personal data from the standpoint of compliance with personal data protection and privacy regulations. ① More information in section <i>Additional information. Cybersecurity</i> of this Report.
Cybersecurity This refers to exposures that could compromise the confidentiality, integrity and/or availability of our information, regardless of whether it is located in our own systems or those of third parties; and third parties' information located in our systems. We are aware that cybersecurity risks evolve exponentially, unpredictably and, in some cases, in a very sophisticated way. Thus, although information security is a priority, there is the possibility of an undetectable attack which might affect operations or information managed by us.	Risk trend → / Existence of a Chief Information Security Officer (CISO), reporting to the Chief Executive Officer and to an Information Security Committee. / Existence of a Cybersecurity Advisory Committee, an advisory and consultative body composed of independent experts tasked with strengthening the Group's decision-making in connection with cybersecurity. / Availability of a reference framework (Information Security Policy) that establishes the core principles to ensure that all employees conduct themselves in keeping with the information security goals and standards. / Update of the cybersecurity strategic plan aiming to strengthen the integral protection of our digital assets, reduce the risks associated with cyberthreats and ensure our operating resilience. / Permanent control of the Information Security Management System, ensuring the confidentiality and integrity of the information, and the availability of the systems and applications that support the sales channels. / Existence of a cyber risk insurance programme, which provides various coverages and services, including own damage (including loss of profit), liabilities and regulatory procedures, as well as crisis management services. / Updating the inventory and information technology and security risk map to establish the necessary mitigation measures and ensure continuous improvement by the responsible areas. / Renewal of certifications—both mandatory and voluntary—to analyse our alignment with best practices and standards in cybersecurity: Payment Card Industry-Data Security Standard 4.0 (PCI-DSS), ISO/IEC 27001:2022, Korean Information Security Management System (K-ISMS)⁽¹⁾ and Multi-Layer Protection Scheme (MLPS)⁽²⁾. / Continuous review mechanisms for the prevention, detection and response to cyberattacks. Along with the existence of the 'Information Security Incident Response Procedure' which devises the governance structure, oversight and guidelines for the detection, assessment, management and elimination of cybersecurity incidents. / Awareness and skill-building through employee cybersecurity training. ① More information in section <i>Additional information. Cybersecurity</i> of this Report.

⁽¹⁾ K-ISMS is South Korea's information security management system. This standard is managed by the Korean Internet and Security Agency (KISA). It was prepared to evaluate whether enterprises and organisations operate and manage their information security system consistently and securely such that they protect key information assets from various threats.

⁽²⁾ MLPS is the multi-layer protection scheme. It is a regulatory classification scheme intended to protect the security of information systems located in China. China's Cybersecurity Law requires the network and system components to be protected against disruptions, damage, unauthorised access using a graded scale to prevent data leakage, manipulation and espionage.

Industrial accident	Risk trend 
We face the risk of interruption of operations associated with the possible occurrence of extraordinary events beyond our control (fires, transport or key supplier strikes, interruptions in energy and fuel supplies, etc.), which could have a significant effect on the normal functioning of our operations. The main risks of these type are concentrated at logistics centres and at third party operators transporting goods.	/ Actions to reduce exposure to this type of risks, maintaining high levels of prevention and protection at all the distribution centres. Existence of insurance policies that cover both property damage and loss of profit resulting from the incident. / Optimisation of the scale and use of all logistics centres according to the volume of each retail format and the specific needs of the geographic area they serve. / Configuration of the various logistics centres to allow them to take over storage and delivery capacity from other centres in the event of a contingency caused by accidents or stoppages in distribution activities. / Logistics Expansion Plan. Phasing-in of Radio Frequency Identification (RFID) technology in the value chain and development of new mobile robotics technologies. / Search, validation and control of external logistics operators, at different strategic points, with full integration into the Company's logistics capacity. / Diversification of shipping suppliers. Analysis and monitoring of critical suppliers ① More information in section SBM-1. Strategy, business model and value chain of this Report.
Disruptive technology	Risk trend 
We are aware that technological innovations and evolutions in a broad sense, both in customer interaction through the development of a satisfactory omni-channel experience, as well as the improvement of all operating and business processes, are essential to ensure fulfilment of our strategic objectives. The digital transformation process, which is paramount to ensure our competitiveness, is gaining pace due to the emergence and implementation of new technologies such as Artificial Intelligence and their application to the automation and optimisation of existing processes, or their transformative application in other spheres.	/ The digital transformation and the drive for digitalisation as a key transformation tool are evident throughout all our Group's operational and business processes. Digitalisation allows a more agile, efficient and accurate management of our operations, from logistics through to in-store operations. It also fosters sales growth by integrating channels. It ensures immediate availability and accessibility of business data, obtained thanks to our full integration, so as to continue to speed up decision-making processes, manage inventory more efficiently and improve the standard of customer services. / Digitalisation is key to the development of our sustainability strategy as, among other things, it makes it possible to manage supply chain traceability, allowing us to compile sustainability information. / Regarding people management, our digital vocation has enabled us to continue improving our operations, from recruitment processes to hiring. Digitalisation is critical when it comes to the communication and training across the world. ① More information in section SBM-1. Strategy, business model and value chain of this Report.

The governance, availability, quality and value of the information generated in the course of our activities is increasingly becoming a competitive advantage and is essential for the normal function of the business. This information could be from different nature: transactional and operational, financial-accounting, management and budgeting and control information. We ensure the protection of information, regardless of how it is communicated, shared, projected or stored. This protection affects both the information inside the Group and the information shared with third parties. The emergence of disruptive technologies like Artificial Intelligence will be crucial in this risk area.

- / Periodic review of the management information distributed to the various managers, and investment, among other areas, in information transmission systems, data analysis and intelligence for decision-making and process optimisation, business monitoring and budgeting.
- / Different departments across the Group, especially the Planning and Management Control and the Administration departments, which report to the Financial Division, are directly responsible for producing and supervising the quality of this information. The Information Security Department is responsible for ensuring that this information is accessible and/or modified only by those authorised to do so, entering parameters into the systems to guarantee the reliability, confidentiality, integrity and availability of critical information.
- / Procedure on information Security Incident Response, which includes the management of incidents involving personal data from the standpoint of compliance with data protection and privacy regulations.
 - ① More information in sections S4-4. Actions related to consumers and Additional information. Cybersecurity of this Report.
- / Establishment of an Internal Risk Management and Control System in relation to the process of issuing financial information (ICFR), in order to continuously monitor and evaluate the main associated risks that allow to reasonably ensure the reliability of the Group's public financial information.
 - ① More information in the Report on Internal Control System (ICFR).
- / Ensuring the reliability of the sustainability information supplied to the market through an internal control system (ICSR).
- / The Consolidated Annual Accounts and those of all the relevant companies, as well as the Consolidated Statement of Non-Financial Information and Sustainability Information, which forms part of the Management Report, are subject to verification by the external auditors. For the most significant companies, the external auditors are asked to make recommendations on internal controls.
 - ① More information in section 9. Independent Verification Report of this Report.

Risks that materialised over the course of the year

In the year, the macroeconomic and geopolitical environment remained uncertain and complex. Operations in Ukraine, which had been suspended due to the war there since February 2022, resumed in April 2024.

Although instability in the Middle East continued, our operations were not significantly disrupted. Maritime transport between Asia and Europe continued to operate irregularly, having to avoid the Suez Canal. Consequently, transit times adapted to this new environment and its impact has not been significant. The events that suddenly shook the People's Republic of Bangladesh in August have not, so far, impacted our procurement of goods. As Bangladesh is one of the Group's procurement and manufacturing clusters, the monitoring of the evolution of conditions in the country and of third parties located there has been reinforced.

In general, inflation has continued to moderate during the year, although more slowly than initially expected by the monetary policy authorities, so the cycle of rate normalisation has also slowed. As a result, the pressure on the cost of the goods and services that we consume, as well as labour costs, eased during the year. However, spending has continued to be systematically and rigorously controlled. Economic expansion and consumption growth lived up to expectations, although some of our markets show signs of fragility mainly due to political and economic uncertainty.

The economic and geopolitical environment has generated instability and volatility in financial markets. Foreign currency risk was greatly influenced by the appreciation of the US dollar, which has affected the performance of emerging currencies. Thus the impact of exchange rates in the year was mainly concentrated on the US dollar, the Turkish lira, the Mexican peso and the Brazilian real. During 2024, fluctuations of non-euro currencies had a negative impact on the Company's sales growth and a slightly negative impact on the cost of goods sold. Foreign exchange rate risk continued to be pro-actively managed in accordance with Group guidelines based on centralising management, optimising foreign exchange exposures, maximising the benefit of diversifying the risk portfolio and monitoring risk continuously.

Although the Group has a strong cash position, we maintained our strategy aimed at guaranteeing and safeguarding the Company's liquidity. Furthermore, the Group has external sources of financing through credit facilities, mostly committed, totalling 8,446 million euros.

Once again during the course of the year our activities were impacted by different natural disasters, due this time to extreme weather phenomena in Europe and the Americas, affecting different points of sale. In particular, some of our stores remained closed due to the tragic flooding in Spain's Mediterranean coast in October. Fortunately, there were no personal injuries to our workforce. The impact of these events at the Group level was not material, either in terms of disruptions to our operations or considering the economic losses. In July there was also another sad incident in Spain affecting our workforce, when one of the buses carrying 48 employees from various Group's concepts from Barcelona to their work centres in Tordera (Barcelona province) suffered a serious accident. Although most suffered injuries of varying severity, we are happy to report that they have all made a positive recovery.

① More information in *Note 21. Net financial position* of the Consolidated Annual Accounts.

Additional information. Tax responsibility and transparency

For Inditex, **strict compliance with tax obligations in all the markets in which it operates** is a core principle of its Tax Policy. We see the application of good tax practices as an extension of our commitment to sustainability and corporate social responsibility.

Tax Policy

Approved by the Board of Directors on 9 December 2015, with the fundamental objective of the development and effective implementation of the guiding principles in tax matters included in the Tax Strategy of the Inditex Group.

It establishes our commitment to apply, in tax practices, the tax legislation of the markets in which we are present and, preferable, the interpretative criteria established by the authorities or courts of justice of those markets. Due to the heterogeneity of this regulatory framework, Inditex approaches tax management taking as a reference the standards of best practice in each territory as reference.

The management and implementation of this policy is the responsibility of the Tax department, integrated in the Group's Financial Division, and its application is mandatory for all the companies of the Group. The immediate addressees are the members of Senior Management and all employees directly or indirectly involved in the exercise of tax processes related to the tax function.

① For more information on our policies, see section *MDR-P. Policies* of this Report or the Inditex corporate website.

It is also consistent with our **philosophy of value creation** and our determination to bring about **positive social transformation** wherever we are present, as the payment of taxes, by companies and individuals, enables the economic and social development of a community. Moreover, it fosters the construction and consolidation of infrastructures and public services that benefit the well-being of citizens and society in general.

The Inditex Group is based upon a vertical organisation which takes part in all stages of the value chain of the textile industry (design, production, procurement, distribution and sale). Since all such activities are carried out in different territories, the part of profit created in the value chain attributed to each one needs to be determined. Profit attribution is done pursuant to the arm's length principle, in accordance with local regulations and OECD Transfer Pricing Guidelines.

The principles of **collaboration, mutual trust and good faith** govern Inditex's relationship with the tax authorities. Furthermore, we are part of *Foro de Grandes Empresas* ("Large Companies Forum") in Spain, whose primary objective is to promote greater collaboration among large companies and the State Taxation Administration. We also comply with the Code of Good Tax Practices promoted in this Forum, and have followed its recommendations and subsequent developments. Specifically, it is important to note that the Group has presented the Tax Transparency Report in accordance with the recommendation contained in section 2.4 of the Code.

Below is a breakdown of profit before taxes by market for 2024 (in million euros)⁴⁵:

Markets	2024	2023
Americas	1,176	1,286
Brazil	142	167
Canada	68	80
United States	415	393
Mexico	498	541
Other	53	105
Asia & Rest of the world	556	552
Australia	22	27
China	252	241
South Korea	61	60
Japan	16	25
Kazakhstan	57	61
Other	148	138
Spain	2,107	1,618
Spain	2,107	1,618
Europe (ex-Spain)	3,379	2,860
Germany	166	130
Belgium	54	43
France	222	188
Greece	61	50
Italy	244	177
The Netherlands	700	824
Poland	98	68
Portugal	82	73
United Kingdom	179	167
Romania	103	92
Switzerland	672	525
Türkiye	526	374
Other	271	149
Profit/(loss) before taxes	7,218	6,316
Consolidation	360	554
Consolidated profit/(loss) before taxes	7,577	6,870

⁴⁵ Profit before tax results from the application of the International Financial Reporting Standards (IFRS), including the application of the accounting standard for leases IFRS16 and excludes the result of the dividend distribution of other subsidiaries of the Group, capital gains from the sale of intra-group holdings, as well as provisions for portfolio impairments in Group subsidiaries. Profit before tax is conditioned by the 'headquarters effect' and compliance with international regulations on transfer pricing (OECD Guidelines) whereby the result derived from design, supply, logistics and distribution functions is allocated to certain markets and, therefore, does not represent the Group's profitability in each market.

In 2024, the effective overall income tax rate was 22.4%, and the accrued income tax expense (in million euros) was as follows:

Markets	2024	2023
Americas	346	396
Brazil	67	76
Canada	17	21
United States	104	91
Mexico	143	164
Other	15	44
Asia & Rest of the world	77	76
Australia	9	9
China	13	11
South Korea	13	13
Japan	9	10
Kazakhstan	12	13
Other	21	20
Spain	414	334
Spain	414	334
Europe (ex-Spain)	852	722
Germany	55	35
Belgium	13	11
France	61	52
Greece	12	10
Italy	65	47
The Netherlands	239	247
Poland	17	15
Portugal	24	22
United Kingdom	27	29
Romania	17	13
Switzerland	140	107
Türkiye	135	97
Other	182	37
	1,689	1,528
Consolidation	(26)	(85)
Income tax⁽¹⁾	1,663	1,443

(1) 2024 income tax corresponds to the obligation to pay corporate income tax, or any other, similar tax, paid in the current year, or to be paid in the following year, linked to pre-tax profit by market, in accordance with the provisions of the Information Guide on Non-Financial Information and Diversity published by the Spanish Accounting and Auditing Institute. This year, the payment obligation may be conditioned in some markets by the tax effect associated with tax losses generated in the current or previous financial years.

The relation between profit/(loss) before tax and corporate income tax in each market is obtained by applying the prevailing tax rate to the taxable income. This, in turn, is the result of performing certain permanent or temporary adjustments to the accounting profit/(loss) before tax.

These adjustments relate mainly to avoiding double taxation on income, to non-deductible expenses and to differences in the criteria for temporary allocation of income and expenditure between tax and accounting legislation (depreciation, impairment, etc.).

The Group is committed to not using structures of a shady nature for tax purposes, putting shell companies located in territories considered as tax havens or uncooperative territories by the Spanish tax authorities. In this regard, and according to the Spanish normative in place in fiscal year 2024, the Group does not develop commercial activities in territories considered as tax havens.

This financial year, taking into account all the markets in which it operates, the Group has received three million euros (four million euros in the previous year) in public subsidies, mainly from China.

Likewise, section *G1-3. Prevention and detection of corruption and bribery* of this Report, sets out the measures that Inditex has adopted within the framework of stopping money laundering and the financing of terrorism.

In the financial year 2024, and in compliance with our tax obligations, Inditex's total tax contribution amounted to 9,341 million euros, of which 4,125 million euros were direct taxes paid and 5,216 million euros were taxes collected on behalf of third parties in the territories and markets where the Company operates. In order to standardise the tax disclosures and denominations of these territories, PwC's Total Tax Contribution methodology is used. In it, taxes are divided into five categories:

/ **Income tax.** This includes tax payable on profits earned by companies (such as corporate income tax or business tax), as well as taxes collected and some withholdings on payments to third parties.

/ **Property tax.** Tax payable on the ownership, sale, transfer or occupation of property.

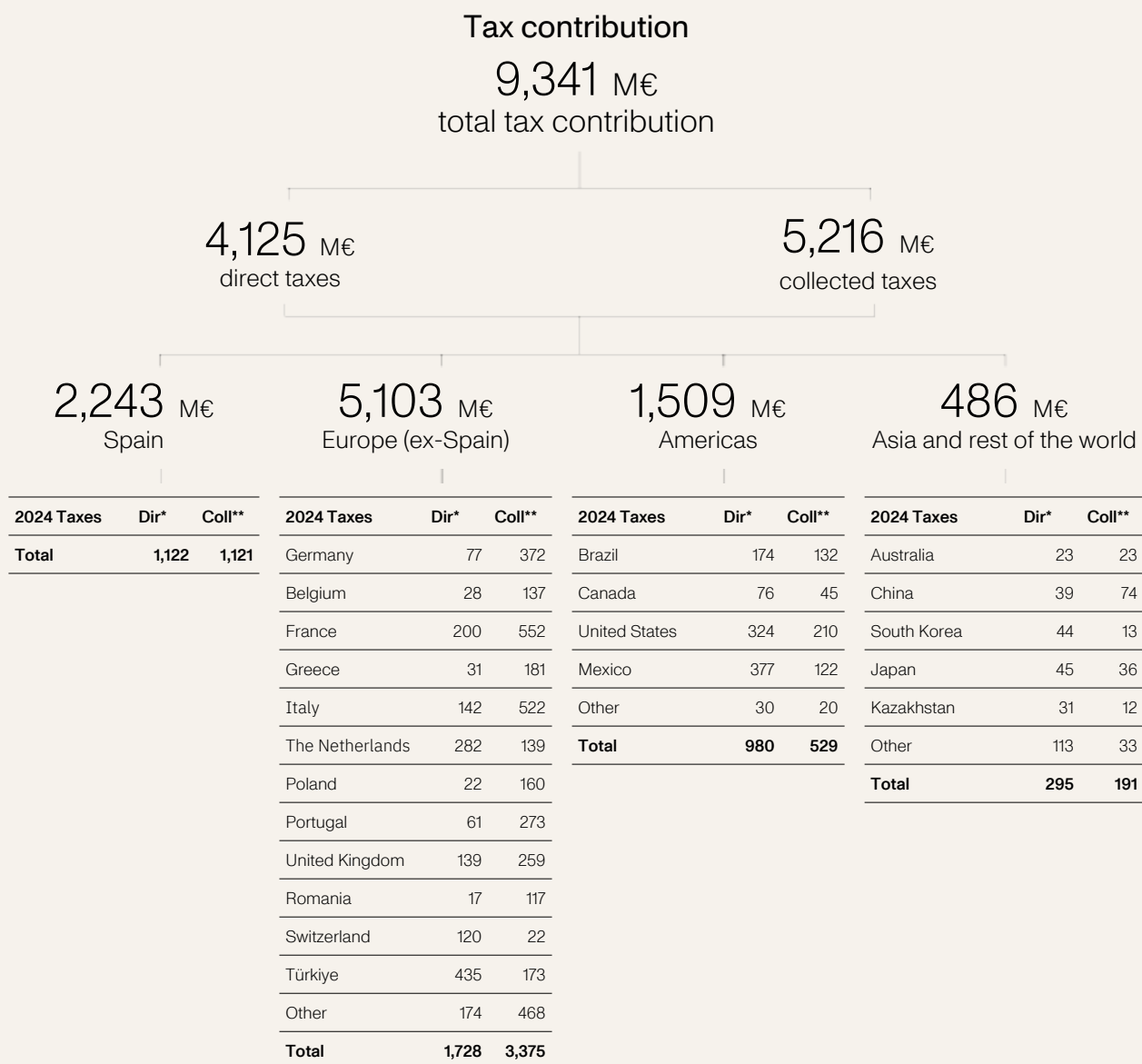
/ **Personal tax.** Tax related to employment, paid and collected. This includes employees' personal income tax withholdings or social security contributions payable by the employee or the Company.

/ **Tax on products and services.** Indirect taxes on the production and consumption of goods and services, such as VAT or customs duties, among others.

/ **Environmental tax.** Duties relating to the supply, use or consumption of products and services that, in one way or another, affect the environment.

Category	Direct tax (in million euros)	Taxes collected (in million euros)
Income tax	1,701	255
Property tax	102	13
Personal tax	959	1,075
Tax on products and services	1,337	3,873
Environmental tax	26	0
Total	4,125	5,216
Total tax contribution (in million euros)		9,341

In 2024, Inditex total tax contribution was 9,341 million euros, corresponding to Spain 2,243 million euros, which represents a 24% of the total. This percentage, much higher to the one that represents the sales of Spain (15%), is consequence of the 'headquarters effect' associated to the development in Spain of the design and distribution of products at a global level activities.



* Direct taxes
** Collected taxes

	Direct taxes paid (in million euros)		Taxes collected (million euros)	
Markets	2024	2023	2024	2023
Americas	980	985	529	511
Brazil	174	168	132	115
Canada	76	97	45	51
United States	324	333	210	198
Mexico	377	335	122	123
Other	30	52	20	24
Asia & Rest of the world	295	292	191	210
Australia	23	17	23	26
China	39	57	74	84
South Korea	44	40	13	17
Japan	45	37	36	38
Kazakhstan	31	30	12	10
Other	113	111	33	35
Spain	1,122	1,048	1,121	1,183
Spain	1,122	1,048	1,121	1,183
Europe (ex-Spain)	1,728	1,335	3,375	3,116
Germany	77	36	372	357
Belgium	28	31	137	130
France	200	166	552	503
Greece	31	17	181	169
Italy	142	99	522	485
The Netherlands	282	289	139	151
Poland	22	21	160	149
Portugal	61	31	273	251
United Kingdom	139	132	259	269
Romania	17	13	117	102
Switzerland	120	126	22	20
Türkiye	435	266	173	109
Other	174	108	468	421
Own taxes	4,125	3,660	5,216	5,020

8. Annexes

8.1. Methodological Annex

8.2. Content Indexes



Methodological Annex

E1. Climate change

Targets (MDR-T)

Target	Related metrics	Scope	Methodology	Change of criterion/ methodology
Reaching net-zero GHG emissions by 2040	Scope 1, 2 and 3 emissions.	<u>Own operations:</u> Reduce scope 1 and 2 GHG emissions by 95% (market-based). <u>Value chain:</u> Reduce scope 3 GHG emissions by 90%. It includes the following categories: purchased goods and services (category 1), fuel- and energy-related activities (category 3), upstream transportation and distribution (category 4), waste generated in operations (category 5), business travel (category 6), employee commuting (category 7), end-of-life treatment of sold products (category 12), downstream leased assets (category 13) and franchises (category 14).	/ We calculate and report GHG emissions in accordance with the guidelines of the Intergovernmental Panel on Climate Change (IPCC - Guidelines for National Greenhouse Gas Inventories, 2006) and the World Resources Institute (GHG Protocol, 2015), which divide emissions into scopes 1, 2 and 3. / The reported GHG emissions are calculated in accordance with our Company's operating control approach and include CO₂, CH₄, N₂O, HFCs, PFCs, SF₆ and NF₃ gases, which are expressed in units of CO₂ equivalent (CO₂eq). / The base year was chosen in accordance with SBTi's criteria for the completeness, verification, representativeness and ambition of the emissions inventory. /Absolute and voluntary target. /See details of the methodology for calculating emissions in the Metrics table.	There have been no changes to the target. See the emissions calculation methodology in the Metrics table to identify changes in the calculation methodology. The historical data has been recalculated to make the results comparable year on year.
Reduce our total emissions by at least 53% by 2030	Scope 1, 2 and 3 emissions.	<u>Own operations:</u> Reduce scope 1 and 2 GHG emissions by 95% (market-based). <u>Value chain:</u> Reduce scope 3 GHG emissions by 51%. It includes the following categories: purchased goods and services (category 1), fuel- and energy-related activities (category 3), upstream transportation and distribution (category 4), waste generated in operations (category 5), business travel (category 6), employee commuting (category 7), end-of-life treatment of sold products (category 12), downstream leased assets (category 13) and franchises (category 14).	/ We calculate and report GHG emissions in accordance with the guidelines of the Intergovernmental Panel on Climate Change (IPCC - Guidelines for National Greenhouse Gas Inventories, 2006) and the World Resources Institute (GHG Protocol, 2015), which divide emissions into scopes 1, 2 and 3. / The reported GHG emissions are calculated in accordance with our Company's operating control approach and include CO₂, CH₄, N₂O, HFCs, PFCs, SF₆ and NF₃ gases which are expressed in units of CO₂ equivalent (CO₂eq). / The base year was chosen in accordance with SBTi's criteria for the completeness, verification, representativeness and ambition of the emissions inventory. /Absolute and voluntary target. /See details of the methodology for calculating emissions in the Metrics table.	There have been no changes to the target. See the emissions calculation methodology in the Metrics table to identify changes in the calculation methodology. The historical data has been recalculated to make the results comparable year on year.

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Information source	Change of criterion/methodology
Energy consumption (amount of energy consumed)	E1-5_01, E1-5_02, E1-5_03, E1-5_04, E1-5_05, E1-5_06, E1-5_07, E1-5_08, E1-5_09, E1-5_10, E1-5_11, E1-5_12, E1-5_13, E1-5_14, E1-5_15, E1-5_16, E1-5_17	<u>Own operations</u> : All headquarters, own factories, own logistics centres, e-commerce centres (operational control) and own stores are included.	Total energy consumption is calculated by aggregating the various kinds of consumption (acquired electricity, heat, steam, and cooling; renewable and non-renewable fuels; self-generated energy). When complete information is not available for the period to be reported, an estimate of the remaining period is made based on primary data.	Primary data: 72% Estimated data: 28%	The scope has been extended to include e-commerce distribution centres where operational control is held. The fuel consumption of own stores has been included. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
Net sales	E1-6_33, E1-6_34, E1-6_35	<u>Own operations</u> : All the companies that form part of the Inditex Group.	Data reported in <u>Note 4</u> of the Consolidated Annual Accounts of the Inditex Group.	Primary data: 100%	Not applicable.

Emissions calculation

Description	Metric	Scope	Methodology	Information source	Emission factor	Change of criterion/methodology
Scope 1 emissions (direct emissions related to sources under the direct control of the Inditex Group)	E1-4_01, E1-4_03, E1-4_04, E1-4_18, E1-4_21, E1-4_25, E1-6_01, E1-6_03, E1-6_04, E1-6_07, E1-6_08, E1-6_15	<u>Own operations</u> : All headquarters, own factories, own logistics centres, e-commerce centres (operational control) and own stores are included.	Scope 1 emissions are calculated based on total fuel consumption. Total consumption is multiplied by the corresponding emission factor, depending on the type of fuel. For facilities located in Spain, the emission factors of MITECO (Ministerio para la Transición Ecológica y el Reto Demográfico) are used, and for the rest, those of DEFRA (Department for Environment, Food & Rural Affairs) are used.	Primary data: 96% Estimated data: 4%	DEFRA (Department for Environment Food & Rural Affairs), 2024. MITECO (Ministerio para la Transición Ecológica y el Reto Demográfico), 2023.	The scope has been extended to include e-commerce distribution centres where operational control is held. Fuel consumption and fugitive emissions from own stores have been included. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
Scope 2 emissions (market-based) (Indirect emissions, associated with the generation of electricity, heating, steam and cooling acquired and consumed by the Inditex Group)	E1-4_01, E1-4_03, E1-4_04, E1-4_18, E1-4_21, E1-4_25, E1-6_01, E1-6_03, E1-6_04, E1-6_10, E1-6_13, E1-6_15, E1-6_18, E1-6_21, E1-6_22, E1-6_31	<u>Own operations</u> : All headquarters, own factories, own logistics centres, e-commerce centres (operational control) and own stores are included.	Emissions associated with purchased electricity are calculated by multiplying electricity consumption by the corresponding emission factor, depending on the source of the energy and/or the market where the facility is located. For renewable energy, the emission factor of the corresponding contractual instrument is used (PPA, I-REC, GO, etc.). Otherwise, International Energy Agency (IEA) emission factors are used. For heating, steam and cooling acquired, the total consumption is multiplied by the corresponding emission factor. In this case, DEFRA (Department for Environment, Food & Rural Affairs) emission factors are used.	Primary data: 68% Estimated data: 32%	Market-based method: / Contractual instruments for renewable energy (PPA, EACs, etc.). / DEFRA (Department for Environment Food & Rural Affairs), 2024.	The scope has been extended to include e-commerce distribution centres where operational control is held. This includes the purchase of heating, cooling and steam. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.

Description	Metric	Scope	Methodology	Information source	Emission factor	Change of criterion/ methodology
Scope 2 emissions (location-based) (Indirect emissions, associated with the generation of electricity, heating, steam and cooling acquired and consumed by the Inditex Group)	E1-4_01, E1-4_18, E1-4_21, E1-4_25, E1-6_09, E1-6_12, E1-6_15, E1-6_30	<u>Own operations</u> : All headquarters, own factories, own logistics centres, e-commerce centres (operational control) and own stores are included.	Emissions associated with purchased electricity are calculated by multiplying electricity consumption by the corresponding emission factor, depending on the market where the facility is located. International Energy Agency (IEA) emission factors are used. For heating, steam and cooling acquired, the total consumption is multiplied by the corresponding emission factor. In this case, DEFRA (Department for Environment, Food & Rural Affairs) emission factors are used.	Primary data: 68% Estimated data: 32%	Location-based method: / IEA (2024), Emission Factors. / DEFRA (Department for Environment Food & Rural Affairs), 2024.	The scope has been extended to include e-commerce distribution centres where operational control is held. This includes the purchase of heating, cooling and steam. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
Scope 3 emissions (Other indirect emissions related to the production chain of goods and services, their distribution and marketing outside the Company).	E1-4_01, E1-4_02, E1-4_15, E1-4_16, E1-4_18, E1-4_21, E1-4_25, E1-6_01, E1-6_03, E1-6_04, E1-6_11, E1-6_15, E1-6_25, E1-6_26	Value Chain.	Details below for each Scope 3 category:	Primary data: 42% Estimated data: 58%	Details below for each Scope 3 category:	Details below for each Scope 3 category:
<u>Category 1: Purchased goods and services:</u> - Raw materials extraction: This category is calculated on the basis of raw materials consumption data. Depending on the type of raw material, the relevant emission factor is applied (Higg Materials Sustainability Index - MSI). - Production processes: Emissions are calculated based on the energy consumption of the factories in the supply chain, the factory's production for Inditex (in kg) and the corresponding emission factor. For those factories for which no actual consumption data is available, it will be estimated using factories emissions calculated based on the primary data and the factory's production for Inditex.					Higg Materials Sustainability Index (MSI), 2024. IEA (2024), Emission Factors. DEFRA (Department for Environment Food & Rural Affairs), 2024.	The methodology for emissions associated with production processes has been modified, replacing the secondary data with primary data. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
<u>Category 2: Capital goods:</u> Emissions are calculated based on investment in property, plant and equipment, applying the corresponding emission factor according to the type of investment and the market in which it is made. The emission factors used are provided by Risilience, academic partner of the University of Cambridge's Centre for Risk Studies.					Risilience, academic partner of the University of Cambridge's Centre for Risk Studies.	Not applicable.
<u>Category 3: Fuel and energy-related activities:</u> For the calculation of this category, it is used the energy consumption from Scopes 1 and 2. According to the energy source and its origin, the corresponding emission factor is applied.					IEA (2024), Emission Factors Package. DEFRA (Department for Environment Food & Rural Affairs), 2024.	The scope has been extended to include e-commerce distribution centres where operational control is held. This includes fuel consumption and the purchase of heating, cooling and steam. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.

Description	Metric	Scope	Methodology	Information source	Emission factor	Change of criterion/ methodology
			<u>Category 4:</u> Upstream transportation and distribution: These emissions are calculated based on the tonnes, distance and means of transport used to distribute our products. GLEC (Global Logistic Emissions Council Framework for Logistics Emissions Accounting and Reporting) emission factors are used.		GLEC, Global Logistic Emissions Council Framework for Logistics Emissions Accounting and Reporting.	The granularity of the information has been enhanced and primary data was included. We have updated the version of emission factors. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
			<u>Category 5:</u> Waste generated in operations: To calculate this category, we use the waste generated in our own operations. According to the type of waste and its final destination, we use the corresponding emission factor (DEFRA - Department for Environment Food & Rural Affairs).		DEFRA (Department for Environment Food & Rural Affairs), 2024.	The scope has been extended to include e-commerce distribution centres where operational control is held and waste generated in our own stores and their refurbishments. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
			<u>Category 6:</u> Business travel Emissions in this category are calculated according to means of transport, class of ticket and distance travelled by employees of the Spanish subsidiaries. The emission factors applied are those proposed by DEFRA (Department for Environment Food & Rural Affairs). Emissions are extrapolated to the rest of the subsidiaries based on the breakdown of travel expenditure by market.		DEFRA (Department for Environment Food & Rural Affairs), 2024.	Not applicable.
			<u>Category 7:</u> Employee commuting Their calculation involves estimating average distances covered by means of transport and commuting patterns based on bibliographic research. DEFRA (Department for Environment, Food & Rural Affairs) emission factors are used		DEFRA (Department for Environment Food & Rural Affairs), 2024.	Not applicable.
			<u>Category 8:</u> Upstream leased assets (emissions associated with third-party assets leased by Inditex). Emissions associated with third-party assets leased by Inditex are immaterial.		Not applicable.	Not applicable.
			<u>Category 9:</u> Downstream transportation and distribution (emissions from the downstream transportation and distribution of sold products). Not reported. Inditex is working on improving the internal corporate systems to provide this information with the degree of detail required		Not applicable.	Not applicable.
			<u>Category 10:</u> Processing of sold products (emissions from the subsequent transformation of sold products). Not applicable. Products sold do not require transformation to be used by our customers.		Not applicable.	Not applicable.

Description	Metric	Scope	Methodology	Information source	Emission factor	Change of criterion/ methodology
			<u>Category 11</u>: Use of sold products (estimated emissions from the use of products sold by Inditex). Their calculation takes into account the energy consumed during the use phase based on bibliographic research. International Energy Agency (IEA) emission factors are used.		IEA (2024), Emission Factors. Higg Product Module methodology, June 2021.	Including the direct use of sold products. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
			<u>Category 12</u>: End-of-life treatment of products sold (emissions generated from the final disposal of products sold by the Company.) To calculate these emissions, the final destination of our products and packaging is estimated. DEFRA (Department for Environment, Food & Rural Affairs) emission factors are used.		DEFRA (Department for Environment Food & Rural Affairs), 2024.	The bibliographic studies have been updated with more recent and more granular research. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
			<u>Category 13</u>: Downstream leased assets (emissions from Inditex-owned assets leased to third parties). Emissions from downstream leased assets are calculated based on energy consumption and its corresponding emission factors.		MITECO (Ministerio para la Transición Ecológica y el Reto Demográfico), 2023.	Not applicable.
			<u>Category 14</u>: Franchises (emissions from franchisees during the operation of franchises). Emissions from franchised stores are estimated based on the consumption of own stores.		IEA (2024), Emission Factors. DEFRA (Department for Environment Food & Rural Affairs), 2024.	Fuel and coolant consumption has been included. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
			<u>Category 15</u>: Investments. Not applicable.		Not applicable.	Not applicable.
Biogenic emissions (scope 1 and 3)	E1-6_17, E1-6_28	Scope 1: Own operations. Scope 3: Value chain.	Biogenic emissions are calculated based on the total consumption of biofuels. Total consumption is multiplied by the corresponding emission factor, depending on the type of biofuel.	Scope 1: Primary data: 46%, Estimated data: 54% Scope 3: Primary data: 67%, Estimated data: 33%	DEFRA (Department for Environment Food & Rural Affairs), 2024.	Not applicable.

Financial impact of climate-related risks: model assumptions

Related Metrics E1-9_10, E1-9_11, E1-9_18, E1-9_19

Physical risk

Type of risk	Model assumptions
Acute	/ Each key facility is assigned a degree of dependence and contribution to Group revenues commensurate with its participation in our value chain. The scale of the disruption translates into the corresponding loss of income. / Extreme weather events are modelled independently, assuming that they are not correlated. / The current portfolio of key facilities is considered to remain static over the five years of projected impact. / The vulnerability functions of key facilities have been parametrised on the basis of expert knowledge grounded on empirical data. The functions are homogeneous for all geographies. For a limited group of especially important assets, specific recovery curves are applied. Work is underway to develop specific curves for other asset types.
Acute and Chronic	/ The risk of disruption to market demand is parametrised for three types of extreme weather events: heat wave, drought and freeze (other threats that affect limited areas and whose impact should not be material, such as storms, are not considered). / Each product category is assigned a vulnerability function for various severity levels. These functions determine the severity of changes in demand.
Chronic	/ In the analysis of agricultural risks, for each crop type the impact on yield was modelled in accordance with a range of variables (precipitation patterns and shortage, temperature variations, extreme temperature, etc.). / Crop vulnerability functions are parametrised using the FAO (Food and Agriculture Organization) and Ecocrop databases to determine the suitability of a specific environment by optimal conditions for the growth of the various crops. / To estimate the financial impacts (decrease in sales or increase in supply costs), the level of dependence on the different raw materials analysed at the commercial format and Group level is considered. / The Group's dependence on the raw materials analysed is considered to be static over the five years of projected impact.

Transition risk

Type of risk	Model assumptions
Regulatory	/ The scenario applies greenhouse gas (GHG) emissions in accordance with production, defined as fossil fuel consumption in the country for the industrial production of goods and services, as well as energy generation. / All emissions are subject to a carbon price. The price for different economic sectors is given separately. / The increased costs associated with carbon price mechanisms are transmitted through the Group's routine overheads, i.e. its general expenses, distribution expenses and raw materials costs. / No incentives or benefits either financial or fiscal for carbon price revenue are considered. Public authorities earmark most of the revenue for green expenditure, whose economic benefits are not factored into this model. / Suppliers are assumed to pass on 100% of their cost increases to us. The Group passes on a portion of these to its end customers.
Legal liability	/ The model uses a decision tree to evaluate a range of potential outcomes, each with a probability of occurrence and leading to different impacts. The model harnesses historical data from other sectors that serve as a 'benchmark' and experts' opinions, all based on the company's specific characteristics. The model's output is the estimated financial impact given the conditional probability of each outcome.
Technology	/ This model considers the costs to the Company of investing in low-emission technologies and boosting the efficiency of operating assets, as well as distribution costs. Improvements to assets include new transportation assets (trucks and so on), as well as the modernisation of factories to improve their energy efficiency. For each technology, the model assumes that a portion of the total global assets are updated according to the various emissions pathways at a specific cost. / The costs of technological improvements are compared with current average unit costs. The model takes into account basic balance sheet data in connection with the Group's buildings, facilities and equipment. Key supply chain facilities are also considered. The model assumes that the Group carries out technology upgrades at key facilities and in the Group's vehicle fleet.
Market	/ Market adoption rates for sustainable products have been parameterized in the model based on a number of key attributes (market potential, innovation coefficient and imitation coefficient). / The Group's product portfolio remains static over the different time horizons. Sales of sustainable products grow moderately in the short term. It is assumed that the potential size of sustainable products does not cover all consumers, although the level of adoption varies according to the level of ambition of the different trajectories. / The model considers that changes in consumption patterns affect every sector. The Group has some ability to pass on part of the losses to the customer. / The impact on consumer demand is assumed to outweigh the impact on investors, as the market remains focused on sectors with higher emissions.
Reputation	/ Two key factors define the model: the change in our customers' preferences towards more sustainable products and the level of activism among consumers. The model considers two opposing trends. On the one hand, activism, which increases inversely to the level of ambition: the lower the ambition, the more activism there is. On the other hand, consumers' preference for more sustainable products, which is greater in more ambitious pathways, thereby reducing the demand for conventional products.

E2. Pollution

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Information source	Change of criterion/methodology
Degree of compliance with the Picking programme	MDR-A_05 (E2)	<u>Own operations (our products)</u> : Articles produced in the summer and winter campaigns of the reporting period.	/ The initial degree of compliance is calculated as the ratio of the number of items meeting each of the Group's standards (CtW, PTR, StW) to the total number of items in the summer/winter campaigns of the reporting year. / The information used for this calculation is obtained from laboratory analyses as part of the product health and safety control procedure.	Primary data: 100%	Not applicable.

E3. Water resources

Targets (MDR-T)

Target	Related metrics	Scope	Methodology	Change of criterion/methodology
25% reduction in water consumption in the supply chain by 2025	E3-3_08, E3-4_01, E3-4_10	<u>Value chain</u> : Facilities that carry out any type of wet process in the Inditex supply chain, except for the production of raw materials.	/ Relative and voluntary target. / See calculation methodology in the Metrics table.	No changes were made to the methodology with respect to the previous year, but consumptions for the base year were recalculated in consideration of the improvements in corporate systems that provide greater detail of the production processes.

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Information source	Change of criterion/methodology
Water consumption throughout the supply chain	E3-4_10	<u>Value chain</u> : Facilities that carry out any type of wet process in the Inditex supply chain, except for the production of raw materials.	We calculate the water consumption of each of the facilities that carry out wet processes intervening in the manufacturing of the Group's textile and footwear products, based on the total production of each factory (in kg) and the relative consumption (l/kg) of each facility. This data is compiled from our factories (for example, in environmental audits). For those facilities for which we do not have information, consumption is estimated based on the actual data from the rest of the facilities. The ratio is calculated by dividing the total litres by the total kg produced for Inditex.	Primary data: 94% Estimated data: 6%	No changes were made to the methodology with respect to the previous year, but consumptions for 2023 and the base year were recalculated in consideration of the improvements in corporate systems that provide greater detail of the production processes.

E4. Biodiversity and ecosystems

Targets (MDR-T)

Target	Related metrics	Scope	Methodology	Change of criterion/ methodology
Protect, restore or regenerate 5 million hectares by 2030	E4-4_01, E4-4_02, E4-4_03, E4-4_04, E4-4_07, E4-4_08, E4-3_15	Value chain geographies, as well as regions outside the value chain identified as important areas of action by our conservation partners.	/ The sum of hectares under protection, restoration, regeneration and other types of improvement in different phases of implementation is calculated: – <u>Committed</u>: initial phase of community outreach, awareness and engagement. This phase includes establishing the baseline for measuring progress. – <u>In process</u>: phase of implementation of the activities and measurement and monitoring of the results. – <u>Advanced</u>: phase in which positive trends are observed. / The information on the hectares reached comes from the various organisations with whom we implement the projects. / When Inditex is not the sole investor in a project, the surface area will be allocated based on the proportional contribution of each party. / In establishing our target, we did not apply ecological thresholds due to the traceability difficulties posed, nor considering offsets in setting the target. / Absolute and voluntary target / The establishment of a base year does not apply to this target.	There have been no changes to the target.

E5. Resource use and circular economy

Targets (MDR-T)

Target	Related metrics	Scope	Methodology	Change of criterion/ methodology
Fibres Plan: use of 100% lower-impact fibres by 2030	E5-3_13	Textile fibres used in our products in the winter campaign. In addition, certain non-fibres such as leather and polyurethane are included.	/ See table 'sustainability metrics for the classification of lower-impact raw materials'. / Measured in tonnes of lower-impact raw materials. / Absolute and voluntary target. / The establishment of a base year does not apply to this target. / The consumption of raw materials is calculated based on the garment's weight, the units of each article and its percentage composition. (The figure includes the raw material used in the final product; it does not include any wastage that may have occurred during the production process).	There have been no changes to the target or its calculation methodology, so the results are comparable year-on-year.
Provide circularity services such as Zara Pre-owned in key markets by 2025	E5-2_05, E5-3_13	Service provided by the Inditex Group to its customers.	/ Key markets for the implementation of the project are compiled. / Absolute and voluntary target. / The establishment of a base year does not apply to this target.	There have been no changes to the target or its calculation methodology, so the results are comparable year-on-year.

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Information source	Change of criterion/ methodology
Product composition	E5-4_02, E5-4_03, E5-4_04, E5-4_05, E5-4_06	<u>Own operations (our products)</u> : All the items from the winter and summer campaigns of the reporting year offered for sale.	The consumption of raw materials is calculated based on the garment's weight, the units of each article and its percentage composition. The figure includes the raw material used in the final product; it does not include any wastage that may have occurred during the production process.	Primary data: 100%	Not applicable
Composition of packaging	E5-4_04, E5-4_06	<u>Own operations and value chain</u> : All the packaging elements from the reporting year placed on the market.	For each item of clothing, we obtain the packaging details for the three different inflows and outflows (inflow to warehouse, inflow to store and outflow to customer). This is then used to categorise the materials as plastic, paper and cardboard and other.	Primary data: 11% Estimated data: 89%	Not applicable
Waste generated	E5-5_06, E5-5_07, E5-5_08, E5-5_09, E5-5_10, E5-5_11, E5-5_15, E5-5_17	<u>Own operations</u> : Headquarters, own factories, own logistics centres, e-commerce centres (operational control) and own stores.	The waste generated is calculated based on the data collected at our facilities. When there is no available data, we extrapolate from the primary data.	Primary data: 40% Estimated data: 60%	The scope has been extended to include e-commerce distribution centres where operational control is held.

Sustainability metrics for the classification of lower-impact raw materials:

Metric	Description
Impact analysis	Using a Life Cycle Analysis (LCA) methodology, the sustainability of a fibre or material is evaluated.
Traceability	It is essential to have a robust, operational and scalable traceability system for fibre and material throughout the supply chain.
Standards and certifications	Fibres or materials must comply with the third-party best practice standards and require third-party certification or external verification to ensure their compliance. The Fibres Plan includes the standards developed by the Textile Exchange, Canopy, Changing Markets and the Leather Working Group, among others. The full list of accepted standards under our Fibres Plan is included below.
Fibre suppliers assessment	Assessment of the different fibre suppliers considering the associated environmental, social and regulatory risks. Work is underway to deploy this process in corporate systems.

List of certified lower-impact raw materials

NAME OF MATERIAL (Generic)	CLASSIFICATION
Steel	Responsible Steel
Acetate	MMCF - innovative fibres
	MMCF - other third-party standards (Canopy, Changing Markets/FSC)
	Recycled MMCF (RCS/GRS)
Acrylic	Recycled acrylic (RCS/GRS)
Acrylonitrile butadiene styrene	Recycled acrylonitrile butadiene styrene (RCS/GRS)
Alcohol	Organic alcohol (Cosmos organic)
Cotton	In conversion/transitional cotton (OCS/GOTS)
	Organic cotton (OCS/GOTS)
	Recycled cotton (RCS/GRS)
	Cotton from regenerative practices (Regenagri)
Aluminium	Recycled aluminium (RCS/GRS)
Bamboo	Bamboo (FSC 100%)
Cashmere	Recycled cashmere (RCS/GRS)
Hemp	Organic hemp (OCS/GOTS)
	Hemp - innovative fibres
Cardboard	Recycled cardboard (FSC Recycled/RCS/GRS)
Rubber	Recycled rubber (FSC Recycled/RCS/GRS)
Wax	Organic wax with palm oil (RSPO/Soil Association Organic Standards - Health & Care beauty products)
	Organic wax without palm oil (Soil Association Organic Standards - Health & Care beauty products)
Ceramics	Recycled ceramics (RCS/GRS)
Copper	Recycled copper (RCS/GRS)
	Responsible copper (The Copper Mark)
Cellulose diacetate	Recycled cellulose diacetate (RCS/GRS)
Elastane	Recycled elastane (RCS/GRS)
Elastomultiester	Recycled elastomultiester (RCS/GRS)

NAME OF MATERIAL (Generic)	CLASSIFICATION
Styrene butadiene styrene	Recycled styrene butadiene styrene (RCS/GRS)
Ethyl Vinyl Acetate	Recycled Ethyl Vinyl Acetate (RCS/GRS)
Plant fibre	Plant fibre - innovative fibres
Iron	Responsible iron (Responsible steel)
Wool	Recycled wool (RCS/GRS)
	Responsible wool (RWS)
Latex	Recycled latex (FSC Recycled /RCS/GRS)
Brass	Recycled brass (RCS/GRS)
Linen	European linen (European Flax certificate)
	Organic linen (OCS/GOTS)
	Recycled linen (RCS/GRS)
Lyocell	MMCF - innovative fibres
	MMCF - other third-party standards (Canopy/ Changing Markets/FSC)
	Recycled MMCF (RCS/GRS)
Wood	Recycled wood (FSC Recycled)
Methacrylate	Recycled methacrylate (RCS/GRS/Eucertplast/ Recyclclass/ISCC Plus)
Metal	Recycled metal (RCS/GRS)
Modal	MMCF - Other third-party standards (Canopy/ Changing Markets/FSC)
Paper	Recycled paper (FSC Recycled/RCS/GRS)
PCTG	PCTG (RCS/GRS/Eucertplast/ Recyclclass/ISCC Plus)
	Recycled PCTG - innovative fibres
PEVA	Recycled PEVA (RCS/GRS)
Leather	Leather (Leather Working Group)
	Bonded leather fibers (GRS/RCS)
Silver	Recycled silver (RCS/GRS/RJC)
Feather	Recycled feather (RCS/GRS)
	Responsible feather (RDS)

NAME OF MATERIAL (Generic)	CLASSIFICATION
Down	Recycled down (RCS/GRS)
	Responsible down (RDS)
Polyamide	Polyamide - innovative fibres
	Recycled polyamide (RCS/GRS/REPREVE)
Polycarbonate	Recycled polycarbonate (RCS/GRS/Eucertplast/ Recyclclass/ISCC Plus)
Polyester	Polyester - innovative fibres
	Recycled polyester (RCS/GRS/REPREVE/ Eucertplast/ Recyclclass/ISCC Plus)
Polystyrene	Recycled polystyrene (RCS/GRS/Eucertplast/ Recyclclass/ISCC Plus)
Polyethylene	Recycled polyethylene (RCS/GRS/Eucertplast/ Recyclclass/ISCC Plus)
PET	Recycled PET (RCS/GRS/Eucertplast/ Recyclclass/ ISCC Plus)
Polymethyl methacrylate	Recycled polymethyl methacrylate (RCS/GRS/ Eucertplast/ Recyclclass/ISCC Plus)
Polypropylene	Recycled polypropylene (RCS/GRS/Eucertplast/ Recyclclass/ISCC Plus)
Polyurethane	Recycled polyurethane (RCS/GRS)
Thermoplastic polyurethane	Recycled thermoplastic polyurethane (RCS/GRS)
Rattan	Rattan (FSC 100%)
Glass	Recycled glass (RCS/GRS)
Viscose	MMCF - innovative fibres
	MMCF - other third-party standards (Canopy/ Changing Markets/FSC)
	Recycled MMCF (RCS/GRS)
Zinc	Recycled zinc (RCS/GRS)

S1. Own workforce

Targets (MDR-T)

Target	Related metric	Scope	Methodology	Change of criterion/methodology
To double the number of people with disabilities by 2024	S1-12_01, S1-12_02	The entire Group.	/ The total number of people with disabilities in the current year is compared with the total number in the base year. The calculation methodology is reported in the Metrics Table below. / Absolute and voluntary target.	There have been no changes to the target or its calculation methodology, so the results are comparable year-on-year.

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Change of criterion/methodology
Characteristics of employees	SBM-1_03, S1-6_01, S1-6_02, S1-6_04, S1-6_05, S1-6_07, S1-6_08, S1-6_13, S1-6_14, S1-6_15, S1-6_16, S1-6_18, S1-6_19, S1-6_20, S1-9_03, S1-9_04, S1-9_05	The entire Group.	The total number of employees is calculated for the average of the last quarter of the financial year, based on the number of days that a person has worked, over the number of days in the period analysed and adding up the information for all the employees. Once this data is obtained, it is broken down by: gender, professional category, age, types of working hours and contract.	In those metrics that refer to age ranges, the age tranches have been adapted to those recommended by the ESRS. To guarantee the transparency and comparability of the data, the figures for previous years have been recalculated to adapt them to these new segments.
FTE employees	S1-6_09, S1-6_14	The entire Group except employees with contracts without guaranteed hours.	The percentage of each employee's basic working hours is calculated against the full-time working hours (FTE), adding up the information for all employees. The data compiled for the indicator is the average for the last quarter of the financial year.	Not applicable.
Number of employee leaves	S1-6_11	The entire Group.	The total number of employees by category of leaves (voluntary or not voluntary) is reported for the entire financial year.	Not applicable.
Employee turnover	S1-6_12	The entire Group.	Calculated by dividing the number of employee departures (S1-6_11) by the employee annual average (average for the full financial year).	Not applicable.
Percentage of employees covered by collective bargaining agreements	S1-8_01, S1-8_02, S1-8_03	The entire Group.	The number of employees covered by collective bargaining agreements, in force in each market, is obtained, calculating their % over the total employees.	Not applicable.
Percentage of employees covered by workers' representatives (in the EEA)	S1-8_06	The entire Group.	We compile the work centres in which there are workers' representatives and the number of people actively employed in them on the date of analysis. These data are then used to calculate the percentage over the total employees at year end.	Not applicable.

Description	Metric	Scope	Methodology	Change of criterion/methodology
Adequate wages	S1-10_01	The entire Group.	To ensure that wages are adequate in all markets, following verification methodology is used: / We analyse people employed covered by collective bargaining agreements. / For groups not covered by collective bargaining agreements, we check that they are covered by an official minimum wage. / If they are not, a review is made to see if there is a market comparison according to the ARI's Anker methodology. / If they are not covered by any of the aforementioned mechanisms, a verification is made in accordance with Directive (EU) 2022/2041 on adequate minimum wages in the European Union.	Not applicable.
People with disabilities	S1-12_01, S1-12_02	The entire Group.	To calculate the percentage of employees with disabilities, we divide the total average annual number of employees by the number of employees with disabilities at close of the reporting period. The list of total people with disabilities is then broken down by gender.	Not applicable.
Training hours	S1-13_01, S1-13_03, S1-13_04	The entire Group.	The total number of training hours completed per employee is calculated, as is the number of participants, individuals trained and hours per person. The information is detailed by content, geographic area, professional category and gender.	Not applicable.
Metrics linked to ISO 45001	S1-14_01	The entire Group.	Information is compiled from markets and companies certified with ISO45001. The percentage of employees covered is obtained by cross-referencing this data with the employees' information by market (S1-6_04).	Not applicable.
Recordable accidents, work-related health events and accident rates (employees)	S1-14_04, S1-14_05, S1-14_06	The entire Group (except the following markets: Monaco, Morocco, Pakistan, Bangladesh, Vietnam, Cambodia, Singapore).	/ Recordable accidents are considered to be any non-commuting workplace accident resulting in absence from work for more than 1 day and involving hospitalisation, fainting, burns to more than 10% of the body or amputation. Accidents deemed to be serious by the local authorities in each market can also be recorded. / Work-related health events are considered to be all non-commuting work-related accidents involving absence from work for more than 1 day, of a musculoskeletal nature and related to the performance of the individual's usual work duties. Occupational diseases are also considered to be health events. / Frequency rate: no. of recordable accidents in relation to the total time worked by employees in the reporting period. The following formula is used to calculate it: (No. accidents with leave * 1,000,000) / No. hours worked. / Severity rate: As a reference, the number of days of sick leave due to recordable accidents and the number of hours worked in the reporting period are used. The following formula is used to calculate it: (Days of leave * 1,000) / No. hours worked.	The definitions of the concepts of recordable accidents have been modified to align them with the provisions of the ESRS. The figures from previous years have been recalculated to ensure the transparency and comparability of the data.
Recordable accidents and health events (non-employees)	S1-14_04, S1-14_06	All markets (except for: Monaco, Morocco, Pakistan, Bangladesh, Vietnam, Cambodia, Singapore).	Information on recordable accidents and health events involving non-employees provided by Inditex Group facilities during the financial year.	The definition of the concepts of recordable accidents and health events have been modified to align them with the provisions of the ESRS. It was not possible to calculate the historical data using this new definition.
Days lost due to injuries and fatalities resulting from occupational accidents or diseases	S1-14_07	The entire Group.	The number of days lost is calculated by counting all days of absence as a result of recordable accidents and health events.	Not applicable.

Description	Metric	Scope	Methodology	Change of criterion/methodology
Parental leave	S1-15_01, S1-15_02, S1-15_03	The entire Group.	/ Percentage of employees that might benefit from parental leave: Based on the list with the total number of employees, we check local legislation to find out if they are entitled to parental leave. The consultation is segmented by the employee's workplace type, which may be an office, store, and, in the case of Spain, logistics centres and factories are also included. / Percentage of employees that might benefit from parental leave: The total number of employees who are entitled to this type of leave is divided by those who have taken it. This information is broken down by gender.	Not applicable.
Gender pay gap	S1-16_01, S1-16_03, S1-16_04	The entire Group.	This is calculated on the basis of the median salary in each market (considering the total salary: fixed plus variable, consisting of commission and bonus) raising all employees to full-time. By activity group (office, store, logistics and factories) and market, the median salary of men is subtracted from that of women and divided by the median salary of men. The results are weighted by activity group and market taking into account the weight they represent in the total workforce. The result obtained shows the percentage difference between women and men, with a positive sign when it favours women, and a negative sign when it favours men.	The calculation has been modified to include long-term remuneration in keeping with the ESRS provisions. It was not possible to calculate the historical data using this definition.
Ratio of total annual remuneration	S1-16_02	The entire Group.	It is calculated as the ratio between: / The total remuneration to be received by the highest paid individual (excluding Directors), in a theoretical scenario of target compliance with the objectives, including all the components, that is, fixed salary and variable remuneration (annual and long-term). / The total remuneration to be received on a full-time basis by all employees, including all fixed and variable wage-related payments (commissions and bonuses), through which the median value is established for comparison with highest individual wage.	The ratio is calculated on the basis of the median rather than average wage in order to align to the ESRS.
Average remuneration	Act 11/2018	The entire Group.	The average remuneration of individuals belonging to each group analysed is calculated based on the wage to be received on a full-time basis by all employees including fixed and variable wage-related payments (commissions and bonuses), through which the median value is established for comparison with the highest individual wage.	The calculation has been modified to include long-term remuneration and age segments in keeping with the ESRS provisions. The figures from previous years have been recalculated to ensure the transparency and comparability of the data, to adapt them to these new age segments, although it was not possible to calculate the historical data for long-term remuneration.
Promotion ratio	—	The entire Group.	To calculate the promotion ratio, we compare the total number of promotions against new recruits to the Group.	Not applicable.
Hours of absenteeism	Act 11/2018	The entire Group (except for offices and logistics centres outside Spain).	Hours of absenteeism are calculated by differentiating each group analysed. For hourly absences, the effective number of hours of absence is calculated. Daily absences were converted into hours taking into account the employee's group and their contract hours.	Not applicable.
Confirmed cases of discrimination, harassment and other human rights breaches	S1-17_01, S1-17_02, S1-17_03, S1-17_04, S1-17_05, S1-17_08, S1-17_09, S1-17_10, S1-17_11	The entire Group.	Communications received through the Ethics Line from any market in which the Group operates are reviewed individually to check whether they are within the Group's sphere of competence and, in particular, whether they relate to issues linked to potential discrimination, workplace/sexual harassment or any other potential situation that infringes human rights. If this is the case, they are examined and the relevant disciplinary measures are taken.	Not applicable.

S2. Workers in the value chain

Targets (MDR-T)

Target	Related metrics	Scope	Methodology	Change of criterion/ methodology
Reaching three million people with the 'Workers at the Centre' strategy by 2025	—	Inditex's supply chain and its communities.	/ To compute the target, the total number of workers at the factories or locations where the projects are carried out is taken into account. This number includes those directly or indirectly involved in the project. / If a factory is involved in more than one project, it is counted only once. / Absolute and voluntary target. / The establishment of a base year does not apply to this target.	There have been no changes to the target or its calculation methodology, so the results are comparable year-on-year.

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Change of criterion/ methodology
People reached by the 'Workers at the Centre' strategy (in total and for each of the PIAs)	—	The supply chain and its communities.	/ The total number of people reached by the 'Workers at the Centre' strategy is calculated as being the total number of workers in those factories where the projects are implemented. / For each factory, we obtain the number of workers as per the latest audit carried out. If a factory is involved in more than one project, its workers are only counted once.	Not applicable.
Suppliers covered by the 'Workers at the Centre' strategy (in total and for each PIA)	—	The supply chain and its communities.	/ The number of suppliers covered by the 'Workers at the Centre' strategy is calculated as being the total number of facilities where the projects are implemented. / If a facility is involved in more than one project, it is counted only once.	Not applicable.

S3. Affected communities

Targets (MDR-T)

Target	Related metrics	Scope	Methodology	Change of criterion/ methodology
To help 10 million people through our corporate community investment programme between 2022 and 2025	S3-5_02, S3-5_03, S3-5_05	Extended value chain.	/ In computing this target, we have taken into account the total number of people reached by one of the community investment programmes over the course of the entire period. / Everyone participating in a project counts as one person in our accounting. Due to the types of projects, there are no situations where one person is the beneficiary of more than one project. / Absolute and voluntary target. / The establishment of a base year does not apply to this target.	There have been no changes to the target or its calculation methodology, so the results are comparable year-on-year.

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Change of criterion/ methodology
Number of people reached by community investment programmes carried out by Inditex	S3-5_02, S3-5_03	Extended value chain.	To obtain the number of beneficiaries, we consolidate the data from the projects provided by the organisations we work with in implementing them.	Not applicable.
Amount in euros of community investment carried out by the Inditex Group (by type and category of input, area of activity, geography and related SDGs)	S3-4_12	Extended value chain.	To calculate the investment, we consolidate the data from the entire Company and those provided by the organisations we work with. This means considering monetary inputs as well as in-kind and time contributions, which correspond to the hours dedicated by employees to community investment initiatives.	Not applicable.
Leverage from community investment	S3-4_16	Extended value chain.	Additional resources contributed to a community organisation or activity that come from sources other than the Company —employees, customers and suppliers, among others— to a specific business initiative in the community are calculated.	Not applicable.

Description	Metric	Scope	Methodology	Change of criterion/ methodology
Impact on the Community	S3-4_16	People reached.	<u>Impact on the community: people</u> In accordance with B4SI measuring methodology, we measure the impact of the actions on the lives of people involved in the projects. To do this, we measure: – Degree of improvement: we use three mutually exclusive metrics; connection, improvement and transformation – Type of change experienced: behaviour or attitude change, skills or personal effectiveness, quality of life or well-being	Not applicable.
		Beneficiary non-profit organisations.	<u>Impact on the community: community organisations</u> We measure the impact on the beneficiary non-profit organisations of our community investment projects, using B4SI measurement methodology. The impact is measured as: – Improved existing/delivered new services – Improved management processes – Reached more people or spent more time with clients – Taken on more staff or volunteers – Increased their profile	Not applicable.
		Employees involved in community investment projects.	<u>Impact on the Company: on employees</u> We measure the impact on our people by gauging through surveys the change they experience following their involvement in corporate volunteering initiatives, based on the B4SI measuring methodology. We measure: – Job-related skills – Personal impact – Behaviour change	Not applicable.
		Own operations.	<u>Impact on the Company: in our Company</u> We use B4SI methodology to measure the impact based on five metrics: – Human Resources benefits – Improved stakeholder relations/perceptions – Business generated – Other operational improvements – Uplift in brand awareness	Not applicable.

S4. Consumers and end-users

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Change of criterion/ methodology
Total customer complaints received	S4-3_13	Value chain (customers).	/ Complaints: All complaints filed using official complaint forms in Spain are counted. / Total cases managed by customer service channels and type: Contacts received by all customer service channels are consolidated, and classified into four types (pre-sale, post-sale, customer service and complaints) in all the market where Inditex operates.	Not applicable.

G1. Business conduct

Metrics (MDR-M)

Description	Metric	Scope	Methodology	Change of criterion/ methodology
Average payment period	G1-6_01, G1-6_05	Value chain (creditor/ commercial supplier).	The number of payment days is understood to mean the calendar days elapsed from the date of approval of the documents accrediting conformity with the goods delivered or services provided, and the date of payment. Ration of operations paid = Σ (number of payment days x amount of the paid operation) / total amount of payments made. Reviewed for each kind of creditor/commercial supplier. The calculation does not include intercompany transactions, payments to employees, payments to public authorities or payments for fixed assets.	Not applicable.
Percentage of payments aligned with the standard payment period	G1-6_03, G1-6_05	Value chain (creditor/ commercial supplier).	On the basis of the Group's standard payment period, all invoices are analysed and any outside it are reviewed. The percentage is calculated by dividing the total number of invoices by those outside the period. Percentage calculated for each kind of creditor/commercial supplier. The calculation does not include intercompany transactions, payments to employees, payments to public authorities or payments for fixed assets	Not applicable.
Legal proceedings initiated against the Group for delays in payment to its suppliers, manufacturers and/or third parties.	G1-6_04, G1-6_05	Value chain (creditor/ commercial supplier).	The procedures that we are aware of that affect creditors and suppliers due to late payments by the Group are detailed and analysed. Reviewed for each kind of creditor/commercial supplier. The calculation does not include intercompany transactions, payments to employees, payments to public authorities or payments for fixed assets.	Not applicable.
Percentage of the priority group in our employees that has received compliance training	G1-3_07	All Group employees.	Breakdown of unique people trained in compliance, giving the total number and percentage broken down by job classification and region, in all the markets where the Group operates. The percentage is calculated on the annual average workforce.	Not applicable.
Confirmed reports of corruption and measures taken	G1-4_01, G1-4_02, G1-4_04, G1-4_06, G1-4_07	All Group employees.	Communications received through the Ethics Line (from any market in which the Group operates) are reviewed individually to check whether they are within the Ethics Line's sphere of competence and, in particular, whether they relate to issues linked to potential instances of corruption, fraud and bribery. If this is the case, they are examined and the relevant disciplinary measures are taken.	Not applicable.
Audits carried out (including Social, Environmental, Pre-assessments, Environmental Preliminary Assessments and Traceability)	Act 11/2018	Value chain (product suppliers).	The total number of audits (by area) is calculated as the number of audits completed in the reporting year at factories in the Inditex supply chain.	Not applicable.
Factories of the supply chain	Act 11/2018	Value chain (product suppliers).	The total number of the factories is the number of factories in our supply chain for orders in the summer and winter campaigns of the reporting year, whose cumulative production exceeds 20,000 units, drawn from the primary information in the Company's systems. (Factories in our supply chain whose production is less than 20,000 units account for 2%). This criterion only applies for the purposes of reporting and calculating environmental indicators related to our supply chain, since our policies, audit procedures and continuous improvement programs regarding the human and labour rights of workers apply to all those who form part of our supply chain, regardless of their production volume.	Not applicable.
% compliance with the CCMS at active factories	Act 11/2018	Value chain (product suppliers).	/ The percentage of compliance with the Code of Conduct for Manufacturers and Suppliers for each heading and geographic area is calculated as the coefficient between the number of factories that comply with the requirements of the Code (as verified in social audits) and the total number of factories. / The total number of active factories with purchase orders in the financial year (more than 20,000 units in the last two campaigns in the reporting period) and the last social audit carried out at each facility are considered.	Not applicable.

General concepts

Definitions

Own facilities: Our own facilities include those locations that are owned or operated by the Group; headquarters and commercial offices, stores, distribution centres and factories owned by the Group located in the vicinity of the Group's headquarters in Arteixo (A Coruña).

Risk Management and Control Framework Methodology

Related Metrics: E1-9_10, E1-9_11, E1-9_18, E1-9_19

Type of risks identified	Methodology
/Financial	/ Risks are assessed in terms of residual risk, i.e. the risk remaining after their treatment through the adoption of response measures.
/Political	/ We follow a scenarios methodology, considering two variables to evaluate the possible scenarios: a) impact on cash flows estimated by the Group and b) probability of occurrence.
/Geopolitical	/ For each scenario, we establish different severity levels, based on the intensity of their impact on the cash flows estimated by the Group. The impacts are the result of establishing stress metrics for the routine and/or extraordinary revenue and cost variables.
/Technological	/ A record is kept of the scenarios, as well as the risks that materialise in each of them, through a risk map in which the scenarios are represented according to their total impact in relation to the cash flows expected by the Group and their probability of occurrence in the evaluation time horizon (strong, high, moderate and low risks). This is updated annually.
/Environmental	/ Emerging risks are considered, i.e. new risks that are in the process of transformation or are a novel combination of risks, whose impact, probability of occurrence and cost are not yet well understood. The geographical scope or dimension of the risks is considered and evaluated, especially those particular to certain geographies and those related to the environment, including climate.
/Social	
/Governance	

Metrics used

Impact

The effect that a scenario would have if it were to materialize. The scenario methodology established by the Group considers four severity levels based on the intensity of the impact on the expected cash flows over the horizon discounted at the evaluation date at the Group's average cost of capital (WACC). The average impact resulting from the four established severity levels is considered as the outcome of the scenario for the Group, in order to obtain the cash flow of the four severities adjusted by the probability of occurrence. The business units establish the stress parameters for each of the severities (percentage of stress in the expected revenue and/or routine cost variables, as well as the impact horizon), in order to obtain the deviation from the expected cash flow due to the potential materialization of the different severities.

Likelihood

Risk managers establish probabilities of occurrence over the evaluation horizon for each level of severity. These represent the probability of materialization of the different events exposed in the different severities of each scenario, documenting the different possible scenarios in terms of impact and probability of occurrence.

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[IRO-2_01]

Disclosure Requirement and related datapoint	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Pages of the Report where response is given
ESRS 2 GOV-1 Board's gender diversity paragraph 21 (d)	x		x		109-110
ESRS 2 GOV-1 Percentage of board members who are independent paragraph 21 (e)			x		106
ESRS 2 GOV-4 Statement on due diligence paragraph 30	x				118-119
ESRS 2 SBM-1 Involvement in activities related to fossil fuel activities paragraph 40 (d) i	x	x	x		123
ESRS 2 SBM-1 Involvement in activities related to chemical production paragraph 40 (d) ii	x		x		123
ESRS 2 SBM-1 Involvement in activities related to controversial weapons paragraph 40 (d) iii	x		x		123
ESRS 2 SBM-1 Involvement in activities related to cultivation and production of tobacco paragraph 40 (d) iv			x		123
ESRS E1-1 Transition plan to reach climate neutrality by 2050 paragraph 14				x	144
ESRS E1-1 Undertakings excluded from Paris-aligned Benchmarks paragraph 16 (g)		x	x		146
ESRS E1-4 GHG emission reduction targets paragraph 34	x	x	x		162-164
ESRS E1-5 Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors) paragraph 38	x				165
ESRS E1-5 Energy consumption and mix paragraph 37	x				165
ESRS E1-5 Energy intensity associated with activities in high climate impact sectors paragraphs 40 to 43	x				165
ESRS E1-6 Gross Scope 1, 2, 3 and Total GHG emissions paragraph 44	x	x	x		166
ESRS E1-6 Gross GHG emissions intensity paragraphs 53 to 55	x	x	x		167
ESRS E1-7 GHG removals and carbon credits paragraph 56				x	Not applicable
ESRS E1-9 Exposure of the benchmark portfolio to climate-related physical risks paragraph 66			x		154-155
ESRS E1-9 Disaggregation of monetary amounts by strong and chronic physical risk paragraph 66 (a) ESRS E1-9 Location of significant assets at material physical risk paragraph 66 (c).		x			Not disclosed, subject to phase-in
ESRS E1-9 Breakdown of the carrying value of its real estate assets by energy-efficiency classes paragraph 67 (c).		x			Not disclosed, subject to phase-in
ESRS E1-9 Degree of exposure of the portfolio to climate- related opportunities paragraph 69			x		Not disclosed, subject to phase-in
ESRS E2-4 Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil, paragraph 28	x				177-178

Disclosure Requirement and related datapoint	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Pages of the Report where response is given
ESRS E3-1 Water and marine resources paragraph 9	x				180-181
ESRS E3-1 Dedicated policy paragraph 13	x				Not applicable
ESRS E3-1 Sustainable oceans and seas paragraph 14	x				182
ESRS E3-4 Total water recycled and reused paragraph 28 (c)	x				Not material
ESRS E3-4 Total water consumption in m3 per net revenue on own operations paragraph 29	x				Not material
ESRS 2- IRO 1 - E4 paragraph 16 (a) i	x				186
ESRS 2- IRO 1 - E4 paragraph 16 (b)	x				186
ESRS 2- IRO 1 - E4 paragraph 16 (c)	x				186
ESRS E4-2 Sustainable land / agriculture practices or policies paragraph 24 (b)	x				187-188
ESRS E4-2 Sustainable oceans / seas practices or policies paragraph 24 (c)	x				188
ESRS E4-2 Policies to address deforestation paragraph 24 (d)	x				187
ESRS E5-5 Non-recycled waste paragraph 37 (d)	x				203-204
ESRS E5-5 Hazardous waste and radioactive waste paragraph 39	x				203-204
ESRS 2- SBM3 - S1 Risk of incidents of forced labour paragraph 14 (f)	x				220
ESRS 2- SBM3 - S1 Risk of incidents of child labour paragraph 14 (g)	x				220
ESRS S1-1 Human rights policy commitments paragraph 20	x				222; 225
ESRS S1-1 Due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions 1 to 8, paragraph 21			x		222
ESRS S1-1 processes and measures for preventing trafficking in human beings paragraph 22	x				222
ESRS S1-1 workplace accident prevention policy or management system paragraph 23	x				225
ESRS S1-3 grievance/complaints handling mechanisms paragraph 32 (c)	x				229
ESRS S1-14 Number of fatalities and number and rate of work related accidents paragraph 88 (b) and (c)	x		x		248
ESRS S1-14 Number of days lost to injuries, accidents, fatalities or illness paragraph 88 (e)	x				248
ESRS S1-16 Unadjusted gender pay gap paragraph 97 (a)	x		x		250
ESRS S1-16 Excessive CEO pay ratio paragraph 97 (b)	x				250
ESRS S1-17 Incidents of discrimination paragraph 103 (a)	x				251
ESRS S1-17 Non-respect of UNGPs on Business and Human Rights and OECD paragraph 104 (a)	x		x		251

Disclosure Requirement and related datapoint	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Pages of the Report where response is given
ESRS 2- SBM3 – S2 Significant risk of child labour or forced labour in the value chain paragraph 11 (b)	x				<u>253</u>
ESRS S2-1 Human rights policy commitments paragraph 17	x				<u>254-255</u>
ESRS S2-1 Policies related to value chain workers paragraph 18	x				<u>254-255</u>
ESRS S2-1 Non-respect of UNGPs on Business and Human Rights principles and OECD guidelines paragraph 19	x		x		<u>255-256</u>
ESRS S2-1 Due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions 1 to 8, paragraph 19			x		<u>255</u>
ESRS S2-4 Human rights issues and incidents connected to its upstream and downstream value chain paragraph 36	x				<u>267</u>
ESRS S3-1 Human rights policy commitments paragraph 16	x				<u>271-272</u>
ESRS S3-1 non-respect of UNGPs on Business and Human Rights, ILO principles or and OECD guidelines paragraph 17	x		x		<u>272</u>
ESRS S3-4 Human rights issues and incidents paragraph 36	x				<u>280</u>
ESRS S4-1 Policies related to consumers and end-users paragraph 16	x				<u>284-285</u>
ESRS S4-1 Non-respect of UNGPs on Business and Human Rights and OECD guidelines paragraph 17	x		x		<u>285</u>
ESRS S4-4 Human rights issues and incidents paragraph 35	x				<u>288-289</u>
ESRS G1-1 United Nations Convention against Corruption paragraph 10 (b)	x				Not applicable
ESRS G1-1 Protection of whistle- blowers paragraph 10 (d)	x				Not applicable
ESRS G1-4 Fines for violation of anti-corruption and anti-bribery laws paragraph 24 (a)	x		x		<u>307</u>
ESRS G1-4 Standards of anti- corruption and anti- bribery paragraph 24 (b)	x				<u>311</u>

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General information			
A brief description of the business model that includes its business environment, its organisation and structure	Material	<u>121-128</u>	ESRS 2 SBM-1
Markets in which it operates	Material	<u>121; 123</u>	ESRS 2 SBM-1
Organisation's objectives and strategies	Material	<u>90</u> <u>92-93</u> <u>121; 127; 128</u>	ESRS 2 SBM-1 ESRS 2 MDR-P ESRS 2 MDR-A ESRS 2 MDR-T
Main factors and trends that may affect its future development	Material	<u>90</u> <u>92-93</u> <u>131-134</u> <u>333-334</u>	ESRS 2 SBM-3 ESRS 2 IRO-1 ESRS 2 IRO-2
Reporting framework used	Material	<u>102-103</u>	ESRS 2 BP-2
Materiality principle	Material	<u>131-134</u> <u>135-137</u>	ESRS 2 SBM-3 ESRS 2 IRO-1 ESRS 2 IRO-2
Environmental issues			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>126-128</u> <u>139-140</u> <u>147-154</u> <u>156-157</u> <u>157-162</u> <u>168-169</u> <u>169-172</u> <u>172-177</u> <u>179-180</u> <u>180-182</u> <u>182-183</u> <u>185-186</u> <u>187-188</u> <u>188-191</u> <u>193-194</u> <u>194-195</u> <u>195-199</u>	ESRS 2 SBM-1 ESRS 2 MDR-P ESRS 2 MDR-A ESRS 2 IRO-1 E1-2 E1-3 E2-1 E2-2 E3-1 E3-2 E4-2 E4-3 E5-1 E5-2
Detailed general information			
Detailed information on the current and foreseeable effects of the company's activities on the environment and, where applicable, health and safety	Material	<u>144-146</u> <u>170-172</u> <u>289-290</u>	E1-1 E2-1 S4-4
Environmental assessment or certification procedures	Material	The Environmental Management System is implemented in our corporate headquarters, factories, and own logistics centres, except for two ironing centres that are in the certification process. The Environmental Management System complies with the ISO 14001 standard. Additionally, information on the certification standards of our assets and the environmental audits carried out in our supply chain is reported on pages <u>159</u> and <u>314-315</u> respectively.	ESRS 2 MDR-A E1-3 G1-2
Resources dedicated to the prevention of environmental risks	Material	The monitoring and proper implementation of the Environmental Management System is overseen by a team of 27 people, who also handle the prevention of environmental risks associated with these facilities. Additionally, information on actions with linked financial resources is reported on pages <u>157-162</u> and <u>188-191</u> .	ESRS 2 MDR-A E1-3 E4-3
Application of the principle of precaution	Material	<u>144; 145</u> <u>154-155</u> <u>170</u> <u>188-191</u>	E1-1 E1-9 E2-1 E4-3
Amount of provisions and guarantees for environmental risks	Material	Considering the nature of our own operations, we do not have any environmental liabilities, expenses, assets, provisions, or contingencies (including tanks or deposits) that could be significant in relation to the equity, financial position, and results of our Company. For this reason, no specific breakdowns are included in this Report. During the 2024 and 2023 financial years, no significant fines or penalties were recorded for violations of applicable environmental regulations. Additionally, we do not have facilities in protected areas.	–

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given and/or direct response	Reporting criteria: ESRS
Pollution			
Measures to prevent, mitigate or repair emissions which severely affect the environment; taking into account any form of atmospheric pollution specific to an activity	Not material (in own operations)	In our own operations, atmospheric emissions other than GHG emissions are not considered material. These may originate from the combustion equipment in our logistics centres, such as heating boilers and steam boilers, and are subject to periodic inspections and verifications conducted by authorized control bodies. This ensures that our atmospheric emissions of gases such as carbon monoxide (CO), nitrogen oxides (NOx), and sulphur dioxide (SO ₂) remain within the established limits. Regarding the value chain, relevant information is included on pages <u>172-177</u> .	ESRS 2 MDR-A E2-2
Including noise and light pollution	Not material	The atmospheric emissions of noise and light pollution are not considered material in own operations. However, to reduce noise levels associated with the distribution and supply of our products during nighttime hours, we have a Unloading Equipment Protocol in place.	–
Circular economy and waste prevention and management			
Prevention, recycling and reuse measures, and other forms of recovery and disposal of waste	Material	<u>197-199</u> <u>199-201</u> <u>202-204</u>	ESRS 2 MDR-A E5-2 E5-3 E5-5
Actions to fight against food waste	Not material		–
Sustainable use of resources			
Water consumption and water supply according to local limitations	Not material (in own operations)	Water consumption in our own operations is not considered material. In 2024, water consumption in our facilities—including corporate offices, factories, logistics centers, and stores—was 1,965,253 m ³ (1,938,719 m ³ in 2023). In relative terms, this amounted to 210 litres/m ² in 2024 (226 litres/m ² in 2023). In our own operations, water supply for both processes and consumption in all centres comes from public and authorized supply networks. Additionally, all water supply originates from areas with low or no water stress. Regarding the value chain, relevant information is included on pages <u>183-184</u> .	E3-3
Consumption of raw materials and measures taken to improve the efficiency of their use	Material	<u>195-199</u> <u>199-200</u> <u>201-202</u>	ESRS 2 MDR-A E5-2 E5-3 E5-4
Direct and indirect energy consumption	Material	The direct and indirect energy consumption is included on pages <u>165</u> . Scope 3 also includes emissions associated with the transportation of the products we market. In 2024 emissions related to upstream and downstream transportation—inbound and outbound— corresponded to an energy consumption of 4,095,652 MWh and 4,593,842 MWh, respectively (3,461,774 MWh and 4,418,663 MWh in 2023). Additionally, the estimated electricity consumption of franchised stores was 276,828 MWh and business travel consumption amounted to 141,234 MWh (257,195 MWh and 140,033 MWh in 2023).	E1-5
Measures taken to improve energy efficiency	Material	<u>157-162</u>	ESRS 2 MDR-A E1-3
Use of renewable energies	Material	<u>157-162</u> <u>165</u>	ESRS 2 MDR-A E1-3 E1-5
Climate change			
Greenhouse gas emissions generated as a result of the company's activities, including the use of the goods and services it produces	Material	<u>166-167</u>	E1-6
Measures taken to adapt to the consequences of climate change	Material	<u>143-146</u> <u>157-162</u>	ESRS 2 MDR-A E1-1 E1-3
Voluntary reduction targets set for the medium and long term to reduce greenhouse gas emissions and the means implemented for this purpose	Material	<u>143-144</u> <u>162-164</u>	ESRS 2 MDR-T E1-1 E1-4
Biodiversity protection			
Measures taken to preserve or restore biodiversity	Material	<u>188-191</u>	E4-3

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given and/or direct response	Reporting criteria: ESRS
Impacts caused by the activities or operations in protected areas	Material	<u>185-186</u> <u>188-191</u> <u>192</u>	ESRS 2 IRO-1 ESRS 2 SBM-3 E4-3 E4-5
Social issues concerning staff			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>123</u> <u>137-140</u> <u>219-221</u> <u>221-225</u> <u>229-237</u>	ESRS 2 MDR-P ESRS 2 MDR-A ESRS 2 SBM-1 ESRS 2 SBM-3 S1-1 S1-4
Employment			
Total number and distribution of employees by country, gender, age and job classification	Material	<u>123</u> <u>240-243</u> <u>243-244</u>	ESRS 2 SBM-1 S1-6 S1-9
Total number and distribution of employment contract modalities and annual average of permanent contracts, temporary contracts and part-time contracts by gender, age and job classification	Material	<u>242</u>	S1-6
Number of dismissals by gender, age and job classification	Material	In 2024, there were 5,058 dismissals (5,100 in 2023). Of the total, the gender distribution was as follows: 3,389 women (67%), 1,632 men (32%), 1 non-binary person (0.02%) and 36 people with other/unspecified gender (1%). In 2023, the distribution was 3,508 women (69%), 1,590 men (31%), 2 non-binary people (0.04%) and 0 other/unspecified (0%). By professional classification, 86% were in specialist positions, 7% in managerial positions, and the remaining 7% in executive roles (88%, 6% and 6% respectively, in 2023). By age group, 61% were under 30 years old, 37% were between 30 and 50 years old, and the remaining 2% were over 50 years old (67%, 31%, and 2%, respectively, in 2023). The reported distribution is consistent with our workforce composition for both reporting periods.	S1-6
Average salaries and their evolution broken down by gender, age and job classification or equal value	Material	<u>249-250</u>	S1-16
Wage gap, equal or average remuneration of jobs in the society	Material	<u>250</u>	S1-16
Average remuneration of directors and officers, including variable remuneration, allowances, indemnities, payment to long-term savings pension schemes and any other payment broken down by gender	Material	The total remuneration of the Board of Directors in 2024 was 14,248 thousand of euros (13,462 thousand of euros in 2023). The average annual remuneration accrued by the 21 members of Senior Management at the end of the 2024 reporting period (22 in 2023) broken down by gender, is as follows: – Men: 5,594 (5,101 in 2023) – Women: 4,855 (4,628 in 2023) – Total: 5,357 (4,957 in 2023) More information in sections C.1.13 and C.1.14 of the Annual Corporate Governance Report and the Annual Report on Directors' Remuneration.	ESRS 2 GOV-3 S1-16
Implementation of policies to disconnect from work	Material	<u>245-246</u>	S1-15
Number of employees with disabilities	Material	<u>237-239</u>	S1-12
Organisation of work			
Organisation of working hours	Material	<u>221</u> <u>226-228</u> <u>245-246</u>	S1-1 S1-2 S1-8 S1-15
Number of hours of absenteeism	Material	In the 2024 reporting period, the total number of absenteeism hours due to common illness, corresponding to 97.2% of the Group's employees—including all logistics and store employees worldwide, as well as office employees in Spain—, amounted to 13,594,187 hours (12,810,222 hours in 2023). The total number of hours worked during the 2024, reporting period, covering 92.1% of the Group's employees—including logistics and store employees worldwide—, amounted to 182,461,397 hours (92.4% of employees and 182,712,729 hours in 2023).	–
Measures designed to facilitate the enjoyment of amicable settlement and to promote the corresponding exercise of these by both parents	Material	<u>235-236</u> <u>245-246</u>	ESRS 2 MDR-A S1-4 S1-15

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given and/or direct response	Reporting criteria: ESRS
Health and safety			
Occupational health and safety conditions	Material	<u>224-225</u> <u>235-236</u> <u>248-249</u>	ESRS 2 MDR-P S1-1 S1-14
Work-related accidents, in particular their frequency and severity, as well as occupational diseases; broken down by gender	Material	<u>248-249</u>	S1-14
Labour Relations			
Organisation of social dialogue including procedures for informing, consulting and negotiating with staff	Material	<u>226-229</u>	S1-2 S1-3
Mechanisms and procedures the company has to promote the involvement of workers in the management of the company, in terms of information, consultation and participation	Material	<u>221</u> <u>226-229</u>	S1-1 S1-2 S1-3
Percentage of employees covered by a collective bargaining agreement by country	Material	<u>245</u>	S1-8
Assessment of collective bargaining agreements, particularly in the field of health and safety at work	Material	<u>226-228</u> <u>245</u> <u>248</u>	S1-2 S1-8 S1-14
Training			
Policies implemented in the field of training	Material	<u>221</u> <u>224</u> <u>233-235</u> <u>246-248</u>	S1-1 S1-4 S1-13
Total number of training hours by occupational category	Material	<u>246-248</u>	S1-13
Universal accessibility			
Universal accessibility for people with disabilities	Material	<u>223</u> <u>232</u> <u>237-239</u> <u>291</u>	ESRS 2 MDR-A S1-1 S1-4 S1-12 S4-4
Equality			
Measures taken to promote equal treatment and equal opportunities between women and men	Material	<u>222-224</u> <u>230-232</u>	ESRS 2 MDR-P ESRS 2 MDR-A S1-1 S1-4
Equality plans, measures taken to promote employment, protocols against sexual and gender-based harassment	Material	<u>138</u> <u>221-225</u> <u>226-228</u> <u>230-232</u> <u>245-246</u>	ESRS 2 MDR-P ESRS 2 MDR-A S1-1 S1-2 S1-4 S1-15
Policy against all types of discrimination and, where applicable, diversity management	Material	<u>138</u> <u>221-225</u>	ESRS 2 MDR-P S1-1
Respect for human rights			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>137-140</u> <u>128</u> <u>221-225</u> <u>229-237</u> <u>254-256</u> <u>258-267</u> <u>270-272</u> <u>274-281</u> <u>283-285</u> <u>288-291</u> <u>295</u> <u>304-306</u>	ESRS 2 MDR-P ESRS 2 MDR-A ESRS 2 SBM-1 ESRS 2 IRO-1 S1-1 S1-4 S2-1 S2-4 S3-1 S3-4 S4-1 S4-4 G1-1
Application of due diligence procedures			
Application of due diligence procedures in the field of human rights and prevention of the risks of human rights violations and, where applicable, measures to mitigate, manage and repair potential abuses committed	Material	<u>128</u> <u>118-119</u> <u>299-300</u> <u>304-306</u>	ESRS 2 SBM-1 ESRS 2 GOV-4 G1-1
Allegations of cases of human rights violations	Material	<u>251</u> <u>267</u> <u>272</u> <u>280</u> <u>288</u> <u>310-311</u>	S1-17 S2-4 S3-1 S3-4 S4-4 G1-4

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given and/or direct response	Reporting criteria: ESRS
Measures implemented to promote and comply with the provisions of the ILO fundamental conventions relating to respect for freedom of association and the right to collective bargaining; eliminating discrimination in employment and occupation; the elimination of forced or compulsory labour; the effective abolition of child labour	Material	Inditex's Code of Conduct upholds the right to freedom of association and collective bargaining. This Code applies to all of the Group's operations. Likewise, the Code of Conduct for Manufacturers and Suppliers also establishes this right, applying to all of the Group's suppliers. The Compliance Program for the Code of Conduct for Manufacturers and Suppliers of Inditex assesses compliance with workers' freedom of association. The Compliance Program for the Code of Conduct for Manufacturers and Suppliers of Inditex prohibits child labour and applies to all of the Group's operations and suppliers. The Compliance Program for the Code of Conduct for Manufacturers and Suppliers of Inditex prohibits forced labour and applies to all of the Group's operations and suppliers. Additionally, relevant information is included on pages <u>137-140</u> <u>221-225</u> <u>226-229</u> <u>245</u> <u>253</u> <u>254-256</u> <u>258-261</u> <u>270-272</u> <u>283-285</u>	ESRS 2 MDR-P S1-1 S1-2 S1-8 S2-1 S2-4 S3-1 S4-1
Fight against corruption and bribery			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>295</u> <u>296-298</u> <u>298-306</u> <u>306-310</u> <u>310-311</u>	ESRS 2 MDR-P ESRS 2 MDR-A ESRS 2 IRO-1 G1-1 G1-3 G1-4
Measures adopted to prevent corruption and bribery	Material	<u>296-298</u> <u>298-306</u> <u>306-310</u> <u>310-311</u>	ESRS 2 MDR-P ESRS 2 MDR-A G1-1 G1-3 G1-4
Measures to fight money laundering	Material	<u>296-298</u> <u>298-306</u> <u>306-310</u> <u>310-311</u>	ESRS 2 MDR-P ESRS 2 MDR-A G1-1 G1-3 G1-4
Contributions to foundations and non-profit entities	Material	<u>129-131</u> <u>274-281</u>	–
Information on the company			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>252-253</u> <u>254-256</u> <u>258-267</u> <u>269-270</u> <u>270-272</u> <u>274-281</u> <u>282-283</u> <u>283-285</u> <u>288-291</u> <u>295</u> <u>312-316</u>	ESRS 2 SBM-3 ESRS 2 MDR-P ESRS 2 MDR-A S2-1 S2-4 S3-1 S3-4 S4-1 S4-4 G1-2
Company commitments to sustainable development			
The impact of the company's activity on employment and local development	Material	<u>258-267</u> <u>274-281</u>	ESRS 2 MDR-A S2-4 S3-4
The impact of the company's activity on local populations and on the territory	Material	<u>258-267</u> <u>274-281</u>	ESRS 2 MDR-A S2-4 S3-4
Relations maintained with local community actors and the modalities of dialogue with them	Material	<u>129-131</u> <u>258-267</u> <u>272-273</u> <u>273-274</u> <u>274-281</u>	ESRS 2 SBM-2 ESRS 2 MDR-A S2-4 S3-2 S3-3 S3-4

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given and/or direct response	Reporting criteria: ESRS
Partnership or sponsorship actions	Material	131 162 175-177 183 188-191 199 237 258-267 274-281 291	–
Subcontracting and suppliers			
Inclusion of social, gender equality and environmental matters in the procurement policy	Material	137-140 118-119 126-127 254-256 258-261 262-263 312-316	ESRS 2 MDR-A ESRS 2 MDR-P ESRS 2 GOV-4 ESRS 2 SBM-1 S2-1 S2-4 G1-2
Consideration of its social and environmental responsibility in relations with suppliers and subcontractors	Material	137-140 199-200 254-256 256-257 258-261 265-266 312-316	ESRS 2 MDR-P E5-3 S2-1 S2-2 S2-4 G1-2
Monitoring and audit systems and their results	Material	312-316	–
Consumers			
Measures for consumer health and safety	Material	170-172 173-175 284-285 289-290	ESRS 2 MDR-A E2-1 E2-2 S4-1 S4-4
Claims systems, complaints received and their resolution	Material	286-288	S4-3
Tax information			
The benefits obtained country by country	Material	335-340	–
Tax on profits paid	Material	335-340	–
Public subsidies received	Material	337	–
Regulation (EU) 2020/852 - Taxonomy			
Qualitative information			
Accounting policy	Material	205	Regulation (EU) 2020/852 Regulation (EU) 2021/2178
Assessment of compliance with Regulation (EU) 2020/852	Material	205	Regulation (EU) 2020/852 Regulation (EU) 2021/2178
Contextual information	Material	205	Regulation (EU) 2020/852 Regulation (EU) 2021/2178
Quantitative information			
Taxonomy-eligible and aligned turnover	Material	212	Regulation (EU) 2020/852 Regulation (EU) 2021/2178 Regulation (EU) 2021/2139 Regulation (EU) 2023/2486
Taxonomy-eligible and aligned CapEx	Material	213-214	Regulation (EU) 2020/852 Regulation (EU) 2021/2178 Regulation (EU) 2021/2139 Regulation (EU) 2023/2486
Taxonomy-eligible and aligned OpEx	Material	215	Regulation (EU) 2020/852 Regulation (EU) 2021/2178 Regulation (EU) 2021/2139 Regulation (EU) 2023/2486

9. Independent verification report

INDEPENDENT LIMITED ASSURANCE REPORT ON THE CONSOLIDATED STATEMENT OF NON-FINANCIAL INFORMATION AND SUSTAINABILITY INFORMATION

(Translation of a report originally issued in Spanish. In the event of discrepancy,
the Spanish-language version prevails.)

To the shareholders of Industria de Diseño Textil, S.A.:

Conclusion of limited assurance

In accordance with article 49 of the Commercial Code, we have performed a limited assurance engagement on the Consolidated Statement of Non-Financial Information (hereinafter, "NFIS") for the year ended January 31, 2025 (hereinafter, year 2024) of Industria de Diseño Textil, S.A. (the "Entity") and subsidiaries (the "Group"), which is part of the Group's Consolidated Directors Report.

The content of the NFIS includes additional information that required by prevailing mercantile regulations in respect of non-financial information, specifically the Sustainability Information prepared by the Group for the year ended January 31, 2025 (hereinafter, the "Sustainability Information") in accordance with Directive (EU) 2022/2464 of the European Parliament and of the Council of 14 December 2022, as regards corporate sustainability reporting (the "CSRD"). The Sustainability Information was also subject to limited assurance.

Based on the procedures applied and the evidence obtained, nothing has come to our attention that causes us to believe that:

- a) The Group's NFIS for the year ended January 31, 2025, has not been prepared, in all material respects, in accordance with the contents required by prevailing mercantile regulations and the criteria selected in European Sustainability Reporting Standards ("ESRS"), as well as other criteria described as explained for each subject matter in the "Table of contents required by Act 11/2018" of the NFIS.
- b) The Sustainability Information, taken as a whole, has not been prepared, in all material respects, in accordance with the sustainability reporting framework applied by the Group and identified in section "BP-1 - General basis for preparation of the Report", including:
 - That the description provided of the process for identifying the Sustainability Information to be disclosed included in section "Materiality assessment" is consistent with the process implemented and that it enables the identification of the material information to be disclosed in accordance with the requirements of ESRS.
 - Compliance with ESRS.
 - Compliance with the disclosure requirements included in section "Disclosure pursuant to article 8 of Regulation (EU) 2020/852 (Taxonomy Regulation)" on chapter 5 "Environmental information" in the Sustainability Information with the provisions of Article 8 of Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020, on the establishment of a framework to facilitate sustainable investment.

Basis of conclusion

We have performed our limited assurance engagement in accordance with generally accepted professional standards applicable in Spain and specifically with the guidelines contained in the Guidelines 47 (revised) and 56 issued by the Spanish Institute of Chartered Accountants on non-financial information assurance engagements and considering the contents of the note issued by the Spanish Accounting and Auditing Institute (ICAC) on December 18, 2024 (the "generally accepted professional standards").

The procedures performed in a limited assurance engagement are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Our responsibilities under those regulations are further described in the *Practitioner's responsibilities* section of our report.

We have complied with the independence and other ethics requirements of the International Code of Ethics for Professional Accountants (including International standards on independence) issued by the International Ethics Standards Board for Accountants (IESBA Code), which is based on the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behavior.

Our firm applies International Standard on Quality Management (ISQM) 1, which requires us to design, implement, and operate a system of quality management including policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our conclusion.

Responsibilities of the Directors

The preparation of the NFIS included in the Group's Consolidated Directors Report is the responsibility of the Directors of Industria de Diseño Textil, S.A. The NFIS has been prepared in accordance with the content required by prevailing mercantile regulations and the criteria selected in ESRS, as well as other criteria described as explained for each subject matter in the "Table of contents required by Act 11/2018" of the NFIS.

This responsibility also includes the design, implementation, and maintenance of such internal control as considered necessary to ensure that the NFIS is free of material misstatement, whether due to fraud or error.

The Directors of Industria de Diseño Textil, S.A. are also responsible for defining, implementing, adapting, and maintaining the management systems from which the necessary information for preparing the NFIS is obtained.

With regard to the Sustainability Information, the entity's Directors are responsible for developing and implementing a process for identifying the information to be included in the Sustainability Information in accordance with the CSRD, the ESRS and Article 8 of Regulation (EU) 2020/852 of the European Parliament and of the Council, of 18 June 2020, and for disclosing information about this process in the Sustainability Information itself in section "Materiality assessment". This responsibility includes:

- ▶ Understanding the context in which the Group carries out its activities and business relationships, as well as its stakeholders, in relation to the Group's impact on people and the environment.
- ▶ Identifying the actual and potential impacts (both negative and positive), as well as risks and opportunities that could affect, or could reasonably be expected to affect, the Group's financial position, financial performance, cash flows, access to financing, or cost of capital in the short, medium or long term.
- ▶ Assessing the materiality of the identified impacts, risks and opportunities.
- ▶ Making assumptions and estimates that are reasonable under the circumstances.

The Directors are also responsible for the preparation of the Sustainability Information, which includes the information identified by the process, in accordance with the sustainability reporting framework applied, including compliance with the CSRD, the ESRS, and compliance of the disclosure requirements included in section "Disclosure pursuant to article 8 of Regulation (EU) 2020/852 (Taxonomy Regulation)" on chapter 5 "Environmental information" in the Sustainability Information with Article 8 of Regulation (EU) 2020/852 of the European Parliament and of the Council, of 18 June 2020, on the establishment of a framework to facilitate sustainable investment.

This responsibility includes:

- ▶ Designing, implementing and maintaining such internal control as the Directors consider relevant to enable the preparation the Sustainability Information that is free from material misstatement, whether due to fraud or error.
- ▶ Selecting and applying appropriate methods for the presentation of Sustainability Information and the basis of assumptions and estimates that are reasonable, considering the circumstances, about specific disclosures.

Inherent limitations in the preparation of the information

In accordance with ESRS, the entity's Directors are required to prepare prospective information on the basis of assumptions and hypotheses, which must be included in the Sustainability Information, about potential future events and possible future actions, if any, that the Group could take. Actual results may differ significantly from estimated results, as the reference is to the future and future events frequently do not occur as expected.

In determining the disclosures in the Sustainability Information, the entity's Directors interpret legal and other terms that are not clearly defined and that may be interpreted differently by others, including the legal conformity of such interpretations, and, accordingly, are subject to uncertainty.

Practitioner's responsibilities

Our objectives are to plan and perform the assurance engagement to obtain limited assurance about whether the NFIS and Sustainability Information are free from material misstatement, whether due to fraud or error, and to issue a limited assurance report that includes our conclusions. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of this information.

As part of a limited assurance engagement, we exercise professional judgment and maintain professional skepticism throughout the engagement. We also:

- ▶ Design and perform procedures to assess whether the process for identifying the disclosures to be included in the NFIS and Sustainability Information is consistent with the description of the process followed by the Group and enables, where appropriate, the identification of the material information to be disclosed as required in the ESRS.
- ▶ Perform risk procedures, including obtaining an understanding of internal control relevant to the engagement, to identify disclosures where material misstatements are more likely to arise, whether due to fraud or error, but not for the purpose of providing a conclusion on the effectiveness of the Group's internal control.
- ▶ Design and perform procedures responsive to disclosures in the NFIS and Sustainability Information where material misstatements are likely to arise. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Summary from the work performed

A limited assurance engagement involves performing procedures to obtain evidence as a basis for our conclusions. The nature, timing and extent of procedures selected depend on professional judgment, including the identification of disclosures where material misstatements are likely to arise, whether due to fraud or error, in the NFIS and in the Sustainability Information.

Our work consisted of making inquiries of management and of the Group's various business units and components that participated in the preparation of the NFIS and Sustainability Information, reviewing the processes used for compiling and validating the information presented in the NFIS and Sustainability Information, and applying certain analytical procedures and performing tests of details on a sample basis as described below:

For verification of the NFIS:

- ▶ Holding meetings with Group personnel to obtain an understanding of the business model, the policies and management approaches applied, and the main risks related to these matters and to gather the information needed to perform the independent assurance work.
- ▶ Analyzing the scope, relevance and completeness of the content of the NFIS for the year 2024 based on the materiality assessment performed by the Group and described in section "Materiality assessment" of the NFIS, considering the content required in prevailing mercantile regulations.

- ▶ Analyzing the processes used to compile and validate the data presented in the NFIS for the year 2024.
- ▶ Reviewing the disclosures relating to the risks, policies and management approaches applied with respect to the material matters presented in the NFIS for the year 2024.
- ▶ Checking, through sample testing, the information underlying the content of the NFIS for the year 2024 and whether it has been adequately compiled based on data provided by information sources.

For verification of the Sustainability Information:

- ▶ Making inquiries of Group personnel:
 - ▶ To understand the business model, the policies and management approaches applied, and the main risks related to these matters and to gather the information needed to perform the independent assurance work,
 - ▶ To know the source of the information used by management (e.g., interaction with stakeholders, business plans and documents on strategy) and review the Group's internal documentation on its process.
- ▶ Obtaining, through inquiries of Group personnel, insight into the entity's processes for gathering, validation, and presenting information relevant for the preparation of its Sustainability Information.
- ▶ Evaluating whether the evidence obtained in our procedures on the process implemented by the Group for determining the disclosures to be included in the Sustainability Information is consistent with the description of the process included in that information, as well as evaluating whether that process implemented by the Group enables identification of the material information to be disclosed in accordance with the requirements of the ESRS.
- ▶ Evaluating whether all the information identified in the process implemented by the Group for determining the disclosures to be included in the Sustainability Information is effectively included.
- ▶ Evaluating whether the structure and presentation of the Sustainability Information is consistent with ESRS, and the rest of the sustainability reporting framework applied by the Group.
- ▶ Performing inquiries of relevant personnel and analytical procedures on the disclosures in the Sustainability Information, considering those where material misstatements are likely to arise, whether due to fraud or error.
- ▶ Performing, as appropriate, substantive procedures through sampling of selected disclosures in the Sustainability Information, considering those where material misstatements are likely to arise, whether due to fraud or error.
- ▶ Obtaining, where appropriate, reports issued by accredited independent third parties accompanying the Consolidated Directors Report in response to the requirements of European regulations and, in relation to such information and in accordance with generally accepted professional standards, verification, exclusively, of the accreditation of the practitioner and that the scope of the report issued corresponds to that required by European regulations.

- Obtaining, as appropriate, the documents containing the information incorporated by reference, the reports issued by auditors or practitioners on such documents and, in accordance with generally accepted professional standards, verification, exclusively, that in the document to which the information incorporated by reference refers, the requirements described in ESRS for the incorporation by reference of information in the Sustainability Information are met.
- Obtaining a representation letter from the Directors and management regarding the NFIS and Sustainability Information.

Other information

The Management is responsible for the other information. The other information comprises the consolidated financial statements and the rest of the information included in the Consolidated Directors Report but does not include either the auditors' report on the consolidated financial statements or the assurance reports issued by accredited independent third parties required by European Union law on specific disclosures contained in the Sustainability Information and attached to the Consolidated Directors Report.

Our assurance report does not cover the other information, and we do not express any form of assurance conclusion on it.

Our responsibility in connection with our engagement to verify the Sustainability Information is to read the other information identified and consider whether it is materially inconsistent with the Sustainability Information or the knowledge we have obtained during the assurance engagement that could indicate material misstatements in the Sustainability Information.

ERNST & YOUNG, S.L.

(Signature on the original in Spanish)

Hildur Elir Jónsdóttir

March 12, 2025